

COVER SHEET

A	1	9	9	7	-	9	5	8	7
---	---	---	---	---	---	---	---	---	---

S.E.C Registration Number

C	I	T	Y	S	T	A	T	E		S	A	V	I	N	G	S		B	A	N	K		I	N	C	.			
---	---	---	---	---	---	---	---	---	--	---	---	---	---	---	---	---	--	---	---	---	---	--	---	---	---	---	--	--	--

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

(Company's Full Name)

C	I	T	Y	S	T	A	T	E		C	E	N	T	R	E		B	U	I	L	D	I	N	G				
---	---	---	---	---	---	---	---	---	--	---	---	---	---	---	---	--	---	---	---	---	---	---	---	---	--	--	--	--

7	0	9		S	H	A	W		B	O	U	L	E	V	A	R	D		P	A	S	I	G		C	I	T	Y
---	---	---	--	---	---	---	---	--	---	---	---	---	---	---	---	---	---	--	---	---	---	---	---	--	---	---	---	---

(Business Address: No. Street City/ Town / Province)

ATTY. JOSE D. DE LEON

Contact Person

8	4	7	0	-	3	3	3	3
---	---	---	---	---	---	---	---	---

Company Telephone Number

1	2	3	1
---	---	---	---

Month Fiscal Year Day

	G	I	S		
--	---	---	---	--	--

FORM TYPE

--	--	--	--

Month Annual Meeting Day

G	S	E	D
---	---	---	---

Secondary License Type, If Applicable

C	R	M	D
---	---	---	---

Dept. Requiring this Doc.

--

Amended Articles Number/Section

--

Total No. of Stockholders

Total Amount of Borrowings

--

Domestic

--

Foreign

To be accomplished by SEC Personnel concerned

--	--	--	--	--	--	--	--	--

File Number

LCU

--	--	--	--	--	--	--	--	--

Document I.D

Cashier

S	T	A	M	P	S
---	---	---	---	---	---

SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q
QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2) (b) THEREUNDER

1. For the period ended September 30, 2025
2. Commission identification number A1997-9587
3. BIR Tax Identification No. 005-338-421-000
4. Exact name of issuer as specified in its charter: Citystate Savings Bank, Inc.
Makati City, Metro Manila, Philippines
5. Province, country or other jurisdiction of incorporation or organization
6. Industry Classification Code: Use Only)
7. Address of issuer's principal office Citystate Centre Building, 709 Shaw Boulevard, Pasig City 1600
Postal Code
8. Issuer's telephone number, including area code (632) 8470-3333
9. Former name, former address and former fiscal year, if changed since last report
N/A
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
Common Stock	164,865,000

11. Are any or all of the securities listed on a Stock Exchange?

Yes [☒] No [☐]

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange Common Stock

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports).

Yes [☒] No [☐]

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [☒] No [☐]

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements

CSBI's audited financial statements are shown in Annex "A" of this report comprising of the following:

- a) Consolidated Statements of Condition as of September 30, 2025 and December 31, 2024;
- b) Consolidated Statements of Profit of Loss for the quarter ended September 30, 2025
(with comparative figures for the quarter ended September 30, 2024);
- c) Consolidated Statements of Profit of Loss for the period ended September 30, 2025
(with comparative figures for the period ended September 30, 2024);
- d) Consolidated Statements of Changes in Equity for the period ended September 30, 2025
(with comparative figures for the period ended September 30, 2024);
- e) Consolidated Statement of Cash Flow for the quarter ended September 30, 2025
(with comparative figures for the quarter ended September 30, 2024);
- f) Notes to the Financial Statements.

The unaudited financial statements of CSBI reflect all adjustments which are of normal recurring nature that transpired during the period ended September 30, 2025. The bank followed the same accounting policies and methods of computation in the audited financial statements as compared with the most recent annual financial statements.

The audited financial statements were prepared in compliance with generally accepted accounting principles in the Philippines as mandated by the Securities and Exchange Commission.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

For the Period Ended September 30, 2025

Interest Income

Gross Interest Income for the period ended September 30, 2025 amounted to P313.891 million from P288.338 million over the same period in 2024 for a 8.862% increase. Of the former amount, about 76.53% came from its Loans and Receivables which amounted to P240.222 million, Investment Securities amounted to P42.808 million and the rest were from Due from BSP and other banks and loans and receivables arising from reverse repurchase agreement which increase from P19.626 million to P30.861 million. The aforementioned were comparative figures for the period ending September 30, 2025 and September 30, 2024.

Interest Expense

Interest Expense increased by 31.392% from P93.818 million in 2024 to P123.270 million for the period ending September 30, 2025.

Other Income

Other Income comprising of Service Charges & Fees and Miscellaneous Income posted a 135.602% increase in 2025, versus its performance in 2024. Increase in Miscellaneous Income accounted for P164.524 million.

Other Expenses

The Bank's Other Expenses increased by 2.613% or P7.928 million from P303.438 million to P311.366 million. The variance was mainly due to the increased in Taxes and licenses from P16.126 million to P27.190 million.

Net Income

The Bank posted a net income of P151.005 million for 2025 versus P7.120 million net income of 2024.

Cash and Other Cash Items

Cash and Other Cash Items posted a P24.084 million decreased from P115.014 million in the year ending 2024 as against P90.931 million in 2025.

Due from BSP and Other Banks

Due from BSP and Other Banks increased by 110.83% from P513.518 million in 2024 to P1,082.644 million in 2025. Due from BSP and Other Banks is 13.44% of Total Resources.

Loans and Receivables

Loans and Receivables increased from P3.861 billion to P4.294 billion in 2025. The amount of P4.294 billion is 53.29% of the Total Resources.

Bank Premises, Furniture, Fixtures and Equipment

This account down by 24.25% from P293.699 million to P222.476. The net amount of P222.476 million represents 2.76% of the Total Resources.

Other Resources

Other Resources increased by 37.278% or P61.865 million from P165.953 million in 2024 to P227.818 million in 2025. The amount of P227.818 million is 2.83% of Total Resources.

Total Deposit Liabilities

Deposits generated by the Bank's thirty (34) branches increased by P1.521 billion. From P5.016 billion, Total Deposit Liabilities was up to P6.537 billion at the end of September 2025. Of this amount, P4.279 billion or 65.46% comprised savings deposits while the remaining 34.54% or P2.258 billion is in the form of time and demand deposits. The Total Deposit Liabilities of P6.537 billion is 97.58% of the Total Liabilities and 81.13% of the Total Liabilities and Equity.

Other Liabilities

This account decreased by P65.352 million from P227.803 million to P162.451 million. The ending balance of P P162.451 million is 2.42% of the total liabilities.

Capital Funds/Equity

Capital Funds/Equity increased from P1.151 billion to P1.358 billion in 2025. Net income for the period was at P151.005 million.

Capital Adequacy Ratio (CAR)

The Bank posted a lower than industry risk-based capital adequacy ratio of 16.87% versus the 16.89% of the industry.

Liquidity

CSBI's loans to deposit ratio is 65.68%.

Sources of Funds

Deposit generation provided the main source of loanable funds during the period. To strengthen this funding base and support asset growth, the Bank has been implementing targeted marketing programs focused on increasing total deposits and enhancing the deposit mix. These efforts are aimed at improving the cost-efficiency of funds, thereby contributing to a higher net interest margin.

Marketing Programs

To maintain its competitive advantage in public awareness and reach a broader audience, the Bank continues to pursue an aggressive advertising campaign. This includes strategic use of print media, radio advertisements, social media platforms, and the official company website to strengthen brand visibility and market presence.

Key Performance Indicators

The Bank monitors and compares its performance with the other players in the thrift banking industry in terms of the following indicators:

Key Performance Indicators	CSBI September 2025	INDUSTRY June 2025
<u>Capital Adequacy</u> Capital to Risk Ratio	16.87	16.89
<u>Asset Quality</u> Non-performing Loans (NPL) Ratio	10.70	3.27
Non-Performing Loans (NPL) Cover	52.48	62.86
<u>Liquidity</u> Loans to Deposit	65.68	96.32
<u>Profitability</u> Return on Average Equity	11.63	11.75
Net Interest Margin	4.17	7.26
<u>Cost Efficiency</u> Cost to Income	65.35	62.37

As of the reporting period, the Bank reported a Capital Adequacy Ratio (CAR) of 16.87%, slightly below the industry average of 16.89%. The Bank remains committed to maintaining a robust capital position that supports investor, creditor, and market confidence, while enabling the sustainable growth of its operations. The Bank also acknowledges the importance of balancing the potential for enhanced shareholder returns through increased leverage with the financial resilience afforded by strong capitalization.

The Bank's Non-Performing Loan (NPL) ratio stood at 10.70%, which is elevated compared to the industry average of 3.27%. These non-performing loans consist of credit exposures assessed as credit-impaired, in accordance with the Bank's established definition of default across its loan portfolios. In line with its credit risk management policies, the Bank recognizes a lifetime Expected Credit Loss (ECL) on all credit-impaired financial assets. As of the reporting date, the Bank's coverage ratio for NPLs was 52.48%, compared to the industry average of 62.86%.

The Bank's loan-to-deposit ratio was recorded at 65.68%, notably lower than the thrift banking industry's 96.32%. This reflects the Bank's prudent lending approach and its ongoing initiatives to enhance collection efficiency and credit quality.

In terms of profitability, the Bank posted a Return on Average Equity (ROE) of 11.63%, compared to the industry average of 11.75%. Similarly, the Bank's Net Interest Margin (NIM) stood at 4.17%, lower than the industry benchmark of 7.26%. Despite these variances, the Bank continues to implement strategic measures aimed at strengthening its financial position, enhancing operational efficiency, and delivering long-term value to its stakeholders.

The manner by which the Bank calculates the above indicators is as follows:

Key Performance Indicator	Formula
Capital to Risk Assets Ratio	BSP prescribed formula: $\frac{\text{Total Qualifying Capital}}{\text{Market and Credit Risk Weighted Exposures}}$
Non-performing Loan (NPL) Ratio	$\frac{\text{Non-performing Loans}}{\text{Gross Loans}}$
Non-performing Loan (NPL) Cover	$\frac{\text{Allowance for Probable Losses}}{\text{Non-performing Loans}}$
Loans to Deposits Ratio	$\frac{\text{Total Loans}}{\text{Total Deposits}}$
Return on Average Equity	$\frac{\text{Net Income After Income Tax}}{\text{Average Total Capital Accounts}}$
Net Interest Margin	$\frac{\text{Net Interest Income}}{\text{Average Interest Earning Assets}}$
Cost to Income	$\frac{\text{Total Operating Expenses}}{\text{Net Interest Income} + \text{Other Income}}$

A schedule showing financial soundness indicators in two (2) comparative periods is as follows:

	September 2025	December 2024
1. Liquidity Ratio	0.28:1	0.20:1
2. Solvency Ratios		
a) current ratio	1.00:1	0.77:1
b) current liabilities to net worth ratio	4.21:1	4.12:1
3. Debt-to-equity ratio	4.93:1	4.56:1
4. Asset-to-equity ratio	5.93:1	5.56:1
5. Interest rate Coverage ratio	2.34:1	1.13:1
6. Profitability Ratio		

a) Return on Asset Ratio	2.10%	0.02%
b) Return on Net Worth Ratio	11.63%	0.08%

Earnings per Share

Basic earnings per share are as follows:

	September 30, 2025	September 30, 2024
Net Income	P 151,005,344	P 7,119,916
Divided by the number of outstanding shares	<u>164,865,000</u>	<u>161,800,000</u>
Basic earnings per share	<u>0.92</u>	<u>0.04</u>

Dividends

No dividends declared during the period ended September 30, 2025.

PART II - OTHER INFORMATION

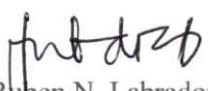
No other information for this period.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

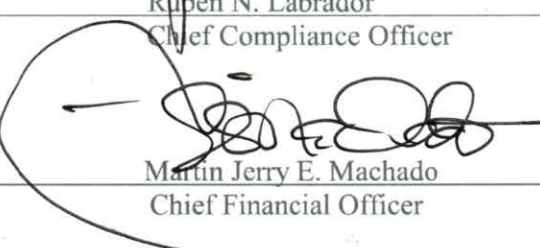
Issuer Citystate Savings Bank, Inc.

Signature and Title _____


Ruben N. Labrador
Chief Compliance Officer

Date November 07, 2025

Principal Financial/Accounting Officer/Comptroller _____


Martin Jerry E. Machado
Chief Financial Officer

Signature and Title _____

Date November 07, 2025

CITYSTATE SAVINGS BANK, INC.
STATEMENTS OF FINANCIAL POSITION
SEPTEMBER 30, 2025 AND DECEMBER 31, 2024
(Amounts in Philippine Pesos)

	2025 <u>Unaudited</u>	2024 <u>Audited</u>
<u>R E S O U R C E S</u>		
CASH AND OTHER CASH ITEMS	90,930,660	115,014,170
DUE FROM BANGKO SENTRAL NG PILIPINAS	962,591,826	269,520,447
DUE FROM OTHER BANKS	120,052,477	243,997,212
LOANS AND RECEIVABLES ARISING FROM REVERSE REPURCHASE AGREEMENT	430,000,000	329,000,000
FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	197,527,259	193,328,781
HELD-TO-COLLECT FINANCIAL ASSETS(Net)	1,137,878,318	564,045,185
LOANS AND RECEIVABLES - Net	4,293,581,159	3,860,712,491
BANK PREMISES, FURNITURE, FIXTURES AND EQUIPMENT - Net	222,475,643	293,699,476
INVESTMENT PROPERTIES - Net	374,696,196	359,754,666
OTHER RESOURCES - Net	227,818,390	165,953,523
TOTAL RESOURCES	8,057,551,928	6,395,025,951
<u>LIABILITIES AND EQUITY</u>		
DEPOSIT LIABILITIES		
Demand	1,276,446,779	1,077,427,461
Savings	4,278,899,057	3,436,011,488
Time	981,351,780	502,597,559
Total Deposit Liabilities	6,536,697,616	5,016,036,507
 OTHER LIABILITIES	 162,451,076	 227,803,079
Total Liabilities	6,699,148,692	5,243,839,586
 EQUITY	 1,358,403,237	 1,151,186,365
TOTAL LIABILITIES AND EQUITY	8,057,551,928	6,395,025,951

CITYSTATE SAVINGS BANK, INC.
STATEMENTS OF PROFIT OR LOSS
For the Quarter Period ended July 01 to September 30, 2025
(With Comparative Figures for the Quarter Ended July 01 to September 30, 2024)
(Amounts in Philippine Pesos)

	<u>2025</u>	<u>2024</u>
INTEREST INCOME		
Loans and receivables	85,356,921	78,143,054
Investment Securities	16,028,579	8,446,651
Due from BSP and other banks	9,953,004	9,126,662
	<u>111,338,504</u>	<u>95,716,367</u>
INTEREST EXPENSE		
Others	1,522,573	1,525,738
	<u>46,727,698</u>	<u>34,335,771</u>
NET INTEREST INCOME	<u>64,610,806</u>	<u>61,380,596</u>
IMPAIRMENT LOSSES - Net	<u>-</u>	<u>-</u>
NET INTEREST INCOME AFTER IMPAIRMENT LOSSES	<u>64,610,806</u>	<u>61,380,596</u>
OTHER OPERATING INCOME		
Service charges and fees	18,675,778	17,703,677
Miscellaneous	47,852,685	19,933,062
	<u>66,528,463</u>	<u>37,636,739</u>
OTHER OPERATING EXPENSES		
Employee benefits	37,194,920	35,128,422
Depreciation and amortization	18,346,458	21,702,324
Taxes and licenses	4,761,764	5,257,574
Security, janitorial and messengerial services	8,505,042	6,782,160
Communication, light and water	6,467,739	6,733,011
Fuel and oil	3,769,651	4,252,681
Insurance	2,992,357	3,826,512
Occupancy	4,164,379	859,193
Litigation and asset acquired expenses	1,339,239	765,099
Repairs and maintenance	536,265	713,179
Miscellaneous	13,408,189	11,411,192
	<u>101,486,001</u>	<u>97,431,346</u>
PROFIT (LOSS) BEFORE TAX		
RECOVERY ON CHARGED-OFF ASSETS	29,653,268	1,585,989
TAX EXPENSE	<u>4,602,229</u>	<u>4,457,258</u>
NET PROFIT (LOSS)	<u>25,051,039</u>	<u>(2,871,269)</u>
Earnings (Loss) Per Share - Basic and Diluted	<u>0.15</u>	<u>(0.02)</u>

CITYSTATE SAVINGS BANK, INC.
STATEMENTS OF PROFIT OR LOSS
For the Period ended September 30, 2025
(With Comparative Figures for the Period Ended September 30, 2024)
(Amounts in Philippine Pesos)

	Three-month Period Ended		Nine-month Period Ended	
	September 30, 2025	September 30, 2024	September 30, 2025	September 30, 2024
INTEREST INCOME				
LOANS AND RECEIVABLES	85,356,921	78,143,054	240,222,453	249,754,615
INVESTMENT SECURITIES	16,028,579	8,446,651	42,807,927	18,957,665
DUE FROM BSP AND OTHER BANKS	9,953,004	9,126,662	30,860,712	19,625,992
	<u>111,338,504</u>	<u>95,716,367</u>	<u>313,891,091</u>	<u>288,338,271</u>
OTHER OPERATING INCOME				
SERVICE CHARGES AND FEES	18,675,778	17,703,677	75,201,024	56,254,680
MISCELLANEOUS	47,852,685	19,933,062	210,651,834	65,073,863
	<u>66,528,463</u>	<u>37,636,739</u>	<u>285,852,858</u>	<u>121,328,543</u>
GROSS INCOME	<u>177,866,967</u>	<u>133,353,107</u>	<u>599,743,949</u>	<u>409,666,814</u>
EXPENSES				
INTEREST EXPENSE				
DEPOSIT LIABILITIES	45,205,125	32,810,033	117,584,815	88,903,174
OTHERS	1,522,573	1,525,738	5,684,987	4,914,979
	<u>46,727,698</u>	<u>34,335,771</u>	<u>123,269,803</u>	<u>93,818,153</u>
IMPAIRMENT LOSSES - NET	<u>-</u>	<u>-</u>	<u>-</u>	<u>(4,422,517)</u>
OTHER OPERATING EXPENSES				
EMPLOYEE BENEFITS	37,194,920	35,128,422	108,866,169	111,935,680
DEPRECIATION AND AMORTIZATION	18,346,458	21,702,324	60,751,220	65,066,384
TAXES AND LICENSES	4,761,764	5,257,574	27,189,896	16,125,732
SECURITY, JANITORIAL AND MESSENGERIAL SERVICES	8,505,042	6,782,160	17,352,611	23,056,916
COMMUNICATION, LIGHT AND WATER	6,467,739	6,733,011	18,412,122	18,540,463
FUEL AND OIL	3,769,651	4,252,681	12,954,484	14,906,279
INSURANCE	2,992,357	3,826,512	12,381,300	10,745,590
OCCUPANCY	4,164,379	859,193	9,093,713	4,094,898
LITIGATION AND ASSET ACQUIRED EXPENSES	1,339,239	765,099	3,345,227	3,850,759
REPAIRS AND MAINTENANCE	536,265	713,179	1,983,356	1,784,157
MISCELLANEOUS	13,408,189	11,411,192	39,035,933	33,331,536
	<u>101,486,001</u>	<u>97,431,346</u>	<u>311,366,031</u>	<u>303,438,394</u>
GROSS EXPENSES	<u>148,213,699</u>	<u>131,767,118</u>	<u>434,635,834</u>	<u>392,834,030</u>
GROSS PROFIT	<u>29,653,268</u>	<u>1,585,989</u>	<u>165,108,115</u>	<u>16,832,784</u>
TAX EXPENSE	<u>4,602,229</u>	<u>4,457,258</u>	<u>14,102,771</u>	<u>9,712,868</u>
NET PROFIT	<u>25,051,039</u>	<u>(2,871,269)</u>	<u>151,005,344</u>	<u>7,119,916</u>

CITYSTATE SAVINGS BANK, INC.
STATEMENTS OF COMPREHENSIVE INCOME
For the Period Ended, September 30, 2025
(With Comparative Figures for the Period Ended September 30, 2024)
(Amounts in Philippine Pesos)

	<u>2025</u>	<u>2024</u>
NET INCOME (LOSS)	P <u>151,005,344</u>	P <u>7,119,916</u>
 OTHER COMPREHENSIVE INCOME (LOSS)		
Item that will not be reclassified subsequently to profit or loss		
Gain (loss) on remeasurements of defined benefit post-employment plan	<u>2,176,188</u>	<u>423,966</u>
Items that will be reclassified subsequently to profit or loss		
Fair valuation on financial assets at fair value through comprehensive income		
Fair Value Gains (losses)	7,088,659	-
Tax Income (expense)	<u>(3,159,899)</u>	<u>-</u>
	<u>3,928,760</u>	<u>-</u>
Total Other Comprehensive Income (Loss)	<u>6,104,948</u>	<u>423,966</u>
 TOTAL COMPREHENSIVE INCOME (LOSS)	 P <u><u>157,110,292</u></u>	 <u><u>7,543,882</u></u>

CITYSTATE SAVINGS BANK, INC.
STATEMENTS OF CHANGES IN EQUITY
FOR THE PERIOD ENDED SEPTEMBER 30, 2025
(With Comparative Figures for the Period Ended September 30, 2024)
(Amounts in Philippine Pesos)

	Capital Stock	Additional Paid-in Capital	Reveluation Reserves	Surplus Reserves	Deficit	Total
Balance as of January 01, 2025	1,618,000,000	2,222,444	10,325,138	7,276,323	(486,637,540)	1,151,186,365
Appropriation for General Loan Loss reserve						-
Realized gain (loss) of sale of equity securities at financial asset through other comprehensive income			2,284,224			2,284,224
Reversal of appropriation for general loan loss reserve						-
Transfer to reserves					-	-
Total Comprehensive loss for the year			1,914,253		151,005,344	152,919,597
Balance as of September 30, 2025	1,648,650,000	23,585,494	14,523,616	7,276,323	(335,632,195)	1,358,403,237
Balance as of January 01, 2024	1,618,000,000	2,222,444	6,583,029	2,204,148	(565,048,187)	1,063,961,434
Appropriation for General Loan Loss reserve					-	-
Realized gain (loss) of sale of equity securities at financial asset through other comprehensive income			8,356,130		(8,356,130)	-
Reversal of appropriation for general loan loss reserve					-	-
Transfer to reserves				4,378,882	(4,378,882)	-
Additional Subscription of Shares						-
Total Comprehensive loss for the year					7,119,916	7,119,916
Balance as of September 30, 2024	1,618,000,000	2,222,444	14,939,159	6,583,030	(570,663,283)	1,071,081,350

CITYSTATE SAVINGS BANK, INC.
STATEMENTS OF CASH FLOWS
For the Quarter Ended, September 30, 2025
(With Comparative Figures for the Quarter Ended September 30, 2024)
(Amounts in Philippine Pesos)

	<u>2025</u>	<u>2024</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit (Loss) before tax	29,653,268	1,585,989
Adjustments for:		
Interest Income	(111,338,504)	(95,716,368)
Depreciation and amortization	18,346,458	21,702,324
Gains from assets acquired or exchanged - net		(915,131)
Interest Expense	46,727,698	34,335,772
Interest Paid	(44,273,660)	(56,093,141)
Dividend income	(436,916)	(1,905,788)
Unrealized foreign currency exchange loss (gains)	206,907	(134,219)
Gain on sale of bank premises - net	23,689,458	-
Operating income (loss) before working capital changes	(37,425,292)	(97,140,562)
Increase in loans and receivables	(7,570,492)	(73,267,014)
Decrease (increase) in other resources	(18,842,343)	6,219,217
Decrease (increase) in investment properties	63,444,882	51,001,866
Increase (decrease) in deposit liabilities	620,477,197	310,705,961
Increase (decrease) in other liabilities	(48,901,318)	(21,651,209)
Cash generated from (used in) operations	571,182,635	175,868,259
Cash paid from income taxes	(4,602,229)	(4,457,258)
Net Cash From (Used in) Operating Activities	566,580,405	171,411,001
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from maturities on held-to-collect financial assets	1,805,000,000	1,239,716,969
Acquisition of held-to-collect financial assets	(1,835,700,088)	(1,255,135,517)
Acquisition of financial assets at FVOCI		68,855,760
Dividends received	436,916	1,905,788
Acquisitions of bank premises, furniture, fixtures and equipment	(4,633,375)	11,778,811
Acquisitions of computer software	(2,587,029)	3,575,750
Proceeds from disposal of bank premises, furniture, fixtures and equipment	116,717,000	-
Net Cash From (Used in) Investing Activities	79,233,424	70,697,561
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments of lease liabilities	(1,522,573)	(136,540,992)
Receipt of deposit on future stock subscription	-	-
Receipt on Issuance of Additional Subscription of Shares	-	0
Net Cash From (Used in) Financing Activities	(1,522,573)	(136,540,992)
Effect of Foreign Currency Exchange Rate Changes in Cash and Cash Equivalents	(206,907)	134,219
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	644,084,350	105,701,788
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE PERIOD		
Cash and other cash items	95,504,510	60,401,991
Due from Bangko Sentral ng Pilipinas	749,737,742	370,350,537
Due from other Banks	114,248,361	304,948,453
Loans and receivables arising from reverse repurchase agreement	-	310,000,000
	959,490,613	1,045,700,982
CASH AND CASH EQUIVALENTS AT END OF THE PERIOD		
Cash and other cash items	90,930,660	63,323,337
Due from Bangko Sentral ng Pilipinas	962,591,826	493,505,513
Due from other Banks	120,052,477	264,573,919
Loans and receivables arising from reverse repurchase agreement	430,000,000	330,000,000
	1,603,574,963	1,151,402,769

CITYSTATE SAVINGS BANK, INC.
NOTES TO FINANCIAL STATEMENTS
SEPTEMBER 30, 2025, 2024 AND 2023
(Amounts in Philippine Pesos)

1. CORPORATE INFORMATION

1.1 Incorporation and Operations

Citystate Savings Bank, Inc. (the Bank) was incorporated in the Philippines on May 20, 1997. The Bank obtained a thrift bank license from the Bangko Sentral ng Pilipinas (BSP) on August 7, 1997 and started operations on August 8, 1997.

The Bank's common shares were listed in the Philippine Stock Exchange (PSE) on November 28, 2001. On March 4, 2004, the Bank was authorized by the BSP to engage in quasi-banking functions. On July 13, 2006, the Bank was granted license to operate foreign currency deposit unit (FCDU) and trust function. The Bank's FCDU started operations in November 2006, while its trust operations started in February 2007. At the end of 2024, the Bank has 34 branches, including 4 Branch-like Units (BLUs), and 35 on-site and 5 off-site automated teller machines (ATMs) strategically located in key cities and municipalities within Metro Manila and provincial areas.

The Bank's operations include commercial banking, retail banking and treasury services, however, management does not view the Bank's business operations, activities and components separately but rather they view the Bank as a whole. Accordingly, no business segment information is presented in its financial statements.

As a banking institution, the Bank's operations are regulated and supervised by the BSP. As such, the Bank is required to comply with banking rules and regulations such as those relating to maintenance of reserve requirements on deposit liabilities and deposit substitutes and those relating to the adoption and use of safe and sound banking practices, among others, as promulgated by the BSP. The Bank's activities are subject to the provisions of the General Banking Law of 2000 [Republic Act (RA) No. 8791] and other related banking laws.

The Bank's registered address, which is also its principal place of business, is located at 2nd Floor, Citystate Centre, 709 Shaw Boulevard, Pasig City.

1.2 Status of Operations

The Bank recognized net income amounting to P151.005 million in September 2025 and P1.0 in 2024 but incurred net losses in prior years, resulting in a deficit of P486.6 million and P486.9 million as of December 31, 2024 and 2023, respectively. To comply with the capital requirement of the BSP, as discussed in Note 17.4, the Bank received additional capital infusions in 2020 from certain existing stockholders to subscribe to the increase in the Bank's authorized capital stock and meet the minimum capital requirement of the BSP. The Bank's planned increase in authorized capital stock was approved by the BSP on May 7, 2021 and by the Philippine Securities and Exchange Commission (SEC) on October 20, 2021. Subsequently, the total amount of deposit on future stock subscription of P506.0 million was applied to capital stock in 2021. In 2023, the Bank received additional capital infusions from two stockholders amounting

to P112.0 million. No similar transaction occurred in 2024. And in March 2025, the Bank received an additional capital infusion amounting to P30.65 million.

As of September 30, 2025, the Bank's total adjusted capital amounted to P1,308.6 million, which meets the minimum capitalization requirement of P1,000.0 million (see Note 17.4). Accordingly, the Bank's financial statements have been prepared on the assumption that the Bank will continue as a going concern which contemplates the realization of assets and the settlement of liabilities in the normal course of business [see also Note 3.1(a)].

1.3 Approval of Financial Statements

The financial statements of the Bank as of and for the year ended December 31, 2024 (including the comparative financial statements as of December 31, 2023 and for the years ended December 31, 2023 and 2022) were authorized for issue by the Bank's BOD on April 30, 2025.

2. MATERIAL ACCOUNTING POLICY INFORMATION

The material accounting policy information that has been used in the preparation of these financial statements are summarized as follows. The accounting policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation of Financial Statements

(a) Statement of Compliance with Philippine Financial Reporting Standards

The financial statements of the Bank have been prepared in accordance with Philippine Financial Reporting Standards (PFRS Accounting Standards). PFRS Accounting Standards are issued by the Financial and Sustainability Reporting Standards Council (FSRSC) from the pronouncements issued by the International Accounting Standards Board, and approved by the Philippine Board of Accountancy.

The financial statements have been prepared using the measurement bases specified by PFRS Accounting Standards for each type of asset, liability, income and expense. The measurement bases are more fully described in the accounting policies that follow.

(b) Presentation of Financial Statements

The financial statements are presented in accordance with Philippine Accounting Standard (PAS) 1, *Presentation of Financial Statements*. The Bank presents all items of income and expenses in two statements: a "statement of profit or loss" and a "statement of comprehensive income."

The Bank presents a third statement of financial position as at the beginning of the preceding period when it applies an accounting policy retrospectively, or makes a retrospective restatement or reclassification of items that has a material effect on the information in the statement of financial position at the beginning of the preceding period. The related notes to the third statement of financial position are not required to be disclosed.

(c) *Functional and Presentation Currency*

These financial statements are presented in Philippine pesos, the Bank's functional and presentation currency, and all values represent absolute amounts except when otherwise indicated.

Items included in the financial statements of the Bank are measured using its functional currency. Functional currency is the currency of the primary economic environment in which the Bank operates. The financial statements of the Bank's foreign currency deposit unit (FCDU), which is reported in United States (US) dollar, are translated to Philippine peso based on Bankers Association of the Philippines (BAP) rate at the end of reporting period for the statement of financial position accounts and at the average BAP rate for the period for the profit or loss accounts.

2.2 Adoption of New and Amended PFRS Accounting Standards

(a) *Effective in 2024 that are Relevant to the Bank*

The Bank adopted for the first time the following amendments to PFRS Accounting Standards, which are mandatorily effective for annual periods beginning on or after January 1, 2024:

PAS 1 (Amendments)	:	Presentation of Financial Statements – Classification of Liabilities as Current or Non-current, and Non-current Liabilities with Covenants
PAS 7 and PFRS 7 (Amendments)	:	Statement of Cash Flows, and Financial Instruments: Disclosures – Supplier Finance Arrangements
PFRS 16 (Amendments)	:	Leases – Lease Liability in a Sale and Leaseback

Discussed below and in the succeeding pages are the relevant information about these pronouncements.

- (i) PAS 1 (Amendments), *Presentation of Financial Statements – Classification of Liabilities as Current or Non-current*. The amendments provide guidance on whether a liability should be classified as either current or non-current. The amendments clarify that the classification of liabilities as current or non-current should be based on rights that are in existence at the end of the reporting period and that the classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability. The application of these amendments had no significant impact on the Bank's financial statements.

- (ii) PAS 1 (Amendments), *Presentation of Financial Statements – Non-current Liabilities with Covenants*. The amendments specify that if the right to defer settlement for at least 12 months is subject to an entity complying with conditions after the reporting period, then those conditions would not affect whether the right to defer settlement exists at the end of the reporting period for the purposes of classifying a liability as current or non-current. For non-current liabilities subject to conditions, an entity is required to disclose information about the conditions, whether the entity would comply with the conditions based on its circumstances at the reporting date and whether and how the entity expects to comply with the conditions by the date on which they are contractually required to be tested. The application of these amendments had no significant impact on the Bank's financial statements.
- (iii) PAS 7 and PFRS 7 (Amendments), *Statement of Cash Flows, Financial Instruments: Disclosures – Supplier Finance Arrangements*. The amendments add a disclosure objective to PAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, PFRS 7 is amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk. The application of these amendments had no significant impact on the Bank's financial statements.
- (iv) PFRS 16 (Amendments), *Leases – Lease Liability in a Sale and Leaseback*. The amendments require a seller-lessee to subsequently measure lease liabilities arising from a leaseback in a way that it does not recognize any amount of the gain or loss that relates to the right of use it retains. The application of these amendments had no significant impact on the Bank's financial statements.

(b) *Effective Subsequent to 2024 but Not Adopted Early*

There are amendments to existing standards effective for annual periods subsequent to 2024, which are adopted by the FSRSC. Management will adopt the following relevant pronouncements in accordance with their transitional provisions; and unless otherwise indicated, none of these are expected to have significant impact on the Bank's financial statements:

- (i) PAS 21 (Amendments), *The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability* (effective from January 1, 2025)
- (ii) PFRS 9 and PFRS 7 (Amendments), *Financial Instruments, and Financial Instruments: Disclosures – Amendments to the Classification and Measurement of Financial Instruments* (effective from January 1, 2026)

- (iii) PFRS 18, *Presentation and Disclosure in Financial Statements* (effective from January 1, 2027). The new standard impacts the classification of profit or loss items (i.e., into operating, investing and financing categories) and the presentation of subtotals in the statement of profit or loss (i.e., operating profit and profit before financing and income taxes). The new standard also changes the aggregation and disaggregation of information presented in the primary financial statements and in the notes. It also introduces required disclosures about management-defined performance measures. The amendments, however, do not affect how an entity recognizes and measures its financial condition, financial performance and cash flows.

2.3 Financial Instruments

(a) Financial Assets

(i) Classification, Measurement and Remeasurement of Financial Assets

The Bank's financial assets include financial assets at amortized cost and at fair value through other comprehensive income.

Financial Assets at Amortized Cost

The Bank's financial assets at amortized cost are presented in the statement of financial position as Cash and Other Cash Items, Due from BSP, Due from Other Banks, Loans and Receivables Arising from Reverse Repurchase Agreement, Held-to-collect (HTC) Financial Assets, Loans and Receivables, and as part of Other Resources in respect of Utility deposit, Security deposits, Deposit with Philippine Clearing House Corp. (PCHC), Deposit to Bancnet, Other investments and Petty cash fund.

For purposes of cash flows reporting and presentation, cash and cash equivalents comprise accounts with maturities of three months or less, including cash and non-restricted balances with the BSP and other banks. For statement of cash flows purposes, cash and cash equivalents include cash and other cash items, due from BSP, due from other banks, and loans and receivables arising from reverse repurchase agreement that are unrestricted and readily available for use in the Bank's operations and are subject to insignificant risk of change in value.

Financial Assets at FVOCI

At initial recognition, the Bank can make an irrevocable election (on an instrument-per-instrument basis) to designate equity securities as at FVOCI; however, such designation is not permitted if the equity investments are held by the Bank for trading. The Bank has designated certain equity securities as at FVOCI.

(ii) Recognition of Interest Income Using Effective Interest Rate Method

Interest income on financial assets at amortized cost and financial assets at FVOCI is calculated by applying the effective interest rate to the gross carrying amount of the financial assets except for those that are subsequently identified as credit-impaired and those that are purchased or originated credit-impaired assets.

The effective interest rate is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of effective interest rate.

The Bank recognizes interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the instrument; hence, it recognizes the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset are revised for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset with an increase or reduction in interest income.

The Bank calculates interest income by applying the effective interest rate to the gross carrying amount of the financial assets, except for those that are subsequently identified as credit-impaired and or are purchased or originated credit-impaired assets.

For financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the net carrying amount of the financial assets (after deduction of the loss allowance). If the asset is no longer credit-impaired, the calculation of interest income reverts to gross basis. For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying a credit-adjusted effective interest rate to the amortized cost of the asset. The calculation of interest income does not revert to a gross basis even if the credit risk of the asset subsequently improves.

(iii) Impairment of Financial Assets

The Bank recognizes allowances for ECL on a forward-looking basis associated with its financial assets at amortized cost and debt securities at FVOCI. No impairment loss is recognized on equity investments that is designated at FVOCI. Recognition of credit losses is no longer dependent on the Bank's identification of a credit loss event. The measurement of the ECL reflects: (i) an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes; (ii) the time value of money; and, (iii) reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

The amount of allowance for ECL is updated at the end of each reporting period to reflect the changes in credit risk of the financial asset since initial recognition. The Bank recognizes lifetime ECL when there has been a significant increase in credit risk (SICR) since initial recognition. However, if the credit risk on the financial instrument has not increased significantly since initial recognition, the Bank measures the loss allowance for that financial instrument at an amount equal to 12-month ECL. Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within 12 months after the end of the reporting period.

The Bank's ECL model follows a three-stage impairment approach, which guide in the determination of the loss allowance to be recognized in the financial statements. The staging of financial assets, definition of default for purposes of determining ECL, and credit risk assessment are further discussed in Note 4.

ECL is a function of the probability of default (PD), loss-given default (LGD), and exposure-at-default (EAD), with the timing of the loss also considered, and is estimated by incorporating forward-looking economic information and through the use of experienced credit judgement. These elements are discussed more fully in Notes 4.1.6(a) and 4.1.6(b).

Measurement of ECL

The Bank calculates ECL on a collective basis. For modelling ECL parameters which were carried out on a collective basis, the financial instruments are grouped on the basis of shared credit risk characteristics, such as but not limited to instrument product type, collateral type, and historical net charge-offs of the borrowers or counterparties.

Also, the Bank applies a simplified ECL approach for its accounts receivables wherein the Bank uses a provisioning matrix that considers historical changes in the behaviour of the portfolio of credit exposures based on internally collected data to predict conditions over the span of a given observation period. These receivables include claims from various counterparties, which are not originated through the Bank's lending activities. For these instruments, the Bank measures the loss allowance of an amount equal to lifetime ECL.

The Bank recognizes an impairment loss in profit or loss for all financial instruments subjected to ECL impairment assessment with a corresponding adjustment to their carrying amount through a loss allowance account. With respect to investments in debt securities that are measured at FVOCI, the related loss allowance account is recognized in other comprehensive income and accumulated in the Revaluation Reserve account, and does not reduce the carrying amount of the financial asset in the statement of financial position.

(iv) Derecognition of Financial Assets

Modification of Loans

When the Bank derecognizes a financial asset through renegotiation or modification of contractual cash flows of loans to customers, the Bank assesses whether or not the new terms are substantially different to the original terms.

The Bank considers, among others:

- if the borrower is in financial difficulty, whether the modification merely reduces the contractual cash flows to amounts the borrower is expected to be able to pay;
- whether any substantial new terms are introduced that will affect the risk profile of the loan;
- significant extension of the loan term when the borrower is not in financial difficulty;

- significant change in the interest rate;
- change in the currency the loan is denominated in; and/or,
- insertion of collateral, other security or credit enhancements that will significantly affect the credit risk associated with the loan.

If the terms are substantially different, the Bank derecognizes the original financial asset and recognizes a “new” asset at fair value and recalculates a new effective interest rate for the asset. The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation, including for the purpose of determining whether a SICR has occurred.

However, the Bank also assesses whether the new financial asset recognized is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments. Differences in the carrying amount are recognized as gain or loss on derecognition of financial assets in profit or loss.

As to the impact on ECL measurement, the expected fair value of the “new” asset is treated as the final cash flow from the existing financial asset at the date of derecognition; such amount is included in the calculation of cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Bank recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognizes a modification gain or loss in profit or loss.

The new gross carrying amount is recalculated by discounting the modified cash flows of the original effective interest rate (or credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets).

As to the impact on ECL measurement, the derecognition of the existing financial asset will result in the expected cash flows arising from the modified financial asset to be included in the calculation of cash shortfalls from the existing financial asset.

Derecognition other than Modification of Loans

A financial asset (or where applicable, a part of a financial asset or part of a group of financial assets) is derecognized when the contractual rights to receive cash flows from the financial instruments expire, or when the financial assets and all substantial risks and rewards of ownership have been transferred to another party.

If the Bank neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Bank recognizes its retained interest in the asset and an associated liability for amounts it may have to pay. If the Bank retains substantially all the risks and rewards of ownership of a transferred financial asset, the Bank continues to recognize the financial asset and also recognizes a collateralized borrowing for the proceeds received.

(b) *Financial Liabilities at Amortized Cost*

Financial liabilities which include deposit liabilities and other liabilities (except for tax related payables and post-employment defined benefit obligation), are recognized when the Bank becomes a party to the contractual terms of the instrument.

2.4 *Bank Premises, Furniture, Fixtures and Equipment*

Land is stated at cost less impairment losses, if any. All other items of bank premises, furniture, fixtures and equipment are carried at acquisition cost less subsequent depreciation, amortization and any impairment losses.

Depreciation is computed on a straight-line basis over the estimated useful lives of the assets as follows:

Bank premises	20 to 50 years
Office furniture, fixtures and equipment	5 years

Leasehold improvements are amortized using the estimated useful lives of 5 years or the remaining term of the lease, whichever is shorter.

2.5 *Investment Properties*

Investment properties include land and buildings acquired by the Bank, in settlement of loans from defaulting borrowers through foreclosure or dacion in payment. These properties are held either to earn rental income or for capital appreciation or for both, but not held for sale in the next twelve months or used in the rendering of services or for administrative purposes.

Investment properties are stated at cost, less accumulated depreciation and any impairment losses [see Note 3.2(g)]. The cost of an investment property comprises its purchase price and directly attributable costs incurred. For these assets, the cost is recognized initially at the lower of the outstanding loan balance or bid price, which should not be higher than the appraised value of the property.

Buildings include under investment properties have estimated useful life of 10 years and are depreciated using the straight-line basis.

Transfers from other accounts (such as bank premises, furniture, fixtures and equipment) are made to investment properties when and only when, there is a change in use, evidenced by ending of owner-occupation or holding the property for capital appreciation, while transfers from investment properties are made when, and only when, there is a change in use, evidenced by commencement of owner-occupation.

2.6 *Assets Held-for-Sale*

Assets held-for-sale pertain to motor vehicles and jewelry items, presented as part of the Other Resources account in the statement of financial position, which are acquired through repossession or foreclosure where the Bank intends to sell within one year from the date of classification as held for sale and remains committed to immediately dispose the assets through an active marketing plan.

Assets held-for-sale are measured at the lower of their carrying amounts, immediately prior to their classification as held for sale, and their fair value less costs to sell. These assets are not subject to depreciation.

2.7 Intangible Assets

Intangible assets include acquired branch license and computer software used in operations and administration which are accounted for under the cost model and presented under the Other Resources account in the statement of financial position.

Acquired branch license is classified as intangible assets with indefinite useful life, hence, is not subject to amortization but would require an annual test for impairment [see Note 3.2(g)]. Branch license is subsequently carried at cost less accumulated impairment losses, if any.

Capitalized software costs are amortized on a straight-line basis over the estimated useful lives (ranging from five to ten years) as these intangible assets are considered finite.

2.8 Other Income and Expense Recognition

Revenue is recognized only when (or as) the Bank satisfies a performance obligation by transferring control of the promised services to the customer. A contract with a customer that results in a recognized financial instrument in the Bank's financial statements may partially be within the scope of PFRS 9 and partially within the scope of PFRS 15, *Revenue from Contracts with Customers*. In such case, the Bank first applies PFRS 9 to separate and measure the part of the contract that is in-scope of PFRS 9, and then applies PFRS 15 to the residual part of the contract.

The Bank earns service fees and commissions on various banking services, and gains on sale of properties, which are supported by contracts approved by the parties involved. These revenues are accounted for by the Bank in accordance with PFRS 15.

For revenues arising from various banking services, which are to be accounted for under PFRS 15, *Revenues from Contracts with Customers*, the following provides information about the nature and timing of satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies:

- (a) *Service charges and fees* are generally recognized on an accrual basis when the service has been provided. Fees arising from negotiating, or participating in the negotiation of, a transaction for a third party, such as the arrangement of the acquisition of debt instruments or other securities, are recognized on completion of the underlying transaction. Other service fees are recognized based on the applicable service contracts, usually on a time-appropriate basis.
- (b) *Trust fees* are service fees calculated in reference to the net asset value of the funds managed and deducted from the customers' account balance on a monthly basis which are recognized over time as the asset management services are provided. These are recognized in profit or loss, as part of Miscellaneous under Other Operating Income.

- (c) *Penalties on loans*, presented as part of Miscellaneous Income, are recognized only upon collection or accrued when there is a reasonable degree of certainty as to its collectability.

For other income outside the scope of PFRS 15, the following provides information about the nature and the related revenue recognition policies:

- (a) *Gains from assets acquired/exchanged* are from the disposals of bank premises, furniture, fixtures and equipment, investment properties, or assets held-for-sale, if any. The Bank recognizes gain on sale at a point in time, subject to the following additional criteria:
- when control of the asset is transferred to the buyer;
 - when the Bank does not retain either continuing managerial involvement to the degree usually associated with ownership, or effective control over the assets sold; and,
 - when the collectability of the entire sales price is reasonably assured.

These are recognized in profit or loss, as part of Miscellaneous under Other Operating Income.

- (b) *Dividend income* is recognized when the Bank's right to receive payment is established.

Collections from accounts, which did not qualify from revenue recognition, are treated as customers' deposits and are included as part of Accounts payable under Other Liabilities account in the statement of financial position.

2.9 Leases

The Bank accounts for its leases as follows:

- (a) *Bank as a Lessee*

Subsequent to initial measurement, the Bank amortizes the right-of-use asset on a straight-line basis from the lease commencement date over the useful life of the right-of-use asset or the term of the lease, whichever is shorter. The Bank also assesses the right-of-use asset for impairment when such indicators exist [see Note 3.2(g)].

The Bank has elected to account for any short-term leases (less than 12 months) using the practical expedients. Instead of recognizing a right-of-use asset and lease liability, the lease payments in relation to these are recognized as an expense in profit or loss on a straight-line basis over the lease term.

The corresponding right-of-use assets and lease liabilities are presented as part of Bank Premises, Furniture, Fixtures and Equipment, and Other Liabilities, respectively, in the statement of financial position.

- (b) *Bank as a Lessor*

Leases, which do not transfer to the lessee substantially all the risks and benefits of ownership of the asset, are classified as operating leases. Lease income from operating leases is recognized in profit or loss on a straight-line basis over the lease term.

2.10 Employee Benefits

The Bank provides benefits to employees through a defined benefit plan and defined contribution plan, and other employee benefits.

The Bank's defined benefit post-employment plan covers all regular full-time employees. The pension plan is tax-qualified, non-contributory and administered by a trustee.

The defined benefit obligation is calculated annually by independent actuaries using projected unit credit method.

3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the Bank's financial statements in accordance with PFRS Accounting Standards requires management to make judgments and estimates that affect the amounts reported in the financial statements and related notes. Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may ultimately differ from these estimates.

3.1 Critical Management Judgments in Applying Accounting Policies

In the process of applying the Bank's accounting policies, management has made the following judgments, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements:

(a) Going Concern Assumption

When preparing financial statements, management makes an assessment of the Bank's ability to continue as a going concern. It prepares financial statements on a going concern basis unless management either intends to liquidate the Bank or to cease trading, or has no realistic alternative but to do so. When management is aware in making its assessment of uncertainties related to events or conditions that may cast significant doubt upon the Bank's ability to continue as a going concern, the Bank discloses those uncertainties.

In assessing whether the going concern assumption is appropriate, management takes into account all available information about the future, which is at least, but is not limited to, 12 months from the end of the reporting period. The degree of consideration depends on the facts in each case. Management may need to consider a wide range of factors relating to current and expected profitability, debt repayment schedules and potential sources of replacement financing before it can satisfy itself that the going concern basis is appropriate.

The management has come up with the plan in prior years to implement various measures to improve the Bank's operating condition within a reasonable period. These measures under the plan include formulation of a capital build up plan in compliance with existing minimum capital requirement of the BSP and the implementation of business improvement plan.

The Bank implemented the following:

- monitoring of capital level to ensure compliance with minimum capital requirements;
- implemented programs and policy to strengthen the Bank's marketing strategy on its deposits and loan products;
- strengthening the risk management oversight through regular meetings; and,
- rationalization and review of the Bank's business relationship and opportunities with its related parties.

Management believes that the Bank will continue as a going concern because the Bank has complied with the minimum capital requirement in 2024 and 2023. As of September 30, 2025, the Bank's total adjusted capital amounted to P1,308.6 million (see also Notes 1.2 and 17.4). To ensure that the Bank will maintain its compliance on the minimum capital requirement, the following were the actions taken by management:

- In 2022, the Bank introduced new loan products. It was accredited by the Department of Education to engage in Automatic Payroll Deduction Salary (APDS) loans to teaching and non-teaching personnel in the public school system. The Bank also introduced Smallbiz loan which caters the small and midsize enterprises. As of December 31, 2024 and 2023, such new loan products have been growing and have total loan releases amounting to P1,302.2 million and P1,371.4 million for APDS loan and P73.3 million and P75.0 million for Smallbiz loan, respectively.
- In 2023, the Bank received additional capital infusions from two stockholders in the total amount of P112.0 million.
- In 2024, the Bank has started the development of its digital banking application to keep up with its customers' demands and is awaiting approval from BSP. Moreover, the Bank has a potential foreign investor which will attract additional investors and businesses, both locally and internationally. As of December 31, 2024, the buy-in is still ongoing as the Bank is still complying with its closing conditions.

(b) Application of ECL to Loans and Receivables and Financial Assets at FVOCI

The Bank uses simplified approach and historical loss rates to calculate ECL for Loans and Receivables and external benchmarking approach for debt instruments carried at FVOCI. The allowance for impairment is based on the ECLs associated with the PD of a financial instrument in the next 12 months, unless there has been a significant increase in credit risk since origination of the financial instrument, in such case, a lifetime ECL for the instrument is recognized. This is where significant management judgment is required.

The Bank has established a policy to perform an assessment, at the end of each reporting period, whether a financial instrument's credit risk has significantly increased since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

(c) *Evaluation of Business Model Applied and Testing the Cash Flow Characteristics of Financial Assets in Managing Financial Instruments*

The Bank manages its financial assets based on business models that maintain adequate level of financial assets to match its expected cash outflows, largely its core deposit funding arising from customers' withdrawals and continuing loan disbursements to borrowers, while maintaining a strategic portfolio of financial assets for trading activities consistent with its risk appetite.

The Bank developed business models which reflect how it manages its portfolio of financial instruments. These business models need not be assessed at entity level or as a whole but shall be applied at the level of a portfolio of financial instruments (i.e., group of financial instruments that are managed together by the Bank) and not on an instrument-by-instrument basis (i.e., not based on intention or specific characteristics of individual financial instrument).

In determining the classification of a financial instrument, the Bank evaluates in which business model a financial instrument or a portfolio of financial instruments belong to taking into consideration the objectives of each business model established by the Bank (e.g., held-for-trading, generating accrual income, direct matching to a specific liability) as those relate to the Bank's investment, trading and lending strategies. Furthermore, the Bank assesses whether the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal outstanding, with interest representing time value of money and credit risk associated with the principal amount outstanding.

The assessment as to whether the cash flows meet the test is made in the currency in which the financial asset is denominated. Any other contractual term that changes the timing or amount of cash flows (unless it is a variable interest rate that represents time value of money and credit risk) does not meet the amortized cost criteria. In cases where the relationship between the passage of time and the interest rate of the financial instrument may be imperfect, known as modified time value of money, the Bank assesses the modified time value of money feature to determine whether the financial instrument still meets the SPPI criterion.

The objective of the assessment is to determine how different the undiscounted contractual cash flows could be from the undiscounted cash flows that would arise if the time value of money element was not modified (the benchmark cash flows). If the resulting difference is significant, the SPPI criterion is not met. In view of this, the Bank considers the effect of the modified time value of money element in each reporting period and cumulatively over the life of the financial instrument.

If more than an infrequent sale is made out of a portfolio of financial assets carried at amortized cost, the Bank assesses whether and how such sales are consistent with the objective of collecting contractual cash flows. In making this judgment, it considers certain circumstances documented in its business model manual to assess that an increase in the frequency or value of sales of financial instruments in a particular period is not necessarily inconsistent with a held-to-collect business model if the Bank can explain the reasons for those sales and why those sales do not reflect a change in the Bank's investment objective for the business model.

(d) *Distinguishing Investment Properties and Owner-occupied Properties*

The Bank determines whether a property qualifies as investment property. In making its judgment, the Bank considers whether the property generates cash flows largely independent of the other assets held by the Bank. Owner-occupied properties generate cash flows that are attributable not only to the property but also to other assets used in its banking operations.

Some properties comprise a portion that is held to earn rental or for capital appreciation and another portion that is held for use in its banking operation and services or for administrative purposes. If a portion can be sold separately (or leased out separately under finance lease), the Bank accounts for the portion separately. If a portion cannot be sold separately, the property is accounted for as investment property only if an insignificant portion is held for use in its banking operation or services or for administrative purposes. Judgment is applied in determining whether ancillary services are so significant that a property does not qualify as investment property. The Bank considers each property separately in making its judgment.

(e) *Determination of Branch Licenses Having Indefinite Useful Lives*

The Bank's branch licenses were regarded as having an indefinite useful life considering there is no foreseeable limit to the period over which such assets are expected to generate net cash inflows for the Bank. The assessment of having indefinite useful lives is reviewed periodically and is updated whether events and circumstances such as the period of control over these assets and legal or similar limits on the use of these assets continue to support such assessment.

(f) *Determination of Lease Term of Contracts*

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

The Bank did not include renewal options as part of the lease term as the terms are renewable upon mutual agreement of both parties.

The lease term is reassessed if an option is actually exercised or not exercised or the Bank becomes obliged to exercise or not exercise it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within the control of the Bank.

(g) *Distinguishing Operating and Finance Leases where the Bank is the Lessor*

The Bank has entered into various lease agreements as a lessor. Critical judgment was exercised by management to distinguish each lease agreement as either an operating or finance lease by looking at the transfer or retention of significant risk and rewards of ownership of the properties covered by the agreements. Failure to make the right judgment will result in either overstatement or understatement of assets and liabilities. Management assessed that all of its existing lease arrangements qualify as operating leases.

(b) Recognition of Provisions and Contingencies

Provisions are recognized when present obligations will probably lead to an outflow of economic resources, and they can be estimated reliably even if the timing or amount of the outflow may still be uncertain. Similarly, possible outflows of economic benefits to the Bank that do not meet the recognition criteria of a liability are considered contingent liabilities, hence, are not recognized in the financial statements.

Judgment is exercised by management to distinguish between provisions and contingencies. Relevant disclosures on those provisions and contingencies are presented in Note 24.

In dealing with the Bank's various legal proceedings, the Bank's estimate of the probable costs that may arise from claims and contingencies has been developed in consultation and coordination with the Bank's internal and external legal counsels acting in defense for the Bank's legal cases and are based upon the analysis of probable results. Although the Bank does not believe that its on-going legal proceeding will have a material adverse effect on the Bank's financial position, it is possible that future results of operations could be materially affected by changes in the estimates or in the effectiveness of the strategies conducted relating to those proceedings.

3.2 Key Sources of Estimation Uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting period:

(a) Estimation of Allowance for ECL on Financial Assets

When measuring allowance for ECL for relevant categories of financial assets, management applies judgment in defining the criteria in assessing whether a financial asset has experienced SICR since initial recognition, and in the estimation of the contractual cash flows due from counterparty and those that the Bank would expect to receive, taking into account the cash flows from the realization of collateral and integral credit enhancements.

The Bank's ECL calculations are outputs of complex models with a number of underlying assumptions about future economic conditions and credit behavior of counterparties (e.g., the likelihood of counterparties defaulting and the resulting losses).

The computation of the ECL also considers the use of reasonable and supportable forward-looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect each other that may result in different levels of loss allowance.

Significant factors affecting the estimates on the ECL model include:

- criteria for assessing if there has been an SICR and when a financial asset will be transferred between the three stages;

- the Bank's definition of default for different segments of credit exposures that considers the regulatory requirements;
- establishing groups of similar financial assets (i.e., segmentation) for the purposes of measuring ECL on a collective basis;
- establishment of LGD parameters based on historical recovery rates of claims against defaulted counterparties across different group of financial instruments particularly coming from the disposal of the collaterals of the borrowers after foreclosure, repossession or collection efforts; and,
- establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL.

Explanation of the inputs, assumptions and estimation used in measuring ECL, and the analysis of the allowance for ECL on various groups of financial instruments is further detailed in Notes 4.1.6 and 4.1.7, respectively.

(b) *Determination of Appropriate Discount Rate in Measuring Lease Liabilities*

The Bank measures its lease liabilities at present value of the lease payments that are not paid at the commencement date of the lease contract. The lease payments were discounted using a reasonable rate deemed by management equal to the Bank's incremental borrowing rate. In determining a reasonable discount rate, management considers the term of the leases, the underlying asset and the economic environment. Actual results, however, may vary due to changes in estimates brought about by changes in such factors.

(c) *Fair Value Measurement for Financial Instruments*

Management applies valuation techniques to determine the fair value of financial instruments where active market quotes are not available. This requires management to develop estimates and assumptions based on market inputs, using observable data that market participants would use in pricing the instrument. Where such data is not observable, management uses its best estimate. Estimated fair values of financial instruments may vary from the actual prices that would be achieved in an arm's length transaction at the end of the reporting period.

The carrying values of the Bank's financial assets at FVOCI and the amounts of fair value changes recognized on those assets are disclosed in Notes 6 and 10, respectively.

(d) *Estimating Useful Lives of Bank Premises, Furniture, Fixtures and Equipment including Right-of-use Assets, Buildings classified as Investment Properties, and Computer Software presented as part of Other Resources*

The Bank estimates the useful lives of bank premises, furniture, fixtures and equipment which includes right-of-use assets, buildings under investment properties, and computer software are based on the period over which the assets are expected to be available for use. The estimated useful lives of those assets are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the assets.

The carrying amounts of these assets are presented in Notes 12, 13 and 14. Based on management's assessment as at September 30, 2025 and December 31, 2024, there is no change in the estimated useful lives of these assets during those years. Actual results, however, may vary due to changes in estimates brought about by changes in factors mentioned above.

(e) *Fair Value Measurement for Investment Properties*

The Bank's investment properties are composed of parcels of land and buildings acquired from defaulting borrowers and are not held for sale within the next twelve months from the end of reporting period. The estimated fair values of these assets, as disclosed in Notes 6 and 13, are determined by in-house and independent appraisers applying the relevant valuation methodologies as described therein.

For investment properties with appraisal conducted prior to the end of the reporting period, management determines whether there are significant circumstances during the intervening period that may require adjustments or changes in the disclosure of the fair value of those properties.

A significant change in key inputs and sources of information used in the determination of the fair value disclosed for those assets may result in adjustment in the carrying amount of the assets reported in the financial statements if their fair value will indicate evidence of impairment.

(f) *Determining Realizable Amount of Deferred Tax Assets*

The Bank reviews its deferred tax assets at the end of each reporting period and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Management assessed that the carrying amount of deferred tax assets recognized in the statements of financial position as disclosed in Note 20 can be utilized in the coming years or within their prescriptive period.

(g) *Estimating Impairment of Non-financial Assets*

The Bank's premises, furniture, fixtures and equipment (including right-of-use assets), investment properties, intangible assets and other non-financial assets are subject to impairment testing.

Except for intangible assets with indefinite useful lives, which are tested for impairment at least annually, PFRS Accounting Standards require that an impairment review be performed when certain impairment indications are present. In assessing impairment, management estimates the recoverable amount of each asset or cash-generating unit based on expected future cash flows and uses an interest rate to calculate the present value of those cash flows.

Estimation uncertainty relates to assumptions about future operating results and the determination of a suitable discount rate [see Note 3.2(g)].

Though management believes that the assumptions used in the estimation of fair values of non-financial assets are appropriate and reasonable, significant changes in these assumptions may materially affect the assessment of recoverable amount and any resulting impairment loss could have a material adverse effect on the Bank's results of operations.

Based on management's assessment, the Bank's non-financial assets were not impaired as of September 30, 2025 and December 31, 2024.

(b) Valuation of Post-employment Defined Benefit Plan

The determination of the amounts of post-employment benefit obligation is dependent on the selection of certain assumptions used by actuaries in calculating such amounts. Those assumptions include, among others, discount rates and expected rate of salary increases. A significant change in any of these actuarial assumptions may generally affect the recognized expense, other comprehensive income or loss, and the carrying amount of the post-employment benefit obligation in the next reporting period. The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the effect of the changes in the assumptions used in estimating such obligation are presented in Note 19.2.

4. RISK MANAGEMENT OBJECTIVES AND POLICIES

Overall risk management function provides an oversight of the management of risks. The risk management function is generally responsible for (a) identifying the key risk exposures and assessing and measuring the extent of risk exposures of the Bank and its Trust operations; (b) monitoring the risk exposures and determining, on an on-going basis, the corresponding capital requirement in accordance with the Bank's internal capital adequacy assessment; (c) accepting risks that are within the Bank's approved risk tolerance and risk appetite after considering risk mitigation measures; and, (d) reporting on a regular basis to the ROC and BOD of the results of risk assessment and monitoring.

The Bank's Risk Oversight Committee (ROC) is a standing committee of the BOD. The ROC assists the BOD in fulfilling its responsibilities with respect to the Bank's risk governance structure and risk management guidelines and policies including the supervision of the competency of the Chief Risk Officer. The ROC reports to the BOD the Bank's risk profile, risk management framework, and relevant policies and practices employed to identify and manage risks. It also oversees the overall adequacy of the risk management function including the design, implementation, and maintenance of an effective risk program aligned with regulatory requirements. In this regard, the Bank's senior management are primarily responsible for implementing risk controls and strategies in their respective areas of operation.

4.1 Credit Risk

Credit risk is the risk that a counterparty may default on payments, which is primarily driven by the lending and investment activities of the Bank. To manage this risk, the Bank leverages the expertise of its Loan Operations Group (LOG), Credit, Collections & Remedial Group (CCRG), and Lending Group (LG), which oversees the lending process from origination to disbursement.

Measuring credit risk requires estimations of the probability of default (PD), loss given default (LGD), and exposure-at-default (EAD) for each counterparty. These measures are used to quantify credit risk and ensure compliance with accounting standards under PFRS 9. Furthermore, the Bank considers default correlations between counterparties to assess systemic risk in its portfolio.

By closely monitoring credit risk, the Bank maintains a balance between risk and reward and protects its financial stability. The use of standard measures such as PD, LGD, and EAD, along with the expertise of its dedicated departments, enables the Bank to manage credit risk efficiently.

4.1.1 Credit Quality Analysis

Generally, the maximum credit risk exposure of financial assets is the carrying amount of the financial assets as shown in the statements of financial position, as summarized below. Credit risks related to Cash and Other Cash Items, Due from BSP, Due from Other Banks, and Loans and Receivables Arising from Reverse Repurchase Agreement are negligible, since the counterparties are reputable institutions with high quality external credit ratings.

<i>Amounts in PHP</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Cash and other cash items		90,930,660	115,014,170.00
Due from BSP	7	962,591,826	269,520,447.00
Due from other banks	8	120,052,477	243,997,212.00
Loans and receivables arising from reverse repurchase agreement	9	430,000,000	329,000,000.00
Financial assets at FVOCI	10	197,527,259	193,328,781.00
HTC financial assets	10	1,137,878,318	564,045,185.00
Loans and other receivables	11	4,294,179,623	3,860,712,491.00
Other resources	14	52,496,426	12,511,187.00
		7,285,656,589	5,588,129,473

The following tables set out information about the credit quality of loans and other receivables, HTC financial assets and financial assets at FVOCI in 2025, 2024 and 2023 based on PFRS 9. As of December 31, 2024 and 2023, there are no purchased or originated credit-impaired financial assets in the Bank's financial statements.

<i>(Amounts in PHP)</i>	<u>2025</u>			
	<u>Stage 1</u>	<u>Stage 2</u>	<u>Stage 3</u>	<u>Total</u>
Loans and other receivables				
Performing:				
Current	3,776,817,604	234,173	0	3,777,051,776
Past due	0	150,850,223	0	150,850,223
Non-performing:				
Past due	0	0	374,572,202	374,572,202
Items in litigation	0	0	92,456,875	92,456,875
	3,776,817,604	151,084,396	467,029,077	4,394,931,076
Expected credit loss allowance	(27,533,628)	(7,185,627)	(66,032,199)	(100,751,453)
Carrying Amount	3,749,283,975	143,898,769	400,996,878	4,294,179,623

HTC Financial Assets

Gross Amount	1,137,698,642		1,137,698,642
Expected credit loss allowance	(28,952)		(28,952)
	1,137,669,689	0	1,137,669,689

Financial assets at FVOCI

Carrying amount	161,325,399		161,325,399
-----------------	-------------	--	-------------

OTHER RESOURCES

Carrying amount	52,496,426		52,496,426
-----------------	------------	--	------------

(Amounts in PHP)	2025			
	Stage 1	Stage 2	Stage 3	Total
Loans and other receivables				
Performing:				
Current	3,876,455,950	421,529	0	3,876,877,479
Past due	300,282	54,037,059	0	54,337,341
Non-performing:				
Past due	0	0	365,972,007	365,972,007
Items in litigation	0	0	92,456,875	92,456,875
	3,876,756,233	54,458,588	458,428,882	4,389,643,702
Expected credit loss allowance	(39,226,808)	(5,424,782)	(58,382,982)	(103,034,572)
Carrying Amount	3,837,529,425	49,033,805	400,045,900	4,286,609,130

HTC Financial Assets

Gross Amount	1,137,698,642		1,137,698,642
Expected credit loss allowance	(28,952)		(28,952)
	1,137,669,689	0	1,137,669,689

Financial assets at FVOCI

Carrying amount	160,501,699		160,501,699
-----------------	-------------	--	-------------

OTHER RESOURCES

Carrying amount			36,223,353	36,223,353
-----------------	--	--	------------	------------

(Amounts in PHP)	2024			
	Stage 1	Stage 2	Stage 3	Total
Loans and other receivables				
Performing:				
Current	3,228,615,846	-	16,745,964	3,245,361,810
Past due	152,948,516	107,565,372	6,696,853	267,210,741
Non-performing:				
Past due	4,964,491	89,374,883	248,167,823	342,507,197
Items in litigation	-	-	110,786,105	110,786,105
	3,386,528,853	196,940,255	382,396,745	3,965,865,853
Expected credit loss allowance	(32,710,788)	(17,843,781)	(54,598,793)	(105,153,362)
	3,353,818,065	179,096,474	327,797,952	3,860,712,491
HTC financial assets				
Gross amount	564,074,137	-	-	564,074,137
Expected credit loss allowance	(28,952)	-	-	(28,952)
	564,045,185	-	-	564,045,185

(Amounts in PHP)	2024			
	Stage 1	Stage 2	Stage 3	Total
Financial assets at FVOCI				
Carrying amount	158,438,797	-	-	158,438,797
Other resources				
Carrying amount	12,511,186	-	-	12,511,186

	2023			
	Stage 1	Stage 2	Stage 3	Total
Loans and other receivables				
Performing:				
Current	3,082,495,312	-	-	3,082,495,312
Past due	-	68,303,385	974,249	69,277,634
Non-performing:				
Past due	-	-	169,477,199	169,477,199
Items in litigation	-	-	60,270,413	60,270,413
	3,082,495,312	68,303,385	230,721,861	3,381,520,558
Expected credit loss allowance	(37,408,422)	(18,082,360)	(35,989,061)	(91,479,843)
Carrying amount	3,045,086,890	50,221,025	194,732,800	3,290,040,715
HTC financial assets				
Gross amount	150,000,000	-	-	150,000,000
Expected credit loss allowance	(86,856)	-	-	(86,856)
Carrying amount	149,913,144	-	-	149,913,144
Financial assets at FVOCI				
Carrying amount	201,376,527	-	-	201,376,527
Other resources				
Carrying amount	-	-	15,508,984	15,508,984

4.1.2 Concentration of Credit Risk

The Bank monitors concentrations of credit risk by industry. An analysis of concentrations of credit risk at the end of the reporting period is shown below (gross of allowance for impairment, and unearned interests, discounts and other charges).

(Amounts in PHP)

<u>September 30, 2025</u>	<u>Due from BSP, Other Banks and Loans and Reverse Repurchase Agreements</u>	<u>Loans and Receivables</u>	<u>Investment Securities</u>
Financial intermediaries	1,512,644,303		1,137,878,318
Other community, social and personal activities		293,088,681	
Consumption		2,498,568,959	
Real estate, renting and other related activities		755,224,717	
Wholesale and retail trade		180,703,705	
Agriculture, fishing and Rural		14,380,340	
Manufacturing (various industries)		193,300,153	
Others		459,664,522	161,325,399
	<u>1,512,644,303</u>	<u>4,394,931,077</u>	<u>1,299,203,717</u>

**Due from BSP,
Other Banks
and Loans and**

<i>(Amounts in PHP)</i>	Reverse Repurchase Agreements	Loans and Receivables	Investment Securities
<u>December 31, 2024</u>			
Financial intermediaries	842,517,659	-	564,045,185
Other community, social and personal activities	-	315,528,163	-
Consumption	-	2,204,517,607	-
Real estate, renting and other related activities	-	667,011,290	-
Wholesale and retail trade	-	192,279,796	-
Agriculture, fishing and forestry	-	36,756,259	-
Manufacturing (various industries)	-	11,894,903	-
Others	-	537,877,835	158,438,797
	<u>842,517,659</u>	<u>3,965,865,853</u>	<u>722,483,982</u>

<i>(Amounts in PHP)</i>	Due from BSP, Other Banks and Loans and Reverse Repurchase Agreements	Loans and Receivables	Investment Securities
<u>December 31, 2023</u>			
Financial intermediaries	789,870,204	-	221,957,087
Other community, social and personal activities	-	312,210,523	-
Consumption	-	1,872,393,132	-
Real estate, renting and other related activities	-	891,927,978	-
Wholesale and retail trade	-	139,553,352	-
Agriculture, fishing and forestry	-	655,528	-
Manufacturing (various industries)	-	-	-
Others	-	164,780,045	129,332,584
	<u>789,870,204</u>	<u>3,381,520,558</u>	<u>351,289,671</u>

A significant portion of the Bank's other financial assets under Other Resources are invested in financial intermediaries' industry.

4.1.3 Credit Risk Management

The Credit Review Unit is responsible for conducting independent credit analysis and reviews to ensure consistency in the Bank's risk assessment process. The LOG and CCRG, on the other hand, perform risk ratings for both corporate and consumer accounts. They also ensure that the Bank's credit policies and procedures are adequate and regularly updated to meet the demands of the business. In addition, they develop and improve procedures to streamline and expedite the processing of credit applications.

Moreover, the Credit Risk Unit assists in managing the Bank's portfolio by reviewing associated risks such as industry sectors, loan size, and maturity. They then develop strategies to achieve the desired portfolio mix and risk profile for the Bank.

The Bank manages credit risk by setting limits on the amount of risk it accepts in relation to a single borrower or group of borrowers, as well as specific geographic or industry segments. These limits are monitored constantly and subject to annual or more frequent reviews.

To manage exposures to credit risk, the Bank conducts regular analysis of borrower's ability to meet interest and capital repayment obligations and adjusts lending limits accordingly. Credit risk is also mitigated by obtaining collaterals or guarantees.

To ensure compliance with BSP regulations, the LG reviews the Bank's loan portfolio to avoid significant unwarranted concentrations of exposure to individual or group of counterparties. The Bank maintains a financial exposure no greater than 25% of its net worth.

Loan classification is likewise an integral part of the Bank's management of credit risk. Loans are reviewed, classified, and rated on a regular basis taking into account internal and external factors that affect their performance. Impaired accounts are assessed, and additional loan loss provisions are set up based on the result of review, if necessary.

Generally, accounts are classified by the Bank based on the loan credit quality as follows:

(a) *Pass*

These are loans and other credit accommodations that pose a low credit risk. The borrower shows the apparent capacity and willingness to fulfil their obligations completely, and as a result, there is no expectation of loss in ultimate collection.

(b) *Especially Mentioned (EM)*

These are loans and other credit accommodations that possess weaknesses requiring close attention from management, which can jeopardize the credit relationship if economic or other events adversely affect the borrower. These weaknesses may include deficiencies in underwriting, documentation, structure, or credit administration, renewals or extensions without a reduction in the principal, potential adverse economic or market conditions, and intermittent delays or insufficient repayment. The Bank must evaluate these factors in the context of the borrower's overall financial strength, industry or market conditions, and total relationship with the institution.

(c) *Substandard*

These are loans and other credit accommodations that have clear weaknesses that may jeopardize full repayment or liquidation, including adverse trends or developments that affect the borrower's willingness or ability to repay. These weaknesses may include weak financial condition and operating results, past-due secured loans with collateral defects or adverse information, breach of key financial covenants, or a previous EM classification without adequate corrective action. Start-up firms are evaluated on a case-by-case basis.

(d) *Doubtful*

These are loans and other credit accommodations that exhibit more severe weaknesses than substandard loans where collection or liquidation is highly improbable, although the exact amount is undeterminable. Basic characteristics may include secured loans with collateral subject to adverse claims or material decline in value without additional collateral, or loans with an extremely high possibility of loss, but with pending factors such as mergers, acquisitions, or refinancing plans that may work to the advantage and strengthening of the asset.

(e) *Loss*

These are loans and other credit accommodations that are considered uncollectible or of little value. These assets are not viable for continued banking despite the possibility of some future recovery or salvage value. The borrower or co-makers/guarantors are insolvent, their earning power is permanently impaired, or their whereabouts are unknown. Additionally, the collateral securing the loan has no recoverable value. Loss is a transitional category for loans requiring write-off during the current reporting period.

These loan classifications are also used by the Bank as inputs and basis in determining the impairment losses as described in Note 2.3.

4.1.4 Credit Risk Exposure

The Bank's credit risk measurement is performed on different segments of financial asset portfolio such as: (a) corporate and retail loans, which generally include corporate, individual, housing and auto loans, (b) debt securities that are measured at amortized cost and at FVOCI; and, (c) jewelry loans. The Bank also established credit risk assessment procedures for sales contract receivables and other risk assets including accounts receivables.

(a) Corporate and Retail Loans

Loans and receivables are evaluated for possible losses, regardless of whether the accounts have been fully paid, extended or renewed in subsequent periods. To assess the credit risk of a portfolio of assets, the Bank uses a combination of qualitative and quantitative criteria to estimate the PDs, the associated LGDs, and default correlations between counterparties. These measurements are then used to determine the ECL in accordance with PFRS 9.

The Bank follows guidelines on credit classification as set out BSP Manual of Regulations for Banks (MORB) and BSP Circular No. 1011, which provides criteria for rating individual loans or groups of loans within a particular portfolio segment (i.e., EM, Substandard, Doubtful or Loss). Loans that are past due or exhibit signs of deterioration in credit quality are risk-rated and assigned a specific stage category under the PFRS 9 loan impairment standards (i.e., Stage 1, 2, 3).

For corporate loans, the rating is determined at the borrower level, taking into account both quantitative and qualitative factors such as financial performance, industry trends, and market conditions. The Bank regularly reviews its credit assessment system and updates it with new information as they become available. The Bank also obtains updated financial statements from publicly available sources to determine the internal credit rating and the corresponding PD for each borrower.

After the initial recognition of retail loans, borrower payment behaviour is regularly monitored to assess credit risk. ECL parameters are then determined collectively based on shared credit risk characteristics of the borrowers and the repayment terms of the loan products.

(b) Debt Securities Classified as Financial Assets at FVOCI and HTC Financial Assets

The Bank relies on credit ratings from reputable external rating agencies, such as Standard & Poor's (S&P's), to apply the external benchmarking approach to its debt securities. These ratings are continuously monitored and updated. The associated PDs for each rating are determined based on realized default rates over the previous 12 months, as published by the rating agency, unless there is an indication of a heightened credit risk.

(c) *Jewelry Loans*

The ECL of Jewelry Loans is computed using a simple loss rate approach. The provision rates for these loans are determined based on the Bank's historical experience with the sale of repossessed jewelry.

4.1.5 Expected Credit Loss Management

(a) *Assessment of SICR*

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Bank assesses the risk of a defaulting occurring over the remaining life of the financial instrument. This assessment, includes both quantitative and qualitative information that is reasonable and supportable, such as historical experience and forward-looking information, including macroeconomic conditions, state of economic sector, and geographical region relevant to the counterparty or borrower. Other counterparty-specific factors may also be considered.

As the Bank holds various types of financial instruments, the extent of assessment may depend on the materiality of the financial instrument or the complexity of the portfolio being assessed.

The Bank's ECL model follows a three-stage impairment approach in determining the loss allowance to be recognized in the financial statements:

- (i) Stage 1 – comprises all credit exposures that are considered 'performing' and have not shown any observed SICR since initial recognition. These exposures include financial instruments with low credit risk and the loss allowance is determined based on a 12-month ECL.
- (ii) Stage 2 – comprises all financial instruments that have been evaluated to have SICR since initial recognition based on the Bank's quantitative and qualitative criteria, but have not yet been classified as credit-impaired. With reference to the Bank's credit risk assessment, Stage 2 includes credit exposures that are considered 'under-performing', wherein risk ratings have been downgraded to EM. Additionally, Stage 2 financial instruments may include those where credit risk has improved and has been reclassified from Stage 3, subject to the Bank's observation period on the counterparty's creditworthiness. A lifetime ECL is recognized for these financial instruments.
- (iii) Stage 3 – comprises credit exposures that are assessed by the Bank as 'credit-impaired', thus considered as 'non-performing', based on the Bank's definition of default. Generally, these include accounts that are classified as Substandard, Doubtful and Loss. The Bank recognizes a lifetime ECL for all credit-impaired financial assets.

The Bank considers a debt security to have low credit risk if its credit risk rating is equivalent to a globally recognized definition of 'investment grade', as determined by at least one major rating agency. Other debt securities are deemed to have low credit risk if they have a low probability of default and the issuer has a strong capacity to fulfil its cash flow obligations in the near term.

Financial assets that are identified as credit-impaired upon initial recognition are categorized as purchased or originated credit-impaired assets. The recognition or release of ECL is contingent upon any subsequent changes in the ECLs.

The criteria for determining whether credit risk has significantly increased vary across portfolios, taking into account both quantitative and qualitative factors, such as delinquency. A borrower or counterparty is deemed to have well-defined credit weaknesses if, based on the Bank's internal credit assessment, the credit risk of a particular exposure has significantly increased since its initial recognition.

For portfolios with limited historical data, particularly for debt securities and government bonds, external benchmark information is used to supplement internally available data. The use of external benchmark information is particularly significant for portfolios with exposures to low default borrower segments in the measurement of ECL.

(b) Definition of Default

(i) Loans and Receivables

The Bank defines a financial asset as being in default, in alignment with the definition of credit-impaired asset, if it satisfies one or more of the following criteria:

- *Quantitative* – under this criterion, the Bank defines a loan instrument to be in default when the borrower is more than 90 days past due on its contractual payments.
- *Qualitative* – this criterion includes instances where the borrower is unlikely to fulfill its obligations and is deemed to be in significant financial difficulty. This includes cases where the borrower has undergone loan restructuring for economic or legal reasons relating to its financial difficulty on terms the Bank would otherwise not consider, the borrower has passed away, there has been a breach of financial covenant/s, or the borrower has entered bankruptcy or financial reorganization.

A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment.

An instrument is considered cured or no longer in default when the borrower can repay the instalments in arrears and the account no longer meets any of the default criteria for a consecutive period of 180 days within which the borrower must make consecutive payments.

These criteria have been applied to all financial instruments held by the Bank and are consistent with the definition of default used for internal credit risk management purposes. Such definition has been consistently applied in determining PD, EAD, and LGD throughout the ECL calculation of the Bank.

(ii) Debt Securities Classified as Financial Assets at FVOCI and HTC Financial Assets

For the Bank's debt securities, credit ratings published by reputable external rating agency (such as S&P) are used in relation to the external benchmarking adopted by the Bank. These ratings are continuously monitored and updated. The PD associated with each rating is determined based on realized default rates over the previous 12 months, as published by the rating agency. Losses expected as a result of future events, shall also be considered in estimating the ECL.

Further, objective evidence that the security is impaired includes observable data that comes to the attention of the holder of the security about the following loss events:

- significant financial difficulty of the issuer or obligor;
- breach of contract, such as a default or delinquency in interest or principal payments;
- the financial institution, for economic or legal reasons relating to the issuer's financial difficulty, granting to the issuer a concession that the financial institution would not otherwise consider;
- it becoming probable that the issuer will enter bankruptcy or other financial reorganization;
- the disappearance of an active market for that security because of financial difficulties; or,
- observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of securities since the initial recognition of those assets, although the decrease cannot yet be identified with the individual securities in the portfolio, including adverse change in the payment status of issuers in the portfolio; or national or local economic conditions that correlate with defaults on the securities in the portfolio.

The disappearance of an active market because a financial institution's held securities are no longer publicly traded is not evidence of impairment. Similarly, a downgrade of an issuer's credit rating is not, by itself, evidence of impairment, although it may be considered alongside other available information. Also, a decline in the fair value of a security below its cost or amortized cost is not necessarily evidence of impairment (for example, a decline in the fair value of an investment in debt security that results from an increase in the risk-free interest rate).

In making an assessment of whether an investment in sovereign debt is credit-impaired, the Bank considers the following factors:

- the market's assessment of creditworthiness as reflected in the bond yields;
- the rating agencies' assessment of creditworthiness;
- the country's ability to access the capital markets for new debt issuance;
- the probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness; or,

- the internal support mechanism in place to provide the necessary support as 'lender of last resort' to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfill the required criteria.

4.1.6 Expected Credit Loss Measurement Inputs

Integral in the Bank's established policies in measuring and calculating ECL on financial instrument is the use of appropriate model for each segment of financial asset that applies relevant inputs and assumptions, including forward-looking information as appropriate.

(a) Key Inputs and Assumptions in the Expected Credit Loss Model

The key elements used in the calculation of ECL are as follows:

- (i)* PD represents an estimate of likelihood of a borrower defaulting on its financial obligation over a given time horizon, either over the next 12 months (12-month PD) or over the remaining lifetime (lifetime PD) of the obligation. In determining PD, the Bank performs segmentation of its credit exposures based on homogenous characteristics. PD of collectively assessed credit exposure is determined based on the net flow rate which is developed from historical movements between one days past due bucket to the next.
- (ii)* LGD pertains to estimate of loss related to the amount that may not be recovered after the borrower defaults. The Bank estimates LGD parameters based on historical recovery rates of claims against defaulted counterparties, which takes into consideration the realization of any collateral that is integral to the financial asset.
- (iii)* EAD represents the gross carrying amount of the exposure in the event of default which include the amortized cost of an instrument and any accrued interest receivable. For lending commitments, the EAD includes the amount of drawn and undrawn irrevocable loan commitments under the contract, which are estimated based on historical observations and forward-looking forecast.

These three components are multiplied together and adjusted for the likelihood of survival (i.e., the exposure has not been prepaid or defaulted in an earlier month). This effectively calculates an ECL for each future month, which is then discounted back to and summed at the end of the reporting period. The discount rate used in the ECL calculation is the original effective interest rate or an approximation thereof.

(b) Overlay of Forward-looking Information

The Bank incorporates forward-looking information (FLI) in its assessment of significant increase in credit risk and calculation of ECL. The Bank has performed historical analysis and has identified the key macroeconomic variables (MEVs) impacting credit risk associated with its borrowers.

The MEVs and their associated impact on the PD, LGD and EAD vary by financial instrument. The effect of these MEVs on the PD, LGD, and EAD is determined by performing statistical regression analysis to understand how changes in one or several variables affect default rates as well as the components of LGD and EAD. The MEVs considered by the Bank includes economic data and forecasts published by government bodies (e.g., BSP and Philippine Statistics Authority). Accordingly, the Bank has identified key drivers for credit risk for each portfolio. Using an analysis on historical data, the Bank has estimated relationships between MEVs and credit risk and credit losses. Accordingly, the Bank has identified key drivers for credit risk for its corporate loan portfolio, which includes gross domestic product, interest rate, bank lending rate, and money supply. On the other hand, the key drivers for the Bank's retail loans portfolio include interest rates, gross domestic product, and consumer price index.

As with any economic forecasts, the projections and likelihoods of occurrence are subject to a high degree of inherent uncertainty, and therefore, the actual outcomes may be significantly different to those projections. The Bank considers these forecasts to represent its best estimate of the possible outcomes.

4.1.7 Allowance for Expected Credit Losses

The following tables show the reconciliation of the loss allowance for ECL by class of financial instruments at the beginning and end of 2024 and 2023.

(a) Loans and Receivables

(Amounts in PHP)	2024			
	Stage 1	Stage 2	Stage 3	Total
Balance at January 1, 2024	37,408,422	18,082,360	35,989,061	91,479,843
Transfers to:				
Stage 2	(17,922,622)	17,922,622	-	-
Stage 3	(48,211,409)	(2,238,529)	50,449,938	-
New financial assets originated – Remained in Stage 1	92,006,245	-	-	92,006,245
Financial assets derecognized or repaid during the year	(31,679,674)	(17,886,092)	(28,766,960)	(78,332,726)
	(5,807,460)	(2,201,999)	21,682,978	13,673,519
Balance at December 31, 2024	31,600,962	15,880,361	57,672,039	105,153,362
	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance at January 1, 2023	14,234,488	4,822,141	14,186,250	33,242,879
Transfers to:				
Stage 2	(46,119,927)	46,119,927	-	-
Stage 3	(271,616)	(32,143,428)	32,415,044	-
New financial assets originated – Remained in Stage 1	73,518,405	-	-	73,518,405
Financial assets derecognized or repaid during the year	(3,952,928)	(716,280)	(10,612,233)	(15,281,441)
	23,173,934	13,260,219	21,802,811	58,236,964
Balance at December 31, 2023	37,408,422	18,082,360	35,989,061	91,479,843

(b) *HTC Financial Assets and Financial Assets at FVOCI*

For the Bank's HTC financial assets, the Bank has recognized ECL amounting to P0.03 million and P0.09 million in 2024 and 2023, respectively. The information on how the significant changes in the gross carrying amount of the financial instruments contributed to the changes in the amount of allowance for ECL are presented in Note 4.1.9.

4.1.8 Credit Risk Exposures

The Bank's maximum exposure to credit risk is equal to the carrying value of its financial assets, except for certain secured loans and receivables from customers, as shown in the succeeding page (gross of allowance for impairment, and net of unearned interests, discounts and other charges).

<i>(Amounts in PHP)</i>	Gross Maximum Exposure	Fair Value of Collaterals	Net Exposure	Financial Effect of Collaterals
2025				
Loans	3,933,556,314	3,189,807,519	743,748,795	4,294,179,623
Sales Contract Receivables	350,623,977	474,296,584	-	350,623,977
Other Receivables	109,040,545	-	109,040,545	-
	<u>4,393,220,836</u>	<u>3,664,104,103</u>	<u>852,789,340</u>	<u>4,644,803,600</u>
2024				
Loans	3,427,988,019	2,886,875,328		2,906,875,328
Sales Contract Receivables	379,437,267	507,587,925		379,437,267
Other Receivables	158,440,567		158,440,567	
	<u>3,965,865,853</u>	<u>3,394,463,253</u>	<u>158,440,567</u>	<u>3,286,312,595</u>

4.1.9 Significant Changes in Gross Carrying Amount Affecting Allowance for ECL

The tables below and in the succeeding page provide information how the significant changes in the gross carrying amount of financial instruments in 2024 and 2023 contributed to the changes in the allowance for ECL (net of unearned interests, discounts and other charges).

(a) *Loans and Receivables*

<i>(Amounts in PHP)</i>	2024			
	Stage 1	Stage 2	Stage 3	Total
Balance at January 1, 2024	<u>3,082,495,312</u>	<u>68,303,385</u>	<u>230,721,861</u>	<u>3,381,520,558</u>
Transfers to:				
Stage 2	(627,736,175)	627,736,175	-	-
Stage 3	(7,773,491)	(368,080,530)	375,854,021	-
New financial assets originated –				
Remained in Stage 1	2,872,758,723	-	-	2,872,758,723
Financial assets derecognized or				
repaid during the year	(2,074,382,558)	(67,445,142)	(146,585,728)	(2,288,413,428)
	<u>162,866,499</u>	<u>192,210,503</u>	<u>229,268,293</u>	<u>584,345,295</u>
Balance at December 31, 2024	<u>3,245,361,811</u>	<u>260,513,888</u>	<u>459,990,154</u>	<u>3,965,865,853</u>

(Amounts in PHP)	2023			
	Stage 1	Stage 2	Stage 3	Total
Balance at January 1, 2023	2,330,904,838	173,263,964	287,204,610	2,791,373,412
Transfers to:				
Stage 2	(109,374,906)	109,374,906	-	-
Stage 3	(171,124)	(137,701,095)	137,872,219	-
New financial assets originated – Remained in Stage 1	1,398,304,147	-	-	1,398,304,147
Financial assets derecognized or repaid during the year	(537,167,643)	(76,634,390)	(194,354,968)	(808,157,001)
	751,590,474	(104,960,579)	(56,482,749)	590,147,146
Balance at December 31, 2023	3,082,495,312	68,303,385	230,721,861	3,381,520,558

(b) *HTC Financial Assets and Financial Assets at FVOCI*

There was no significant movement in the Bank's HTC financial assets and financial assets at FVOCI in 2025 and 2024 that affected the allowance for ECL (see Note 10).

4.1.10 Collateral Held as Security and Other Credit Enhancements

The Bank holds collateral against loans and advances to customers in the form of hold-out deposits, real estate mortgage, standby letters of credit or bank guaranty, government guaranty, chattel mortgage, assignment of receivables, pledge of equity securities, personal and corporate guaranty and other forms of security. Estimates of fair value are based on the value of collateral assessed at the time of borrowing and are generally updated annually.

Generally, collateral is not held over loans and advances to other banks, except when securities are held as part of repurchase and securities borrowing arrangements. Collateral is not usually held against trading and investment securities, and no such collateral was held as of September 30, 2025 and December 31, 2024.

The estimated fair value of collateral and other security enhancements held against the loan portfolio as of September 30, 2025 and December 31, 2024 are presented below.

	Stage 1	Stage 2	Stage 3	Total
2025				
Real properties	1,180,317,116	140,876,834	427,287,112	1,748,481,061
Chattel	998,450,382	14,431,690	16,365,699	1,029,247,771
Hold-out deposits	6,126,503	0	0	6,126,503
Jewelries	205,968,200	0	0	205,968,200
Others*	474,296,584	0	0	474,296,584
	2,865,158,784	155,308,524	443,652,811	3,464,120,119
2024				
Real properties	1,579,725,355	78,439,854	217,476,759	1,875,641,968
Chattel	730,842,234	167,947,437	58,500,227	957,289,898
Hold-out deposits	9,061,121			9,061,121
Jewelries	190,536,085			190,536,085
Others*	67,111,829		294,822,352	361,934,181
	2,577,276,624	246,387,291	570,799,338	3,394,463,253

*Others pertain to deed of assignment of inventories and other securities

As of December 31, 2024 and 2023, the Bank has recognized certain properties arising from foreclosures in settlement of loan account amounting to P116.0 million and P148.5 million, respectively (see Note 13).

The Bank's manner of disposing the collateral for impaired loans and receivables is normally through sale of these assets after foreclosure proceedings have taken place. The Bank does not generally use the non-cash collateral for its own operations.

There were no changes in the Bank's collateral policies in 2024 and 2023.

4.1.11 Write-Off

The Bank writes-off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded that there is no reasonable expectation of recovery of the financial asset. Indicators that there is no reasonable expectation of recovery include: cessation of enforcement activity; and, where the Bank's recovery method is through foreclosure of collateral and the value of the collateral is less than the outstanding contractual amounts of the financial assets to be written-off.

The Bank may write-off financial assets that are still subject to enforcement activity. The Bank did not write-off receivables in 2025 and 2024.

4.1.12 Modification of Financial Assets

In certain cases, the Bank modifies the terms of the loans provided to the borrowers due to commercial renegotiations, or for distressed loans, with a view of maximizing recovery of the contractual amount of obligation that the Bank is owed to.

Restructuring policies and practices are based on indicators or criteria which, in the management's judgment, indicate that payment will most likely continue. Such policies are continuously reviewed and updated as necessary.

The risk of default of such assets after modification is assessed at the reporting date and compared with the risk under the original terms at initial recognition, when the modification is not substantial and so does not result in derecognition of the original asset. The Bank monitors the performance of the financial asset subsequent to its modification.

The Bank may determine that the credit risk has significantly improved after restructuring (in accordance with the new terms for six consecutive months or more), so that the assets are moved from Stage 3 or Stage 2.

The Bank continues to monitor if there is a subsequent SICR in relation to such modified assets through the use of specific models for modified assets.

The outstanding balance of restructured loans amounted to P77.227 million and P78.089 million as of September 30, 2025 and December 31, 2024, respectively. Restructured loans are classified as underperforming both prior to and after the restructuring. Majority of these loans are fully secured. The related allowance for credit loss of such loans amounted to P7.723 million and P0.867 in 2025 and 2024, respectively.

4.2 Liquidity Risk

Liquidity risk is the risk that there are insufficient funds available to adequately meet the credit demands of the Bank's customers and repay deposits on maturity. The Bank manages liquidity risk by holding sufficient liquid assets of appropriate quality to ensure that short-term funding requirements are met. In addition, the Bank seeks to maintain sufficient liquidity to take advantage of interest rate and exchange rate opportunities when they arise.

The analysis of the maturity profile of resources, liabilities and off-statement of financial position items as of September 30, 2025 and December 31, 2024 in accordance with the account classification of the BSP, follows:

<i>(Amounts in PHP)</i>	Up to three months	More than three months to one year	More than one year to five years	More than five years	Total
September 30, 2025					
Resources:					
Cash and other cash items	90,930,660				90,930,660
Due from BSP	962,591,826				962,591,826
Due from other banks	120,052,477				120,052,477
Loans and receivables arising from reverse repurchase agreement	430,000,000				430,000,000
Financial assets at FVOCI			197,527,259		197,527,259
HTC financial assets - net	961,447,236		176,431,082		1,137,878,318
Loans and receivables - net	2,943,594,877	151,799,256	752,165,284	446,021,741	4,293,581,159
Other resources - net	27,704,698	43,416,571	67,177,351	686,691,609	824,990,229
Total Resources	5,536,321,774	195,215,827	1,193,300,977	1,132,713,350	8,057,551,928
Liabilities and Equity:					
Deposit liabilities	5,263,996,427	336,664,569	936,036,621	0	6,536,697,616
Other liabilities	82,880,235	29,843,936	34,787,476	14,939,428	162,451,076
Total liabilities	5,346,876,662	366,508,505	970,824,097	14,939,428	6,699,148,692
Equity				1,358,403,237	1,358,403,237
Total Liabilities and Equity	5,346,876,662	366,508,505	970,824,097	1,373,342,665	8,057,551,928
On-book gap	189,445,112	(171,292,678)	222,476,880	(240,629,315)	0
Cumulative on-book gap	189,445,112	18,152,435	240,629,315	0	(0)
Contingent assets	1,539,378				1,539,378
Contingent liabilities		(900,383,538)			(900,383,538)
Off-book gap	1,539,378	(900,383,538)	0	0	(898,844,159)
Cumulative off-book gap	1,539,378	(898,844,159)	(898,844,159)	(898,844,159)	0
Cumulative total gap	190,984,491	(880,691,725)	(658,214,845)	(898,844,159)	(0)

<i>(Amounts in PHP)</i>	Up to Three months	More than three months to one year	More than one year to five years	More than five years	Total
December 31, 2024					
Resources:					
Cash and other cash items	115,014,170	-	-	-	115,014,170
Due from BSP	269,520,447	-	-	-	269,520,447
Due from other banks	243,997,212	-	-	-	243,997,212
Loans and receivables arising from reverse repurchase agreement	329,000,000	-	-	-	329,000,000
Financial assets at FVOCI	-	-	193,328,781	-	193,328,781
HTC financial assets - net	403,409,566	-	100,664,571	59,971,048	564,045,185
Loans and receivables - net	2,216,884,588	36,790,441	1,208,134,847	398,902,615	3,860,712,491
Other resources - net	20,861,168	5,915,453	55,612,381	737,018,663	819,407,665
Total Resources	3,598,687,151	42,705,894	1,557,740,580	1,195,892,326	6,395,025,951
Liabilities and Equity:					
Deposit liabilities	4,507,404,944	65,434,056	443,197,507	-	5,016,036,507
Other liabilities	143,605,254	31,858,523	36,534,311	15,804,991	227,803,079
Total liabilities	4,651,010,198	97,292,579	479,731,818	15,804,991	5,243,839,586
Equity	-	-	-	1,151,186,365	1,151,186,365
Total Liabilities and Equity	4,651,010,198	97,292,579	479,731,818	1,166,991,356	6,395,025,951
On-book gap	(1,052,323,047)	(54,586,684)	1,078,008,762	1,180,087,335	-
Cumulative on-book gap	(1,052,323,047)	(1,106,909,731)	(28,900,969)	1,151,186,366	-
Contingent assets	1,447,912	-	-	-	1,447,912
Contingent liabilities	-	(857,428,686)	-	-	(857,428,686)
Off-book gap	1,447,912	(857,428,686)	-	-	(855,980,774)
Cumulative off-book gap	1,447,912	(855,980,774)	(855,980,774)	(855,980,774)	-
Cumulative total gap	(1,050,875,137)	(1,962,890,507)	(878,561,947)	(855,590,774)	-

The Bank continually assesses business opportunities and strategies where it can effectively and sufficiently match its short-term funding requirements with adequate liquid assets through taking customers' deposits with longer maturities and originating loans with periodic repayments enough to cover credit demands of customers.

The contractual maturities of the Bank's financial liabilities as of September 30, 2025 and December 31, 2024, are presented below.

<i>(Amounts in PHP)</i>	Up to three months	More than three months to one year	More than one year to five years	More than five years	Total
September 30, 2025					
Deposit liabilities	5,263,996,427	336,664,569	936,036,621	-	6,536,697,616
Other Liabilities	79,560,507	29,843,936	34,787,476	14,939,428	159,131,348
	5,343,556,934	366,508,505	970,824,097	14,939,428	6,695,828,964

<i>(Amounts in PHP)</i>	Up to three months	More than three months to one year	More than one year to five years	More than five years	Total
December 31, 2024					
Deposit liabilities	4,507,404,944	65,434,056	443,197,507	-	5,016,036,507
Other liabilities	138,169,772	31,858,523	36,534,311	15,804,991	222,367,597
	4,645,574,716	97,292,579	479,731,818	15,804,991	5,238,404,104

4.3 Foreign Exchange Risk

The Bank manages its exposure to the effects of fluctuations in the foreign currency exchange rates by maintaining foreign currency exposure within the existing regulatory guidelines and at a level that it believes to be relatively conservative for a financial institution engaged in that type of business.

The Bank's net foreign currency exposure is computed as its foreign currency-denominated resources less foreign currency-denominated liabilities. BSP regulations impose a cap of 2.5% of net worth, or US\$5 million, whichever is lower, on the consolidated excess foreign currency holding of banks in the Philippines. In the case of the Bank, its foreign currency exposure is primarily limited to the day-to-day, over-the-counter buying and selling of foreign currency in the Bank's branches. The Bank's foreign currency exposure on each day is guided by the limits set forth in the Bank's Risk Management Manual. These limits are within the prescribed ceilings mandated by the BSP. At the end of each day, the Bank reports to the BSP on its compliance with the mandated foreign currency exposure limits.

Foreign currency-denominated assets and liabilities as of September 30, 2025 and December 31, 2024 translated to closing rates consist of the following:

	2025		2024	
	US Dollar	Philippine Peso	US Dollar	Philippine Peso
Cash and other cash items	29,854	1,737,354	30,950	1,790,332
Due from other banks	1,108,832	64,529,561	1,076,546	62,272,780
Deposit liabilities	(1,075,142)	(62,568,975)	(1,046,069)	(60,509,885)
Other liabilities	(1,071)	(62,352)	(1,668)	(96,486)
Short-term exposure	62,471	3,635,589	59,759	3,456,741

The sensitivity of the net profit before tax and equity in regard to the Bank's financial assets and financial liabilities and the US dollar – Philippine peso exchange rate assumes a +/- 21.42% change and +/- 15.94% change in the Philippine peso/US dollar exchange rate for the years ended December 31, 2024 and 2023, respectively. These percentage changes have been determined based on the average market volatility in exchange rates, using standard deviation, in the previous 12 months, estimated at 99% confidence level. As the Bank's foreign currency exposure in both years as shown above is minimal, management has assessed that the effects of changes in the foreign exchange rate to the Bank's results of operations are not significant.

Exposures to foreign exchange rates vary during the year depending on the volume of the Bank's foreign currency deposit unit transactions.

4.4 Interest Rate Risk

The Bank's policy is to minimize interest rate cash flow risk exposures. The Bank's cash flow interest rate risk relates primarily to the possible changes in the prevailing interest rates of due from other banks, debt securities – bonds and floating rate loans. The volatility in the interest rates of these financial instruments will result to an increase or decrease of the Bank's interest spread, and consequently will affect its financial performance. The due from BSP was not included in the cash flow interest rate

sensitivity since the potential effects on net profit or loss before tax and equity will be immaterial. All other financial assets and financial liabilities have fixed rates.

The table below illustrates the sensitivity of the Bank's profit or loss before tax and equity to a reasonably possible change in interest rates of the assets mentioned above. These changes are considered to be reasonably possible based on observation of current market conditions. The calculations are based on the Bank's financial instruments held at the end of each reporting period. All other variables are held constant.

<i>(Amounts in PHP)</i>	Sensitivity Rate +/- %	Profit (Loss) Before Tax	Equity
<u>December 31, 2024</u>			
Loans and receivables	0.91%	35,265,961	26,449,471
HTC financial assets	0.40%	2,228,895	1,671,671
Financial assets at FVOCI	3.95%	7,639,630	5,729,723
Due from other banks	0.95%	2,323,981	1,742,986
		29,855,226	22,391,419
<i>(Amounts in PHP)</i>	Sensitivity Rate +/- %	Profit (Loss) Before Tax	Equity
<u>December 31, 2023</u>			
Loans and receivables	1.46%	47,973,597	35,980,198
HTC financial assets	0.76%	1,139,131	854,348
Financial assets at FVOCI	3.07%	9,832,547	7,374,410
Due from other banks	0.75%	2,445,472	1,834,104
		61,390,747	46,043,060

The Bank's loan portfolio includes floating rate loans, which are repriced periodically by reference to the transfer pool rate which reflects the Bank's internal cost of funds. The changes in interest rates used in the analysis have been determined based on the average volatility in interest rates of the said resources, using standard deviation, in the previous 12 months.

4.5 Operational Risk

Operational risks refer to potential risks arising from inadequate information systems, operations, or transactional problems related to service or product delivery, breaches in internal controls, fraud, or unforeseen catastrophes that may result in unexpected loss. Operational risks can result from various types of human or technical errors, settlement or payment failures, business interruption, administrative and legal risks, and inadequate system performance.

The Bank's ROC assists management in meeting its responsibility to understand and manage operational risk exposures. The ROC employs several techniques to manage operational risks efficiently, including:

- appointing an operational risk management officer in each major business line to act as a point person for the implementation of various operational risk tools.

- conducting a bottom-up self-assessment process at least annually to highlight and report areas with high-risk potential and identify control measures. The results of this self-assessment exercise serve as one of the inputs in identifying specific key risk indicators (KRIs).
- using KRIs to monitor the operational risk profile of the Bank and each business unit, and alerting management of impending problems in a timely fashion.
- collecting, reporting, and utilizing internal loss information to model operational risk.
- reviewing product and operating manuals, policies, procedures, and circulars to embed desired operational risk management practices in all business units.

(a) Reputational Risk

Reputation risk is the risk to earnings or capital arising from negative public opinion. This affects the Bank's ability to establish new relationships or services, or to continue servicing existing relationships. This risk can expose the Bank to litigation, financial loss, or damage to its reputation. Reputation risk arises whenever technology-based banking products, services, delivery channels or processes generate adverse public opinion that seriously affects the Bank's earnings or impairs its capital. This risk is present in activities such as asset management and regulatory compliance.

The Bank adopted a reputation risk monitoring and reporting framework to manage public perception.

(b) Legal Risk and Regulatory Risk Management

Changes in laws and regulations and fiscal policies could adversely affect the Bank's operations and financial reporting. In addition, the Bank faces legal risks in enforcing its rights under its loan agreements, such as foreclosing of collateral. Legal risk is higher in new areas of business where the law remains untested by the courts. The Bank uses a legal review process as the primary control mechanism for legal risk. Such a legal review aims to verify and validate the existence, genuineness and due execution of legal documents, and verify the capacity and authority of counterparties and customers to enter into transactions. In addition, the Bank seeks to minimize its legal risk by using stringent legal documentation, imposing certain requirements designed to ensure that transactions are properly authorized, and consulting with internal and external legal advisors.

Regulatory risk refers to the potential for the Bank to suffer financial loss due to changes in the laws or monetary, tax or other governmental regulations of the country. The Bank's Compliance Program, which is overseen and coordinated by the Chief Compliance Officer, is the primary control process for regulatory risk issues. The Chief Compliance Officer is committed to safeguarding the integrity of the Bank by maintaining a high level of regulatory compliance. It is responsible for communicating and disseminating new rules and regulations to all units, assessing and addressing identified compliance issues, performing periodic compliance testing on branches and head office units, and reporting compliance findings to the Corporate Governance Committee and the BOD.

Legal and regulatory risks arise from changes in laws, regulations, and fiscal policies, potentially affecting the Bank's operations and financial reporting. The Bank employs a legal review process to mitigate legal risk by verifying legal documents, counterparties' capacity, and authority. Additionally, stringent legal documentation, authorization requirements, and consultations with legal advisors minimize legal risk.

Regulatory risk pertains to financial loss due to changes in laws or government regulations. The Bank's Compliance Program, overseen by the Chief Compliance Officer, ensures regulatory compliance through communication of new rules, compliance assessments, periodic testing, and reporting to the Corporate Governance Committee and the Board of Directors.

4.6 Anti-Money Laundering Controls

The Anti-Money Laundering Act (AMLA) or RA No. 9160 was passed in September 2001 and was amended by RA No. 9194, RA No. 10167, and RA No. 10365 in March 2003, June 2012 and February 2013, respectively. Under the AMLA, as amended, the Bank is required to submit "Covered Transaction Reports" to the Anti-Money Laundering Council (AMLC) involving single transactions in cash or other equivalent monetary instruments exceeding P0.5 million within five banking days. The Bank is also required to submit "Suspicious Transaction Reports" to the AMLC in the event that suspicious circumstances exist and there are reasonable grounds to believe that the transaction is suspicious. Furthermore, terrorist financing was criminalized in RA No. 10168. In addition, the AMLA requires that the Bank safe keeps, as long as the account exists, all the Customer Due Diligence (CDD) documents involving its clients, including documents that establish and record the true and full identity of its clients. Likewise, transactional documents must be maintained and stored for five years from the date of the transaction. In cases involving closed accounts, the CDD documents must be kept for five years after their closure. Meanwhile, all records of accounts with court cases must be safe kept until there is a final resolution.

On November 26, 2018, BSP Circular No. 1022 was implemented updating policies on AMLA. The Circular requires the Bank to adopt a comprehensive and risk-based Money Laundering and Terrorist Financing Prevention Program (MTPP) designed according to the covered institution's corporate structure and risk profile.

In an effort to further prevent money laundering activities, the Bank revised its CDD policies and guidelines in order to comply with the aforementioned Circular. Under the guidelines, each business unit is required to validate the true identity of a customer based on official or other reliable identifying documents or records before an account may be opened. Likewise, the Bank is required to risk profile its clients to Low, Normal or High with its corresponding due diligence of Reduced, Average or Enhanced, in compliance with the risk-based approach mandated by the Circular. Decisions to enter into a business relationship with a high risk (e.g online gambling business, money service business, etc.) customer requires senior management approval.

On August 19, 2020, Regulatory Issuance No. 5 or the Enforcement Action Guidelines was released by the AMLC. These Guidelines supplement the Rules of Procedures in Administrative Cases (RPAC) by providing procedures for early resolution of administrative cases at the level of the Compliance and Supervision Group (CSG) prior to the filing of a formal charge under the RPAC. Hence, the procedures herein are separate and distinct from the proceedings outlined in the RPAC.

On January 29, 2021, Republic Act 11521 was passed which included the offshore gaming operations, real estate developers and brokers as covered persons/institutions and tax crimes as a predicate offense.

The AMLC in its Regulatory Issuance (RI) No. 4 Series of 2022 issued rules and regulations implementing section 9 (D) of Republic Act 9208, as amended by Republic Act No. 11862, otherwise known as the Expanded Anti-Trafficking in Persons Act of 2022. The said RI is in line with the State policies which is to give the highest priority to the enactment of measures and development of programs that will promote human dignity, protect the people from any threat of violence and exploitation, and eliminate trafficking in persons.

The Bank's procedures for compliance with the AMLA as well as its framework are set out in its MTPP. The Bank's Compliance Officer, through the Compliance Department, monitors AMLA compliance and conducts regular compliance testing of business units.

In 2022, the Bank's MTPP was updated to comply with the following regulations:

- inclusion of the major provisions to comply with the requirements of the Expanded Anti-Trafficking in Persons Act of 2022; and,
- added the salient provisions on the Amendments to Miscellaneous Rules on Deposits based on the BSP Circular 1163 Series of 2022.

On January 25, 2023, the Bank's Board of Directors approved the MTPP with the following updates:

- Major provisions of the Expanded Anti-Trafficking in Persons Act of 2022; and
- Salient picture provisions on the Amendments to Miscellaneous Rules on Deposits based on the BSP Circular 1163 series of 2022.

In March 2025, the MTPP was further enhanced to adopt BSP Memorandum No. M-2023-029, revising the Account Opening Control Guidelines to align with updated regulatory requirements for risk assessment of politically exposed persons.

The Compliance Officer regularly reports to the Anti-Money Laundering Committee, Corporate Governance Committee and to the Board of Directors the results of their monitoring of AMLA compliance.

4.7 Maturity Profile of Resources and Liabilities

The following table presents the resources and liabilities analyzed according to whether these are expected to be recovered or settled in less than 12 months and over 12 months from statement of financial position dates:

	2025			2024		
	Within 12 Months	Over 12 Months	Total	Within 12 Months	Over 12 Months	Total
Financial Assets:						
Cash and other cash items	90,930,660	0	90,930,660	115,014,170		115,014,170
Due from BSP	962,591,826	0	962,591,826	269,520,447		269,520,447
Due from other banks	120,052,477	0	120,052,477	243,997,212		243,997,212
Loans and receivables arising from reverse repurchase agreement	430,000,000	0	430,000,000	329,000,000		329,000,000
Financial assets at FVOCI	0	197,527,259	197,527,259		193,328,781	193,328,781
HTC financial assets - net	961,447,236	176,431,082	1,137,878,318	403,409,566	160,635,619	564,045,185
Loans and other receivables - net	3,095,394,134	1,198,187,025	4,293,581,159	2,253,675,029	1,607,037,462	3,860,712,491
Other resources - net	88,000	52,408,426	52,496,426	88,000	12,423,187	12,511,187
	<u>5,660,504,333</u>	<u>1,624,553,793</u>	<u>7,285,058,125</u>	<u>3,614,704,424</u>	<u>1,973,425,049</u>	<u>5,588,129,473</u>
Non-financial Assets:						
Bank premises, furniture, fixtures, and equipment - net		222,475,643	222,475,643		293,699,476	293,699,476
Investment properties - net	374,696,196		374,696,196	359,754,666		359,754,666
Other resources - net	175,321,964		175,321,964	153,442,336		153,442,336
	<u>550,018,160</u>	<u>222,475,643</u>	<u>772,493,803</u>	<u>513,197,002</u>	<u>293,699,476</u>	<u>806,896,478</u>
	<u>6,210,522,492</u>	<u>1,847,029,436</u>	<u>8,057,551,928</u>	<u>4,127,901,426</u>	<u>2,267,124,525</u>	<u>6,395,025,951</u>
Financial Liabilities:						
Deposit liabilities	5,600,660,995	936,036,621	6,536,697,616	4,572,838,999	443,197,508	5,016,036,507
Other liabilities	109,434,954	49,696,394	159,131,348	123,271,906	147,429	123,419,335
	<u>5,710,095,949</u>	<u>985,733,015</u>	<u>6,695,828,964</u>	<u>4,696,110,905</u>	<u>443,344,937</u>	<u>5,139,455,842</u>
Non-financial Liabilities –						
Other liabilities	3,319,728	0	3,319,728	52,191,872	52,191,872	104,383,744
	<u>3,319,728</u>	<u>0</u>	<u>3,319,728</u>	<u>52,191,872</u>	<u>52,191,872</u>	<u>104,383,744</u>
	<u>5,713,415,677</u>	<u>985,733,015</u>	<u>6,699,148,692</u>	<u>4,748,302,777</u>	<u>495,536,809</u>	<u>5,243,839,586</u>

5. CATEGORIES AND OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

5.1 Carrying Amounts and Fair Values by Category

The following table presents a comparison by category of the carrying amounts and estimated fair values of the Bank's financial assets and financial liabilities:

		2025		2024	
	Notes	Carrying Amounts	Fair Values	Carrying Amounts	Fair Values
Financial Assets					
At amortized cost:					
Cash and other cash items		90,930,660	90,930,660	115,014,170	115,014,170
Due from BSP	7	962,591,826	962,591,826	269,520,447	269,520,447
Due from other banks	8	120,052,477	120,052,477	243,997,212	243,997,212
Loans and receivables arising from reverse repurchase	9	430,000,000	430,000,000	329,000,000	329,000,000

agreement					
Loans and receivables - net	11	4,293,581,159	4,394,931,077	3,860,712,491	3,965,865,853
HTC financial assets - net	10	1,137,878,318	1,139,437,107	564,045,185	560,933,752
Other resources	14	52,496,426	52,496,426	12,511,187	12,511,187
		7,087,530,866	7,190,439,573	5,394,800,692	5,496,842,621
At fair value:					
Financial assets at FVOCI	10	197,527,259	198,904,843	193,328,781	193,328,781
		7,285,058,125	7,389,344,416	5,588,129,473	5,690,171,402
Financial Liabilities					
At amortized cost:					
Deposit liabilities	15	6,536,697,616	6,549,196,351	5,016,036,507	5,060,201,840
Other liabilities	16	162,451,076	162,451,076	123,420,335	123,419,335
		6,699,148,692	6,711,647,427	5,139,456,842	5,183,621,175

See Note 2.3 for the description of the accounting policies for each category of financial instruments. A description of the Bank's risk management objectives and policies for financial instruments is provided in Note 4.

5.2 Offsetting of Financial Assets and Financial Liabilities

The following financial assets presented in the statements of financial position at gross amounts are covered by enforceable master netting arrangements and similar arrangements:

<i>(Amounts in PHP)</i>	Gross amounts recognized in the statements of financial position	Related amount not set-off in the statements of financial position		
		Financial Instruments	Collateral received	Net amount
Loans and receivables – Receivables from customers				
September 30, 2025	3,935,266,554	(6,729,707)	0	3,928,536,847
December 31, 2024	3,427,988,019	(9,061,121)	0	3,418,926,898

The following financial liabilities presented in the statements of financial position at gross amounts are covered by enforceable master netting arrangements and similar agreements:

<i>(Amounts in PHP)</i>	Gross amounts recognized in the statements of financial position	Related amount not set-off in the statements of financial position		
		Financial Instruments	Collateral received	Net amount
Deposit Liabilities				
September 30, 2025	6,536,697,616	(6,729,707)	0	6,529,967,909
December 31, 2024	5,016,036,507	(9,061,121)	0	5,006,975,386

For financial assets and financial liabilities (i.e., receivable from customers and their corresponding hold-out deposits) subject to enforceable master netting agreements or similar arrangements, each agreement between the Bank and counterparties allows for net settlement of the relevant financial assets and liabilities when both elect to settle on a net basis. In the absence of such an election, financial assets and financial liabilities will be settled on a gross basis; however, each party to the master netting agreement or similar agreement will have the option to settle all such amounts on a net basis in the event of default of the other party.

6. FAIR VALUE MEASUREMENT AND DISCLOSURES

6.1 Fair Value Hierarchy

In accordance with PFRS 13, the fair value of financial assets and liabilities and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS Accounting Standards, are categorized into three levels based on the significance of inputs used to measure the fair value. The fair value hierarchy has the following levels:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and,
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).
- The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

For investments which do not have quoted market price, the fair value is determined by using generally acceptable pricing models and valuation techniques or by reference to the current market value of another instrument which is substantially the same after taking into account the related credit risk of counterparties or is calculated based on the expected cash flows of the underlying net asset base of the instrument.

When the Bank uses valuation technique, it maximizes the use of observable market data where it is available and relies as little as possible on entity specific estimates. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in Level 2. Otherwise, it is included in Level 3.

6.2 Financial Instruments Measurement at Fair Value

The table below shows the fair value hierarchy of the Bank's classes of financial assets measured at fair value in the statements of financial position on a recurring basis as of September 30, 2025 and December 31, 2024.

<i>(Amounts in PHP)</i>	Level 1	Level 2	Level 3	Total
September 30, 2025				
Financial assets at FVOCI:				
Debt securities:				
Corporate bonds	88,043,293	0	0	88,043,293
Government securities	73,282,107	0	0	73,282,107
Equity securities	36,201,860	0	0	36,201,860
	197,527,259	0	0	197,527,259
December 31, 2024				
Financial assets at FVOCI:				
Debt securities:				
Corporate bonds	86,163,324	0	0	86,163,324
Government securities	72,275,473	0	0	72,275,473
Equity securities	34,889,984	0	0	34,889,984
	193,328,781	0	0	193,328,781

The Bank has no financial liabilities measured at fair value as of September 30, 2025 and December 31, 2024.

There were neither transfers between Levels 1 and 2 nor changes in Level 3 instruments in both years.

Described below is the information about how the fair values of the Bank's Financial assets at FVOCI are determined.

(a) Equity Securities

The fair values quoted equity securities included in Level 1 were valued based on their market prices quoted in the Philippine Stock Exchange at the end of each reporting period while the fair value of unquoted equity security under Level 2 represents the prices derived from inactive market due to lack of trading activities among market participants at the end of the reporting period.

(b) Debt Securities

The fair value of the Bank's debt securities which consist of government bonds, corporate and debt securities categorized within Level 1 is determined directly based on published closing prices available from the electronic financial data service providers which had been based or referenced on price quoted or actually dealt in an active market (i.e., BVAL reference rates) at the end of each reporting period.

The fair value of actively traded corporate debt securities is determined based on their market prices quoted in the PDS or based on the direct reference price per Bloomberg at the end of each reporting period, hence, categorized within Level 1.

6.3 *Financial Instruments Measured at Amortized Cost for which Fair Value is Disclosed*

The table below and in the succeeding page summarizes the fair value hierarchy of the Bank's financial assets and financial liabilities which are not measured at fair value in the statements of financial position but for which fair values are disclosed.

	2025			
<i>(Amounts in PHP)</i>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
September 30, 2025				
Financial Assets				
Cash and other cash items	90,930,660			90,930,660
Due from BSP	962,591,826			962,591,826
Due from other banks	120,052,477			120,052,477
Loans and receivables arising from reverse repurchase agreement			430,000,000	430,000,000
Loans and receivables - net			4,293,581,159	4,293,581,159
HTC financial assets - net			1,137,878,318	1,137,878,318
Other resources			52,496,426	52,496,426
	<u>1,173,574,963</u>	<u>0</u>	<u>5,913,955,903</u>	<u>7,087,530,866</u>
Financial Liabilities				
Deposit liabilities			6,536,697,616	6,536,697,616
Other liabilities			162,451,076	162,451,076
	<u>0</u>	<u>0</u>	<u>6,699,148,692</u>	<u>6,699,148,692</u>
<i>(Amounts in PHP)</i>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
December 31, 2024				
Financial assets:				
Cash and other cash items	115,014,170	-	-	115,014,170
Due from BSP	269,520,447	-	-	269,520,447
Due from other banks	243,997,212	-	-	243,997,212
Loans and receivables arising from reverse repurchase Agreement	329,000,000	-	-	329,000,000
Loans and receivables - net	-	-	3,965,865,853	3,965,865,853
HTC financial assets - net	560,933,752	-	-	560,933,752
Other resources – net	-	-	12,511,187	12,511,187
	<u>1,518,465,581</u>	<u>-</u>	<u>3,978,377,040</u>	<u>5,496,842,621</u>
Financial liabilities:				
Deposit liabilities	-	-	5,060,201,840	5,060,201,840
Other liabilities	-	-	123,419,335	123,419,335
	<u>-</u>	<u>-</u>	<u>5,183,621,175</u>	<u>5,183,621,175</u>

Fair values of the foregoing financial assets and financial liabilities measured and presented in the statements of financial position at amortized cost are estimated as follows:

(a) *Due from BSP and Other Banks, and Loans and Receivables Arising from Reverse Repurchase Agreement*

Due from BSP pertains to deposits made by the Bank to the BSP for clearing and reserve requirements, overnight and term deposit facilities, while loans and receivables arising from reverse repurchase agreement pertain to loans and receivables from BSP arising from overnight lending from excess liquidity. Due from other banks includes items in the course of collection. The fair value of floating rate placements and overnight deposits is their carrying amount. The estimated fair value of fixed interest-bearing deposits is based on the discounted cash flows using prevailing money market interest rates for debt with similar credit risk and remaining maturity, which for short-term deposits approximate the nominal value.

(b) *Loans and Receivables and Other Resources*

Loans and receivables and certain accounts under other resources are net of any impairment losses. The estimated fair value of loans and receivables and other resources represents the discounted amount of estimated future cash flows expected to be received for instruments with maturities of beyond one year. Expected cash flows are discounted at current market rates to determine fair value.

(c) *Held-to-Collect Financial Assets*

HTC financial assets consist of government and corporate bonds. The fair value of these investment securities is determined by direct reference to published price quoted in an active market for traded securities (i.e., BVAL and PDS reference rates).

(d) *Deposit Liabilities*

The estimated fair value of demand deposits with no stated maturity, which includes noninterest-bearing deposits, is the amount repayable on demand. The estimated fair value of interest-bearing deposits without quoted market price is based on discounted cash flows using interest rates for new debts with similar remaining maturity. The carrying amounts of deposits which are generally short-term in nature approximate their fair values.

(e) *Other Liabilities*

Other liabilities are recognized initially at their fair value and subsequently measured at amounts to which they are to be paid. Fair value of these short-term liabilities approximates their carrying values.

6.4 Fair Value Disclosures for Investment Properties and Assets Held for Sale

The total estimated fair values of the Bank's investment properties and assets held for sale amounted to P390.486 million and P463.239 million as of September 30, 2025 and

December 31, 2024, respectively. The fair value hierarchy of those properties categorized as Level 3, are shown below.

<i>(Amounts in PHP)</i>	2025	2024
<i>Investment properties:</i>		
Land	275,242,113	320,705,681
Buildings	99,454,083	133,754,274
	<u>374,696,196</u>	<u>454,459,955</u>
<i>Assets held for sale:</i>		
Jewelry items	8,579,534	4,630,522
Motor vehicles	7,209,888	4,148,684
	<u>15,789,422</u>	<u>8,779,206</u>
	<u>390,485,617</u>	<u>463,239,161</u>

The fair value disclosed for the Bank's investment properties as of September 30, 2025 and December 31, 2024 was based on the appraisals performed by the Bank's in-house and independent and qualified appraisers having appropriate and recent experience in the fair value measurement of similar properties in the relevant locations. To some extent, the valuation process was conducted by the appraisers in discussion with the Bank's management with respect to the determination of the inputs such as the size, age, and condition of the land and building, and the comparable prices in the corresponding property location. In estimating the fair values of the investment properties, management takes into account the market participant's ability to generate economic benefits by using the assets in their highest and best use. Based on management assessment, the best use of the Bank's investment properties is their current use.

The fair values of the Bank's investment properties were determined based on the following approaches:

(a) Fair Value Measurement for Land

The Level 3 fair value of land was derived using the observable recent prices of the reference properties and was adjusted for differences in key attributes such as property size, zoning, and accessibility. The most significant input into this valuation approach is the price per square meter; hence, the higher the price per square meter, the higher the fair value of the properties.

(b) Fair Value Measurement for Buildings

The Level 3 fair value of the buildings was determined using the cost approach that reflects the cost to a market participant to construct an asset of comparable usage, construction standards, design and layout, adjusted for obsolescence. The more significant inputs used in the valuation include direct and indirect costs of construction such as but not limited to, labor and contractor's profit, materials and equipment, surveying and permit costs, electricity and utility costs, architectural and engineering fees, insurance and legal fees. These inputs were derived from

various suppliers and contractor's quotes, price catalogues, and construction price indices. Under this approach, higher estimated costs used in the valuation will result in higher fair value of the properties.

(c) *Fair Value Measurement for Assets Held-for-Sale*

The Level 3 fair value of the motor vehicle presented as part of Asset held-for-sale was derived using the observable recent prices of the reference motor vehicle brand, year model and variant. This was adjusted for differences in the condition of the motor vehicle at the date of foreclosure.

The Level 3 fair value of the jewelry items presented as part of Asset Held-for-Sale was determined by the Bank's appraiser using the observable recent prices of such jewelry item or the related the materials. This was adjusted for differences in the condition of the jewelry item at the date loan availment.

There has been no change to the valuation techniques used in 2025 and 2024. Also, there were no transfers into or out of Level 3 fair value hierarchy in 2025 and 2024.

7. DUE FROM BANGKO SENTRAL NG PILIPINAS

The balance of this account consists of the following:

<i>(Amounts in PHP)</i>	2025	2024
Demand deposit	455,591,826	49,520,447
Term deposit facility	160,000,000	120,000,000
Overnight deposit facility	347,000,000	100,000,000
	<u>962,591,826</u>	<u>269,520,447</u>

The aggregate balance of noninterest-bearing Demand Deposit Account, and interest-bearing Overnight Deposit Facility and Special Deposit Accounts, all denominated in local currency, are maintained with the BSP primarily to meet a portion of the reserve requirements and to serve as a clearing account for interbank claims.

Interest-bearing deposits with the BSP bear annual interest at rates ranging from 4.75% to 5.50% in 2025 and 5.25% to 6.39% in 2024. The total interest earned from these deposits amounted to P16.225 million and P15.00 million in 2025, 2024, respectively, and is shown as part of the Interest Income on Due from BSP, Other Banks and Loans and Receivables Arising from Reverse Repurchase Agreement account in the statements of profit or loss.

8. DUE FROM OTHER BANKS

This account represents deposits with local banks which are composed of the following:

<i>(Amounts in PHP)</i>	2025	2024
Time deposits	64,760,141	171,907,436
Savings deposits	39,491,063	62,789,914
Demand deposits	15,801,273	9,299,862
	<u>120,052,477</u>	<u>243,997,212</u>

Savings deposits represent clearing and other depository accounts with other banks, which bear annual interest rates ranging from 0.05% to 0.13% in 2025 and 2024.

Time deposits include special savings deposits, which bear annual effective interest rates ranging from 4.00% to 4.50% in 2025 and 4.00% to 5.05% in 2024 and have average maturities of one to four months.

Interest income earned from these savings and time deposits amounted to P1.142 million in 2025 and P4.578 million in 2024 and is shown as part of Interest Income on Due from BSP, Other Banks and Loans and Receivables Arising from Reverse Repurchase Agreement account in the statements of profit or loss.

The breakdown of this account by currency is as follows:

<i>(Amounts in PHP)</i>	2025	2024
Philippine peso	55,522,915	181,005,748
United States dollar	64,529,561	62,991,464
	<u>120,052,477</u>	<u>243,997,212</u>

For the purposes of the statement of cash flows, deposits with maturities of more than three months are not classified as cash and cash equivalents. However, this criterion was not applicable in 2025 and 2024, as all deposits held during these years met the requirements to be considered cash and cash equivalents.

LOANS AND RECEIVABLES ARISING FROM REVERSE REPURCHASE AGREEMENT

The Bank has re-purchase agreements with BSP as of September 30, 2025 and December 31, 2024 from overnight lending from excess liquidity, which earn an average annual effective interest of 5.37% for both 2025 and 2024. These loans normally mature within 30 days. Interest income earned from these financial assets amounted to P13.494 million in 2025 and P12.505 million in 2024, are shown as part of Interest Income on Due from BSP, Other Banks and Loans and Receivables Arising from Reverse Repurchase Agreement account in the statements of profit or loss.

9. INVESTMENT SECURITIES

9.1 Held-to-Collect Financial Assets

This account consists of:

<i>(Amounts in PHP)</i>	2025	2024
Government debt securities –		
Quoted	1,137,907,270	564,074,137
Allowance for impairment	(28,952)	(28,952)
	<u>1,137,878,318</u>	<u>564,045,185</u>

Government debt securities represent debt securities issued by the Republic of the Philippines, which earn annual effective interests ranging from 4.63% to 6.48% in 2025 and 2024. These securities will mature within 2029.

The interest income earned by the Bank from HTC financial assets amounted to P36.832 million and P11.048 million in 2025 and 2024, respectively, and is presented as part of Interest Income on Investment Securities in statements of profit or loss.

Changes in the Bank's holdings of HTC financial assets in 2025 and 2024 are summarized below.

<i>(Amounts in PHP)</i>	2025	2024
Balance at beginning of year	564,045,185	149,913,144
Additions	4,688,883,649	2,323,488,228
Maturities	(4,115,050,516)	(1,909,414,090)
Reversal of impairment	0	57,903
	<u>1,137,878,318</u>	<u>564,045,185</u>

Certain government securities amounting to P10.0 million were earmarked for trust duties and tagged as non-tradable by the Bureau of Treasury (see Note 21).

9.2 Financial Assets at Fair Value Through Other Comprehensive Income

Financial assets at FVOCI consist of:

<i>(Amounts in PHP)</i>	2025	2024
Quoted:		
Debt securities	161,325,399	158,438,797
Equity securities	36,201,860	34,889,984
	<u>197,527,259</u>	<u>193,328,781</u>

The fair value gains (losses) in the Bank's financial assets at FVOCI amounted to P7.1 million, (P0.9) million and (P23.4) million in 2024, 2023 and 2022, respectively, which are recognized in other comprehensive income and presented in the statements of comprehensive income under items that will be reclassified subsequently to profit or loss.

Quoted corporate bonds are marketable debt securities issued by top corporations in the Philippines. These debt securities earn annual effective interests ranging from 3.38% to 6.10% in 2024 and 2023 and from 3.20% to 6.10% in 2022.

Government securities are mainly composed of retail treasury bonds issued by the National Government. These debt securities earn annual effective interests ranging from 4.63% to 5.75% in 2024 and 2023 and 5.75% in 2022.

Quoted equity securities pertain to shares of stock of domestic corporations whose shares of stock are publicly traded in the PSE. These securities earned dividends amounting to P2.1 million, P7.4 million and P14.3 million in 2024, 2023 and 2022, respectively, and is presented as Dividends under Miscellaneous income in the statements of profit or loss (see Note 18.1).

In 2023, the Bank disposed of certain equity and debt securities amounting to P284.1 million. The realized loss and trading loss from this disposal amounted to P5.6 million and P2.8 million, respectively. The unrealized gains and losses in relation to the equity securities are directly reclassified from Revaluation Reserves to Retained Earnings under the Equity section of the 2023 statement of financial position (see Note 17.2). While the trading loss in debt securities amounted to P2.8 million is presented as part of Miscellaneous in the 2023 statement of profit or loss (see Note 18.2). There was no similar transaction in 2024 and 2022.

The interest income earned by the Bank from FVOCI financial assets amounted to P8.9 million, P15.0 million and P17.6 million in 2024, 2023 and 2022, respectively, and is presented as part of Interest Income on Investment Securities in statements of profit or loss.

Changes in the Bank's holdings of financial assets at FVOCI are summarized below.

<i>(Amounts in PHP)</i>	2025	2024
Balance at the beginning of year	193,328,781	320,640,127
Disposals/maturities		(134,400,005)
Fair value gains (losses) – net	4,198,478	7,088,659
Balance at end of year	197,527,259	193,328,781

10. LOANS AND RECEIVABLES

The details of this account follow:

<i>(Amounts in PHP)</i>	2025	2024
Receivables from customers	3,935,266,554	3,427,988,019
Sales contract receivables	350,623,977	379,437,267
Other receivables	109,040,545	158,440,567
	4,394,931,076	3,965,865,853
Unearned interests, discounts and other charges	0.00	0.00
Allowance for impairment	(100,751,453)	(105,153,362)
	4,294,179,623	3,860,712,491

Included in receivables from customers are non-accruing loans amounting to P467.029 million and P430.171 million as of September 30, 2025 and December 31, 2024, respectively.

Receivables from customers are composed of the following:

<i>(Amounts in PHP)</i>	2025	2024
Time loans	3,468,003,305	2,996,720,832
Past due loans	374,572,202	335,566,627
Items in litigation	92,456,875	94,604,455
Restructured loans	234,173	1,096,105
Bills discounted	0	0
	3,935,266,554	3,427,988,018

Receivables from customers bear annual effective interest rates ranging from 3.35% to 24.00% in 2025 and 5.95% to 24.00% in 2024. The total interest earned amounted to P240.222 million and P249.755 million in 2025 and 2024, respectively, and are presented as Interest Income on Loans and Receivables in the statements of profit and loss.

The breakdown of total receivables from customers as to type of interest rate follows:

<i>(Amounts in PHP)</i>	2025	2024
Variable interest rates	1,433,074,396	1,220,154,400
Fixed interest rates	2,502,192,158	2,207,833,618
	<u>3,935,266,554</u>	<u>3,427,988,018</u>

Sales contract receivables represent the outstanding balance related to the sale of investment properties (see Note 13). The terms of payment ranges from 5 to 25 years in 2025, 2024, and 2023, and annual interest rates on these receivables range from 3.00% to 9.00% in 2025 and 2024 and 6.00% to 9.00% in 2023.

Changes in the amounts of allowance for impairment of loans and receivables are summarized below.

<i>(Amounts in PHP)</i>	2025	2024
Balance at beginning of year	105,153,362	91,479,843
Impairment losses – net	(85,016)	10,033,224
Reclassification	(3,718,429)	3,640,295
	<u>101,349,918</u>	<u>105,153,362</u>

The breakdown of allowance for impairment on loans and receivables is shown below.

<i>(Amounts in PHP)</i>	2025	2024
Receivables from customers	95,165,485	98,968,929
Sales contract receivables	255,003	255,003
Other receivables	5,929,430	5,929,430
	<u>101,349,918</u>	<u>105,153,362</u>

In 2022, the Bank wrote-off certain receivables amounting to P60.1 million resulting in a loss amounting to P7.7 million and is presented as part of Impairment Losses on Loans and Receivables in the 2022 statement of profit or loss. There was no similar transaction in 2025 and 2024.

11. BANK PREMISES, FURNITURE, FIXTURES AND EQUIPMENT

The gross carrying amounts and accumulated depreciation and amortization of bank premises, furniture, fixtures and equipment at the beginning and end of 2025 and 2024 are shown below.

<i>(Amounts in PHP)</i>	Land	Bank Premises	Office Furniture, Fixtures and Equipment	Leasehold Improvements	Right-of-use Assets	Total
September 30, 2025						
Cost	47,749,394	31,509,773	199,964,910	84,360,624	167,126,076	530,710,777
Accumulated Depreciation and amortization		(18,457,965)	(165,381,453)	(56,427,951)	(67,967,766)	(308,235,134)
Net Carrying Amount	47,749,394	13,051,808	34,583,457	27,932,673	99,158,310	222,475,643
December 31, 2024						
Cost	71,375,102	141,948,992	192,598,354	80,623,796	144,643,895	631,190,139
Accumulated Depreciation and amortization		(81,452,180)	(157,027,680)	(51,232,398)	(47,778,406)	(337,490,663)
Net Carrying Amount	71,375,102	60,496,812	35,570,674	29,391,398	96,865,489	293,699,476
December 31, 2023						
Cost	71,375,102	141,847,566	170,383,559	76,145,945	153,323,056	613,075,228
Accumulated Depreciation and amortization		(76,212,841)	(147,730,013)	(44,599,152)	(74,637,879)	(343,179,885)
Net Carrying Amount	71,375,102	65,634,725	22,653,546	31,546,793	78,685,177	269,895,343

A reconciliation of the carrying amounts of bank premises, furniture, fixtures and equipment at the beginning and end of 2025, 2024 and 2023 is shown below.

<i>(Amounts in PHP)</i>	Land	Bank Premises	Office Furniture, Fixtures and Equipment	Leasehold Improvements	Right-of-use Assets	Total
Balance at January 1, 2025, net of accumulated depreciation and amortization	71,375,102	60,496,812	35,570,675	29,391,398	96,865,489	293,699,476
Additions	0	227,204	7,985,363	3,736,828	26,681,004	38,630,399
Adjustments						0
Disposal	(23,625,708)	(46,938,673)				(70,564,381)
Depreciation and amortization charges for the year		(733,534)	(8,972,581)	(5,195,553)	(24,388,183)	(39,289,851)
Balance at September 30, 2025, net of accumulated depreciation and amortization	47,749,394	13,051,808	34,583,457	27,932,673	99,158,310	222,475,643
Balance at January 1, 2024, net of accumulated depreciation and amortization	71,375,102	65,634,725	22,653,546	31,546,793	78,685,177	269,895,343
Additions		181,526	22,102,495	4,547,095	49,786,641	76,617,757
Adjustments					8,137,357	8,137,357
Pre-termination					(8,005,959)	(8,005,959)
Depreciation and amortization charges for the year		(5,319,439)	(9,185,366)	(6,702,490)	(31,737,727)	(52,945,022)
Balance at December 31, 2024, net of accumulated depreciation and amortization	71,375,102	60,496,812	35,570,675	29,391,398	96,865,489	293,699,476

Balance at January 1, 2023, net of accumulated depreciation and amortization	71,375,102	69,388,294	13,878,918	2,737,062	45,523,245	202,902,621
Additions		2,907,530	14,679,258	30,896,970	63,205,841	111,689,599
Adjustments					(2,501,801)	(2,501,801)
Depreciation and amortization charges for the year		(6,661,099)	(5,904,630)	(2,087,239)	(27,542,108)	(42,195,076)
Balance at December 31, 2023, net of accumulated depreciation and amortization	71,375,102	65,634,725	22,653,546	31,546,793	78,685,177	269,895,343

In 2023, the Bank disposed of certain fully depreciated furniture, fixtures and equipment with a total cost of P0.84 million, respectively. The related gains on disposal amounting to P0.08 million in 2023 are presented as Gain on sale of bank premises under Miscellaneous Income in the 2023 statements of profit or loss (see Note 18.1).

In 2024, the Bank pre-terminated the lease of certain branches. The resulting gain amounting to P2.4 million is presented as part of Miscellaneous Income in the 2024 statement of profit or loss (see Note 18.1). There were no pre-terminated lease contracts in 2023 and 2022.

In 2025, the Bank disposed premises with a related gain of P141.889 million.

Depreciation and amortization expenses amounting to P13.080 million and P12.329 million in 2025 and 2024, respectively, are shown as part of the Depreciation and Amortization in the statements of profit or loss.

As of December 31, 2024 and 2023, the total cost of the Bank's fully-depreciated assets that are still used in operations amounts to P146.78 million and P174.0 million, respectively.

The BSP requires that investments in fixed assets do not exceed 50% of the Bank's unimpaired capital. As of September 30, 2025 and December 31, 2024, the Bank has satisfactorily complied with this BSP requirement.

The Bank leases office space for its various branches. With the exception of short-term leases, each lease, in respect of right-of-use asset, is presented in the statement of financial position as part of Bank Premises, Furniture, Fixtures, and Equipment and in respect of the related obligation as lease liability under Other Liabilities. In 2025 and 2024, the Bank has 30 right-of-use assets leased, respectively, with terms ranging from one to five years with renewal options and annual escalation rates from 5.0% to 10.0% in both 2025 and 2024.

Each lease imposes a restriction that the right-of-use asset can only be used by the Bank. Leases are either non-cancellable or may only be cancelled by incurring a substantive termination fee. Some leases contain an option to extend the lease for a further term. The Bank is prohibited from selling or pledging the underlying leased assets as security. The Bank must keep those premises in a good state of repair and return the properties in their original condition at the end of the lease. Further, the Bank must ensure the leased assets and incur maintenance fees on such items in accordance with the lease contracts.

The use of extension and termination options gives the Bank added flexibility in the event it has identified more suitable premises in terms of cost and/or location or

determined that it is advantageous to remain in a location beyond the original lease term. An option is only exercised when consistent with the Bank's business expansion unit's strategy and the economic benefits of exercising the option exceeds the expected overall cost.

12. INVESTMENT PROPERTIES

The gross carrying amounts and accumulated depreciation and impairment of investment properties at the beginning and end of 2025 and 2024 are shown below.

<i>(Amounts in PHP)</i>	Land	Buildings	Total
September 30, 2025			
Cost	275,242,113	154,760,763	430,002,876
Accumulated Depreciation		(55,306,680)	(55,306,680)
Net carrying amount	275,242,113	99,454,083	374,696,196
December 31, 2024			
Cost	271,517,877	132,847,387	404,365,264
Accumulated Depreciation		(44,610,598)	(44,610,598)
Net carrying amount	271,517,877	88,236,789	359,754,666
December 31, 2023			
Cost	416,899,386	252,843,627	669,743,013
Accumulated Depreciation		(49,858,160)	(49,858,160)
Net carrying amount	416,899,386	202,985,467	619,884,853

A reconciliation of the carrying amounts of investment properties at the beginning and end of 2025, 2024, and 2023 are shown below.

<i>(Amounts in PHP)</i>	Land	Buildings	Total
Balance at January 1, 2025, net of accumulated depreciation and impairment	271,517,877	88,236,789	359,754,666
Additions	84,468,865	28,954,832	113,423,697
Disposals	(80,744,629)		(80,744,629)
Adjustment		(7,041,456)	(7,041,456)
Depreciation charges for the year		(10,696,082)	(10,696,082)
Balance at September 30, 2025, net of accumulated depreciation and impairment	275,242,113	99,454,083	374,696,196
	0	0	
Balance at January 1, 2024, net of accumulated depreciation and impairment	416,899,385	202,985,467	619,884,852
Additions	113,124,865	2,873,043	115,997,908
Disposals	(258,506,373)	(95,947,548)	(354,453,921)
Depreciation charges for the year		(21,674,173)	(21,674,173)
Balance at December 31, 2024, net of accumulated depreciation and impairment	271,517,877	88,236,789	359,754,666

Balance at January 1, 2023, net of accumulated depreciation and impairment	388,937,214	204,299,971	593,237,185
Additions	122,241,780	26,259,915	148,501,695
Disposals	(94,279,608)	(3,684,108)	(97,963,716)
Depreciation charges for the year		(23,890,311)	(23,890,311)
Balance at December 31, 2023, net of accumulated depreciation and impairment	416,899,386	202,985,467	619,884,853

Additions in 2025, 2024 and 2023 include real and other properties acquired through foreclosure of assets value based on the carrying amount of the related loan and receivable (see Note 11).

The Bank disposed of certain investment properties which resulted in a gain of P38.3 million, P37.3 million, and P28.4 million in 2024, 2023 and 2022, respectively, and is presented as part of Net gain from assets acquired or exchanged in Miscellaneous account under Other Operating Income section in the statements of profit or loss (see Note 18.1).

Income earned by the Bank from its investment properties leased to third parties under operating lease agreements amounted to P2.7 million, P2.2 million, and P0.8 million in 2024, 2023 and 2022, respectively, and is presented as Rental income under the Miscellaneous Income account in the statements of profit or loss (see Note 18.1 and Note 24.1). No related income was recognized in 2025, as the asset previously leased in 2024 had been sold in the same year.

Direct operating expenses, other than depreciation expense, incurred on these investment properties amounted to P3.345 million and P3.851 million for the period ended September 30, 2025 and 2024, respectively, and are presented as Litigation and Asset Acquired Expenses in the statements of profit or loss.

The total fair values of investment properties as of September 30, 2025 and December 31, 2024 amounted to P477.8 million, as determined by the Bank's in-house and independent appraisers (see Note 6.4).

As of September 30, 2025, there is no restriction on the realizability of investment properties or the remittance of income and proceeds of disposal therefrom. In addition, the Bank has not entered into a significant commitment to purchase, construct or develop any investment property in the near future.

13. OTHER RESOURCES

The details of this account follow:

Other Resources

		2025	2024
Computer software – net	14.2	49,825,747	43,943,739
Deferred tax assets – net	20	33,021,525	33,021,525
Branch licenses	14.3	33,000,000	33,000,000
Retirement benefit asset	19.2	9,850,356	9,850,356
Security deposits	14.5, 22.4	15,519,413	9,610,740
Assets held-for-sale – net	14.1	15,789,422	8,779,206
Sundry debits	14.4	8,732,086	7,659,664
Stationery and supplies on hand		9,583,414	7,577,106
Advance rental		8,786,057	3,129,760
Deposit with Philippine Clearing House Corp. (PCHC)		2,500,000	2,500,000
Deposit with Bancnet		2,000,000	2,000,000
Prepaid expenses		22,560,318	1,766,769
Other investments		1,203,333	1,203,333
Utility deposit		990,689	917,450
Documentary stamps		720,163	905,875
Petty cash fund		88,000	88,000
Creditable withholding tax		13,646,365	0
Miscellaneous		1,500	0
		<u>227,818,390</u>	<u>165,953,523</u>

14.

14.1 Assets Held-for-Sale

Non-financial assets include vehicles and jewelry items foreclosed from borrowers. Certain jewelries were subsequently sold in September 30, 2025 and 2024 and recognized gain on sale amounting to P0.501 million and P1.191 million, respectively, and is presented as part of Net gain from assets acquired or exchanged in Miscellaneous account under Other Operating Income section in the statements of profit or loss (see Note 18.1).

The breakdown of this account is as follows:

(Amounts in PHP)	2025	2024
Jewelry items	8,579,534	4,630,522
Motor vehicles – net	<u>7,209,888</u>	<u>4,148,684</u>
	<u>15,789,422</u>	<u>8,779,206</u>

Changes in the carrying amounts of jewelry items are summarized below.

<i>(Amounts in PHP)</i>	2025	2024
Balance at beginning of year	4,630,522	3,559,798
Foreclosures	3,097,426	55,996,600
Disposals	(894,322)	(54,925,876)
Redemptions	1,745,908	0
Balance at end of year	8,579,534	4,630,522

Changes in the carrying amounts of motor vehicles are summarized below.

<i>(Amounts in PHP)</i>	2025	2024
Net carrying amount at beginning of year	4,148,684	5,021,307
Addition	5,612,245	2,627,372
Depreciation	(2,551,041)	(1,848,357)
Transfer to bank premises	0	(1,651,638)
Net carrying amount at end of year	7,209,888	4,148,684

14.2 Computer Software

Computer software pertains to the cost of system software and other expenditures related to software upgrade which is amortized by the Bank over a period of five to ten years.

The movements in the computer software account follow:

<i>(Amounts in PHP)</i>	2025	2024
Balance at beginning of year	43,943,739	26,955,768
Additions	14,096,254	31,870,467
Amortization charges for the year	(8,214,245)	(14,882,496)
Balance at end of year	49,825,747	43,943,739

Amortization of computer software amounting to P8.214 million in 2025 and P12.831 million in 2024 are shown as part of the Depreciation and Amortization account in the statements of profit or loss.

14.3 Branch License

Branch licenses pertain to the cost of licenses acquired by the Bank in 2004 and in 2006 for a consideration of P11.0 million and P20.0 million, respectively. The Bank also incurred P1.5 million representing relocation costs of the branches acquired in 2004. In 2024, the Bank has incurred additional consideration amounting to P500 thousand. The Bank has utilized the branch license by establishing the branch banking operations on which the Bank will continuously operate. Accordingly, no impairment loss is required to be recognized in 2024, 2023 and 2022.

14.4 Sundry Debits

Sundry debits and sundry credits mainly pertain to ATM deposit and withdrawal transactions, including fees and charges thereon, which are yet to be classified, cleared and applied against proper customers' accounts within one month from date of entry (see Note 16).

14.5 Security Deposits

Security deposits include refundable deposits for the lease of the various branches of the Bank from several parties. Refundable security deposits are remeasured at amortized cost using the effective interest rates ranging from 4.41% to 8.91% determined at the inception of the lease contracts. The fair values on initial recognition of the security deposits were determined by calculating the present value of the future cash flows anticipated until the end of the lease term using discount rates determined by reference to market interest rate of comparable financial instrument.

15. DEPOSIT LIABILITIES

Savings deposits have an interest rate of 0.35%, 0.40% and 0.13% per annum in 2025 and 2024, respectively. Peso term deposits have annual interest rates ranging from 2.05% to 4.40% for both 2025 and 2024. US dollar term deposits have annual interest rates ranging from 0.18% to 0.80% for both 2025 and 2024.

The breakdown of the interest expense incurred related to each type of deposit liabilities is shown below.

	2025	2024
Savings:		
Philippine Peso	53,471,387	45,008,257
US Dollar	10,633	26,092
Time:		
Philippine Peso	16,786,154	9,036,847
US Dollar	357,315	465,477
Demand	1,754,201	1,556,468
	<u>72,379,690</u>	<u>56,093,141</u>

The breakdown of deposit liabilities as to currency is shown below.

<i>(Amounts in PHP)</i>	2025	2024
Philippine Peso	6,474,128,641	4,955,526,622
US Dollar	62,568,975	60,509,885
	<u>6,536,697,616</u>	<u>5,016,036,507</u>

Under existing BSP regulations, deposit liabilities are subject to regular and liquidity reserve of 0.00% in 2025 and 1.00% in 2024. The Bank has reserves from its balance in Due from BSP account amounting to P49.5 million and P83.2 million as of December 31, 2024 and 2023, respectively (see Note 7). The Bank is in compliance with these BSP regulations as of the end of reporting period.

The BSP has set the reserve requirement for Thrift Banks to 0.0 percent. The new ratio took effect on the reserve week beginning March 28, 2025. This reduction in reserve requirements aims to inject more liquidity into the banking system and encourage lending.

16. OTHER LIABILITIES

This account consists of the following:

<i>(Amounts in PHP)</i>	Notes	2025	2024
Lease liabilities	16.1	99,392,788	104,383,745
Accounts payable	16.2	23,117,488	46,079,569
Accrued expenses	16.3	20,814,149	28,960,115
Cashiers and manager's checks		11,999,721	39,098,602
Sundry credits	14.4	2,994,999	2,993,664
Security deposits		30,510	147,429
Income tax payable		0	0
Miscellaneous		3,525,480	3,706,021
		<u>161,875,136</u>	<u>225,369,144</u>

16.1 Lease Liabilities

The movements in the lease liability recognized in the statements of financial position are as follows:

<i>(Amounts in PHP)</i>	2025	2024
Balance at beginning of year	104,383,745	83,086,640
Additions	17,139,025	49,786,641
Interest	5,684,987	6,554,348
Repayments of lease liability	<u>(27,814,969)</u>	<u>(35,043,885)</u>
Balance as of end of year	<u>99,392,788</u>	<u>104,383,745</u>

The total interest expense incurred on the lease liability amounted to P5.685 million and P6.554 million 2025 and 2024, respectively, and is presented as part of Others under Interest Expense in the statements of profit or loss.

In 2024 and 2023, the Bank entered a new lease contract and renewed several others resulting in a total addition of P29.439 million and P49.787 million, respectively. As at September 30, 2025, the Bank has no committed leases which had not yet commenced.

The Bank has elected not to recognize lease liabilities for short-term leases. Payments made under such leases are expensed on a straight-line basis. The expenses relating to short-term leases amounted to P4.929 million and P3.236 million in 2025 and 2024, respectively, and is presented as Occupancy under Other Operating Expenses in the statements of profit or loss.

The maturity analysis of lease liabilities at September 30, 2025 and December 31, 2024 is as follows:

	Within One Year	1 to 2 years	2 to 3 years	3 to 4 years	4 to 5 years	More than Five years	Total
September 30, 2025							
Lease Payments	1,464,300	26,857,878	23,663,198	21,724,338	4,014,538	39,570,638	117,294,890
Finance Charges	(4,762,021)	(3,891,884)	(2,725,347)	(1,614,245)	(930,045)	(3,978,561)	(17,902,102)
Net Present Value	(3,297,720)	22,965,994	20,937,851	20,110,093	3,084,494	35,592,077	99,392,788
							-
December 31, 2024							
Lease Payments	28,812,174	26,857,878	23,663,198	21,724,338	4,014,538	17,213,720	122,285,846
Finance Charges	(4,762,021)	(3,891,884)	(2,725,347)	(1,614,245)	(930,045)	(3,978,561)	(17,902,102)
Net Present Value	24,050,153	22,965,994	20,937,851	20,110,093	3,084,494	13,235,160	104,383,745

16.2 Accounts Payable

Accounts payable is mainly composed of collections of PhilHealth contributions from various clients of the Bank, which are remitted to PhilHealth daily, advance collections from borrowers and payable to third party vendors and contractors for purchases of goods and services.

16.3 Accrued Expenses

Accrued expenses are composed mainly of gross receipts taxes, insurance premium to PDIC, and various accruals for utilities, security and janitorial services.

17. EQUITY

17.1 Capital Stock

Capital stock represents the nominal value of shares that have been issued.

Additional paid-in capital includes any premiums received on the issuance of capital stock. Any transaction costs associated with the issuance of shares are deducted from additional paid-in capital, net of any related income tax benefits.

As of September 30, 2025 and December 31, 2024, the Bank has total authorized capital stock of P1.649 billion and P1.618 billion at P10 par value per share. As of those dates, total issued and outstanding shares consisted of 164,865,000 shares amounting to P1.649 billion for 2025 and 161,800,000 shares amounting to 1.618 billion for 2024.

On November 28, 2001, the SEC approved the listing of the Bank's shares totaling 44,100,000. The shares were initially listed at an offer price of P11.55 per share. There are 49 holders both in 2022 and 2021, and 58 holders in 2020 of the Bank's total outstanding shares. Such listed shares closed at P12.52 and P8.11 per share as of December 31, 2024 and 2023, respectively. As of December 31, 2024 and 2023, the approved listing of the Bank's shares by the SEC and PSE is both 180,000,000. The BOD in its meeting dated November 25, 2020, approved the proposed increase in the authorized capital stock from 100,000,000 shares at P10 par value or P1.0 billion to 180,000,000 shares at P10 par value or P1.8 billion amending its previous approval dated June 26, 2018 and May 16, 2019. This was then approved by the stockholders on December 18, 2020 (see Note 17.4). On May 7, 2021, the Monetary Board of the BSP approved the issuance of the additional shares totaling to P506.0 million. Subsequently, the SEC approved the application on October 20, 2021. Accordingly, the Bank reclassified the Deposit on future stock subscription to Capital Stock in the 2021 statement of financial position. In 2023, the BOD approved three additional subscriptions of certain existing stockholders in the total amount of P112.0 million. In March 2025, there were additional share subscription of 3.065 million at P10 par.

Revaluation Reserves

Revaluation reserves comprise of the following:

- (a) net unrealized fair value gain arising from remeasurements of financial assets at FVOCI; and,
- (b) remeasurements of defined benefit post-employment plan based on the accumulated balances of actuarial gains or losses arising from experience adjustments and other changes in actuarial assumptions used in the determination of defined benefit obligation, and actual return on plan assets (excluding amount included in net interest).

The components and reconciliation of items of other comprehensive income presented in the statements of changes in equity at their aggregate amount under Revaluation Reserves account, are shown below.

<i>(Amounts in PHP)</i>	Financial assets at FVOCI	Defined Benefit Plan	Total
Balance as of January 1, 2024	(11,386,267)	15,606,457	4,220,190
Remeasurements of defined benefit post-employment plan (see Note 19.2)	-	2,176,188	2,176,188
Fair value gains on financial assets at FVOCI (see Note 10.2)	7,088,659	-	7,088,659
Other comprehensive income before tax	7,088,659	2,176,188	7,088,659
Tax expense	(3,159,899)	-	(3,159,899)

Other comprehensive income after tax	3,928,760	2,176,188	6,104,948
Balance as of December 31, 2024	<u>(7,457,507)</u>	<u>17,782,645</u>	<u>10,325,138</u>
Balance as of January 1, 2023	<u>(16,290,638)</u>	<u>15,182,491</u>	<u>(1,108,147)</u>
Remeasurements of defined benefit post-employment plan (see Note 19.2)	-	423,966	423,966
Fair value losses on financial assets at FVOCI (see Note 10.2)	(940,159)	-	(940,159)
Other comprehensive income (loss) before tax	(940,159)	423,966	(516,193)
Tax income	280,038	-	280,038
Other comprehensive income (loss) after tax	(660,121)	423,966	(236,155)
Realized gain on sale of equity securities at FVOCI (see Note 10.2)	5,564,492	-	5,564,492
Balance as of December 31, 2023	<u>(11,386,267)</u>	<u>15,606,457</u>	<u>4,220,190</u>
Balance as of January 1, 2022	<u>966,524</u>	<u>11,506,010</u>	<u>12,472,534</u>
Remeasurements of defined benefit post-employment plan (see Note 19.2)	-	3,676,481	3,676,481
Fair value losses on financial assets at FVOCI (see Note 10.2)	(23,350,654)	-	(23,350,654)
Other comprehensive income (loss) before tax	(23,350,654)	3,676,481	(19,674,173)
Tax income	6,093,492	-	6,093,492
Other comprehensive income (loss) after tax	(17,257,162)	3,676,481	(13,580,681)
Balance as of December 31, 2022	<u>(16,290,638)</u>	<u>15,182,491</u>	<u>(1,108,147)</u>

17.2 Capital Management and Regulatory Capital

The BSP, as a lead regulator, sets and monitors capital requirements for the Bank. In implementing current capital requirements, the BSP requires the Bank to maintain a prescribed ratio of qualifying capital to risk-weighted assets.

Under current banking regulations, the combined capital accounts of the Bank should not be less than an amount equal to 10% of its risk assets. The qualifying capital of the Bank for purposes of determining the capital-to-risk assets ratio is total equity excluding:

- (a) unbook valuation reserves and other capital adjustments as may be required by the BSP;
- (b) total outstanding unsecured credit accommodations to directors, officers, stockholders and related interests;
- (c) deferred tax asset or liability;
- (d) goodwill;
- (e) accumulated equity in earnings of investee where the Bank holds 50% or less but where the equity method of accounting has been applied; and,
- (f) appraisal increment on bank premises, furniture, fixtures and equipment other than those allowed to be recognized in connection with a merger or acquisition.

Risk assets consist of total assets after exclusion of cash on hand, due from BSP, loans covered by hold-out on or assignment of deposits, loans or acceptances under letters of

credit to the extent covered by margin deposits, and other non-risk items as determined by the Monetary Board of the BSP.

The Bank's regulatory capital position at the end of each reporting period follows:

	2025	2024	2023
Tier 1 Capital	1,032,010,232	1,020,955,306	967,031,972
Tier 2 Capital	33,082,198	26,516,725	26,324,201
Total Qualifying Capital	1,065,092,430	1,047,472,031	993,356,173
Total Risk Weighted Assets	6,117,078,649	5,943,867,498	5,884,661,554
Total qualifying capital expressed as a percentage of total risk weighted assets	17.41%	17.62%	16.88%
Tier 1 Capital Adequacy Ratio (CAR)	16.87%	17.18%	16.43%

The amount of surplus funds available for dividend declaration is determined also on the basis of regulatory net worth after considering certain adjustments.

The Bank's policy is to maintain a strong capital base as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholder's return is also recognized and the Bank recognizes the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

Compliance with the Minimum Capital Regulatory Requirement

Section 121 of the BSP MORB sets out the minimum required capital for banks. Under current banking regulations, the minimum capitalization of the Bank should not be less than P1.0 billion. The total adjusted capital of the Bank for purposes of determining the compliance is total equity excluding:

- (a) Treasury stock;
- (b) Unbook allowance for probable losses (which includes allowance for credit losses and impairment losses) and other capital adjustments as may be required by the Bangko Sentral;
- (c) Total outstanding unsecured credit accommodations, both direct and indirect, to directors, officers, stockholders, and their related interests (DOSRI) granted by the bank proper;
- (d) Total outstanding unsecured loans, other credit accommodations and guarantees granted to subsidiaries;
- (e) Total outstanding loans, other credit accommodations and guarantees granted to related parties;
- (f) Deferred tax assets that rely on future profitability of the bank to be realized, net of any (a) allowance for impairment and (b) associated deferred tax liability; and,
- (g) Reciprocal investment in equity of other banks/enterprises, whether foreign or domestic.

On October 9, 2014, the Monetary Board of the BSP issued Circular No. 854 increasing the minimum capital requirement for all bank categories: universal, commercial, thrift, rural, and cooperative banks. As mandated by this new circular, the revised capitalization requirement applicable to the Bank is P1.0 billion since it has a head office in Metro Manila, which should be complied with on or before 2019. The Bank has developed a feasible capital build-up program that it will implement within the five-year period required by the BSP to meet this new minimum capital requirements.

In view of the foregoing, the BOD has implemented various measures to improve the Bank's financial condition within a reasonable period. These measures include formulation of a capital build up plan in compliance with BSP Circular No. 854 and implementation of business improvement plan.

On May 16, 2019, the BOD approved to amend the Bank's Articles of Incorporation increasing the authorized capital stock from P1.0 billion to P1.5 billion. The approval thereof by the BOD was confirmed by the stockholders last May 28, 2019. The Bank plans to accept new investors or infuse capital from the existing shareholders. Accordingly, to execute the plan and complete the necessary documentations, the Bank requested BSP for an extension to infuse capital. On December 13, 2019, the Monetary Board of the BSP granted the Bank a 120 days extension (reckoned from the date of Bank's receipt of BSP approval on December 23, 2019) of the Bank's compliance to infuse capital of P500.0 million and address the minimum capital requirement of the Bank.

Further on April 29, 2020, the Bank requested for an additional extension to infuse capital which was approved by the Monetary Board of the BSP up to July 30, 2020 or a period of 60 days after the Enhanced Community Quarantine (ECQ) is lifted. ECQ in Metro Manila was lifted on June 1, 2020. On July 10, 2020, the BOD approved the additional subscriptions of certain existing stockholders in the total amount of P496.8 million.

On July 13, 2020, the Bank entered into a subscription agreement with such stockholders and received the actual deposit totalling P496.8 million in the form of cash. On December 7, 2020, the Bank received an additional deposit on future stock subscription from one of the stockholders amounting to P6.0 million. The subscription deposits are included in Deposit on future stock subscription which is presented under Other Liabilities in the statements of financial position since the Bank is still in the process of applying for the increase in authorized capital stock and awaiting regulatory approvals (i.e., BSP and SEC) as of December 31, 2020 (see Note 17.1).

To fully comply with the regulatory requirements, it was discussed in the BOD meeting that the Bank's authorized capital stock of P1.0 billion previously approved by the SEC should be increased to P1.8 billion. Hence, the BOD in its meeting dated November 25, 2020, approved to increase the authorized capital stock to P1.8 billion amending their previous approval dated June 26, 2018 and May 16, 2019. This was then approved by the stockholders on December 18, 2020 (see Note 17.1). The application for the said increase was approved by the BSP on May 7, 2021 and subsequently approved by SEC on October 20, 2021. Accordingly, the Bank reclassified deposit on future stock subscription to capital stock amounting to P506.0 million.

In 2023, the BOD approved the additional subscriptions of certain existing stockholders in the total amount of P112.0 million. These were all paid within the same year.

The Bank's total adjusted capital amounted to 1,308.6 as of September 30, 2025 and P1,067.0 million as of December 31, 2024.

In addition, the Bank implemented the following:

- monitoring of capital level to ensure compliance with minimum capital requirements;
- implemented programs and policy to strengthen the Bank's marketing strategy on its deposits and loan products;
- strengthening the risk management oversight through regular meetings; and,
- rationalization and review of the Bank's business relationship and opportunities with its related parties.

17.3 Minimum Liquidity Ratio

On February 8, 2018, BSP issued Circular No. 996, *Amendments to the Liquidity Coverage Ratio Framework for Stand-Alone Thrift Banks, Rural Banks, Cooperative Banks and Quasi-Banks*, which provide guidance on and prescribes the prudential requirement for covered institutions to maintain eligible stock of liquid assets proportionate to the level of total qualifying liabilities (i.e., both on and off-balance sheet liabilities). Eligible liquid assets shall include cash and other liquid assets that are immediately liquefiable and free from encumbrances.

The minimum liquidity ratio (MLR) of 20% shall be complied with on an ongoing basis absent a period of financial stress effective January 1, 2019. However, the Bank was only able to comply with the MLR requirement starting June 2019.

The Bank's MLR as of September 30, 2025 and December 31, 2024 are analysed below.

	2025	2024
Eligible stock of liquid assets	2,798,805,262	1,583,852,487
Total qualifying liabilities	6,491,142,515	5,024,312,854
MLR	43.12%	31.52%

On April 7, 2020, BSP issued Memorandum No. M-2020-020, *Reduction in the Minimum Liquidity Ratio in response to COVID-19*, which reduced the MLR for thrift, rural, and cooperative banks from 20% to 16% until December 31, 2020 and was further extended until end of 2023.

17.4 Appropriations

The Bank follows the requirements of BSP Circular No.1011, *Guidelines on the Adoption of PFRS 9*, which requires financial institutions to set up general loan loss provision (GLLP) equivalent to 1.00% of all outstanding Stage 1 on-balance sheet loan accounts.

Pursuant to the requirements of the BSP under Circular No. 1011, the Bank shall recognize GLLP equivalent to one percent of all outstanding loans as of the end of the reporting period, except for accounts considered as credit risk-free under the existing BSP regulations. In cases when the computed allowance for ECL on those exposures is less than one percent of the general loan loss provisions required, the deficiency is recognized through appropriation from the Bank's available Surplus. The outstanding balance of appropriation for General Loan Loss Reserves as of December 31, 2023 amounted to P43.2 million, which was subsequently reversed in 2023 as the computed allowance for ECL is higher than one percent of the GLLP required. As of

December 31, 2024, the computed allowance for impairment under PFRS 9 is still higher than the one percent GLLP requirement.

18. MISCELLANEOUS INCOME AND MISCELLANEOUS EXPENSES

Presented below are the details of these accounts:

18.1 *Miscellaneous Income*

		2025	2024	2023
Net gain from assets acquired or exchanged	13, 14.1	24,151,483	12,351,161	38,674,789
Penalty on loans		7,156,263	5,196,189	7,532,304
Write-off of long outstanding accounts payable		-	-	-
Dividends	10.2	-	-	7,366,310
Income from trust department	21	5,475,676	3,387,057	6,570,285
Legal and appraisal fees		-	-	2,406,644
Gain on pre-termination of lease	16.1	-	-	-
Rental income	13, 24.1	391,690	1,627,510	2,211,643
Interbank ATM transactions		2,150,485	907,286	1,793,860
ATM overages and other fees		-	-	1,588,014
Income from re-ordered and pre-encoded checks		-	-	565,064
		39,325,597	23,469,203	68,708,912
Balance forwarded		39,325,597	23,469,203	68,708,912
Net interest income on post-employment defined benefit asset	19.2	-	-	286,512
Unrealized foreign exchange gains – net		81,588	308,084	176,762
Gain on sale of bank premises	12	142,146,546	-	75,000
Penalty charges on returned checks and other cash items		-	-	-
Recoveries from impairment on investment properties		-	-	-
Others		27,616,523	4,996,204	4,110,133
		209,170,254	28,773,491	73,357,318

Net gains from assets acquired or exchanged represent gains arising from the disposal of investment properties and other non-financial assets foreclosed from defaulting borrowers.

Others include excess payments associated with loans that have not been refunded, and certain appraisal fees earned by the Bank from its loan clients.

18.2 *Miscellaneous Expenses*

	2025	2024
Management and professional fees	14,535,513	9,232,268
Fines and penalties	1,171,601	(619,492)
Office supplies	560,508	1,061,601
BSP supervision fees	1,599,081	791,350
Transportation and travel	1,324,095	743,364
Representation and entertainment	675,000	450,000
Advertising and publicity	299,818	181,019
Freight	390,822	135,238
Others	42,346	9,625
	20,598,784	11,984,973

Others include seminar and training expense, settlement of deficiency tax assessments, Bank giveaways and other branch related expenses.

19. **EMPLOYEE BENEFITS**

19.1 *Salaries and Employee Benefit Expense*

Expenses recognized for salaries and other employee benefits are presented below.

	2025	2024
Short-term employee benefits	108,866,169	75,122,716
Post-employment defined benefits	-	1,684,542
	108,866,169	76,807,258

19.2 *Post-employment Defined Benefit Plan*

(a) *Characteristics of the Defined Benefit Plan*

The Bank maintains a funded, tax-qualified, noncontributory post-employment benefit plan that is being administered by the Bank's Trust Department. The post-employment plan covers all regular full-time employees.

The normal retirement age is 60 with a minimum of five years of credited service. The plan also provides for an early retirement at age 50 with a minimum of five years of credited service and late retirement after age 60, both subject to the approval of the Bank's BOD. Normal retirement benefit is an amount equivalent to 100% of the final monthly covered compensation (average monthly basic salary during the last 12 months of credited service) for every year of credited service.

(b) *Explanation of Amounts Presented in the Financial Statements*

Actuarial valuations are made annually to update the post-employment benefit costs and the amount of contributions. All amounts presented below are based on the actuarial valuation report obtained from an independent actuary in 2024 and 2023.

The amounts of retirement benefit asset are recognized in the statements of financial position as part of Other Resources (see Note 14) are determined as follows:

<i>(Amounts in PHP)</i>	<u>2024</u>	<u>2023</u>
Present value of the obligation	28,266,970	26,739,426
Fair value of plan assets	(38,117,326)	(34,794,427)
	<u>(9,850,356)</u>	<u>(8,055,001)</u>

The movements in the present value of the defined benefit post-employment obligation are as follows:

<i>(Amounts in PHP)</i>	<u>2024</u>	<u>2023</u>
Balance at beginning of year	26,739,426	23,881,086
Current service cost	4,545,941	4,145,632
Interest expense	1,625,757	1,724,214
Remeasurements – actuarial losses (gains) arising from:		
changes in demographic assumptions	-	(2,646,468)
changes in experience adjustments	(2,825,696)	1,315,846
changes in financial assumptions	(22,196)	-
Benefits paid	(1,796,262)	(1,680,884)
Balance at end of year	<u>28,266,970</u>	<u>26,739,426</u>

The movements in the fair value of plan assets are presented below.

<i>(Amounts in PHP)</i>	<u>2024</u>	<u>2023</u>
Balance at beginning of year	34,794,427	27,849,396
Contributions to the plan	3,675,364	7,521,845
Benefits paid	(1,796,262)	(1,680,884)
Interest income	2,115,501	2,010,726
Return on plan assets (excluding amounts included in net interest)	(671,704)	(906,656)
Balance at end of year	<u>38,117,326</u>	<u>34,794,427</u>

The composition of the fair value of plan assets at the end of each reporting period by category and risk characteristics is shown below.

<i>(Amounts in PHP)</i>	<u>2024</u>	<u>2023</u>
Cash and cash equivalents	12,024,008	12,672,492
Debt securities:		
Government securities	18,478,203	7,032,315
Corporate bonds	5,190,478	9,446,424
Quoted equity securities	1,143,001	5,594,567
Miscellaneous receivable	1,281,636	48,629
	<u>38,117,326</u>	<u>34,794,427</u>

The fair value of the above equity securities, corporate debt securities, and government securities (categorized under Level 1) are determined based on quoted market prices in an active market.

The plan assets earned returns (losses) of P1.4 million in 2024, (P1.1 million) in 2023 and P0.1 million in 2022.

Plan assets of the post-employment plan include cash deposits of P12.0 million and P12.7 million maintained in the Bank as of December 31, 2024 and 2023, respectively.

The components of amounts recognized in profit or loss and in other comprehensive income in respect of the defined benefit post-employment plan are as follows:

<i>(Amounts in PHP)</i>	<u>2024</u>	<u>2023</u>	<u>2022</u>
<i>Reported in profit or loss:</i>			
Current service cost	4,545,941	4,145,632	4,397,218
Net interest expense (income)	(489,744)	(286,512)	97,690
	<u>4,056,197</u>	<u>3,859,120</u>	<u>4,494,908</u>
<i>Reported in other comprehensive income:</i>			
Actuarial gains (losses) arising from changes in:			
demographic assumptions	-	2,646,468	-
experience adjustments	2,825,696	(1,315,846)	208,381
financial assumptions	22,196	-	4,870,745
Return on plan assets (excluding amounts included in net interest expense)	<u>(671,704)</u>	<u>(906,656)</u>	<u>(1,402,645)</u>
	<u>2,176,188</u>	<u>423,966</u>	<u>3,676,481</u>

Current service cost is presented in the statements of profit or loss as part of Salaries and Employee Benefits under the Other Operating Expenses account.

The net interest expense (income) is presented as Net interest expense (income) on post-employment defined benefit asset under Other Operating Expense (Income) account (see Notes 18.1 and 18.2).

Amounts recognized in other comprehensive income were included within item that will not be reclassified subsequently to profit or loss.

In determining the amounts of the defined benefit post-employment obligation, the following significant actuarial assumptions were used:

	<u>2024</u>	<u>2023</u>
Discount rates	6.09%	6.08%
Expected rate of salary increases	3.00%	3.00%

Assumptions regarding future mortality experience are based on published statistics and mortality tables. The average remaining working lives of an individual retiring at the age of 60 is 24 years.

These assumptions were developed by management with the assistance of an independent actuary. Discount factors are determined close to the end of each reporting period by reference to the interest rates of a zero-coupon government bond with terms to maturity approximating to the terms of the retirement obligation. Other assumptions are based on current actuarial benchmarks and management's historical experience.

(c) *Risks Associated with the Retirement Plan*

The plan exposes the Bank to actuarial risks such as investment risk, interest rate risk, longevity risk and salary risk.

(i) *Investment and Interest Rate Risks*

The present value of the defined benefit obligation is calculated using a discount rate determined by reference to market yields of government bonds. Generally, a decrease in the interest rate of a reference government bond will increase the plan obligation. However, this will be partially offset by an increase in the return on the plan's investments in debt securities and if the return on plan asset falls below this rate, it will create a deficit in the plan. As of end of 2024, the plan investments are 64% placed in corporate and government debt securities with the remaining assets invested in cash, equity securities and miscellaneous. Due to the long-term nature of the plan obligation, a level of continuing equity investments is still an appropriate element of the Bank's long-term strategy to manage the plan efficiently.

(ii) *Longevity and Salary Risks*

The present value of the defined benefit obligation is calculated by reference to the best estimate of the mortality of the plan participants during their employment, and to their future salaries. Consequently, increases in the life expectancy and salary of the plan participants will result in an increase in the plan obligation.

(d) *Other Information*

The information on the sensitivity analysis for certain significant actuarial assumptions, the Bank's asset-liability matching strategy, and the timing and uncertainty of future cash flows related to the retirement plan are described below and in the succeeding page.

(i) *Sensitivity Analysis*

The following table summarizes the effects of changes in the significant actuarial assumptions used in the determination of the defined benefit obligation as of December 31, 2024 and 2023 are as follows:

(Amounts in PHP)	Impact on Post-employment Defined Benefit Obligation		
	Change in Assumption	Increase in Assumption	Decrease in Assumption
<u>December 31, 2024</u>			
Discount rate	+/-1.0%	(2,028,312)	2,439,522
Salary growth rate	+/-2.0%	5,253,164	(3,744,823)
<u>December 31, 2023</u>			
Discount rate	+/-1.0%	(1,990,710)	2,394,310
Salary growth rate	+/-2.0%	5,177,473	(3,689,537)

The sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. This analysis may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated. Furthermore, in presenting the sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation recognized in the statements of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous years.

(ii) *Asset-liability Matching Strategies*

To efficiently manage the retirement plan, the Bank ensures that the investment positions are managed in accordance with its asset-liability matching strategy to ensure that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as they fall due and in the appropriate currency. The Bank monitors how the duration and the expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

A larger portion of the plan assets as of December 31, 2024 and 2023 are invested in government securities, corporate debt securities and equity securities. In view of the long-term nature of the plan obligation, the Bank may re-allocate its plan assets and increase the level of its investments in equity and debt securities. The Bank believes that a combination of corporate debt securities and equity securities offer the best returns over the long term with an acceptable level of risk. Government securities, corporate debt securities and equities included in the plan assets are investments in a diversified portfolio of local blue-chip entities.

There has been no change in the Bank's strategies to manage its risks from previous periods.

(iii) Funding Arrangements and Expected Contributions

The plan is currently overfunded by P8.1 million based on the latest actuarial valuation. While there is no minimum funding requirement in the country, the size of the underfunding may pose a cash flow risk in about ten years' time when a significant number of employees is expected to retire.

Since the excess fund of P7.2 million is greater than the current service cost, the Bank expects to waive contributions to the plan in the next reporting period.

The maturity profile of undiscounted expected benefit payments from the plan follows:

<i>(Amounts in PHP)</i>	<u>2024</u>	<u>2023</u>
Within one year	2,351,122	2,344,309
More than one year to five years	8,864,732	7,628,078
More than five years to 10 years	25,230,437	19,589,534
More than 10 years to 15 years	45,765,334	61,848,346
More than 15 years to 20 years	55,807,061	47,642,526
More than 20 years	348,044,198	321,216,694
	<u>486,062,884</u>	<u>460,269,487</u>

The weighted average duration of the defined benefit obligation at the end of the reporting period is 20 years.

20. CURRENT AND DEFERRED TAXES

The components of tax expense (income) relating to profit or loss and other comprehensive income are as follows:

<i>(Amounts in PHP)</i>	2024	2023	2022
<i>Reported in the statements of profit or loss:</i>			
Current tax expense:			
Final tax at 20%, 15% and 7.5%	13,992,647	P 7,140,407	P 9,317,348
Minimum corporate income tax (MCIT) at 2% in 2024, 1.5% in 2023 and 1% in 2022 – RBU	5,002,464	3,173,282	2,059,527
Regular corporate income tax (RCIT) at 20% in 2024 and 2022, 25% in 2023 – FCDU	786,618	725,744	128,902
	19,781,729	11,039,433	11,505,777
Deferred tax income arising from –			
Origination and reversal of temporary differences	(4,197,578)	(9,298,299)	(7,283,469)
	15,584,151	1,741,134	4,222,308
<i>Reported in the statements of other comprehensive income (loss) –</i>			
Deferred tax expense (income) relating to –			
Fair valuation of financial assets at FVOCI	3,159,899	(280,038)	(6,093,492)

A reconciliation of tax on pretax income (loss) computed at the applicable statutory rates to tax expense reported in the statements of profit or loss follows:

<i>(Amounts in PHP)</i>	2024	2023	2022
Tax on pretax income (loss) at 25%	4,137,742	(23,670,858)	(3,274,835)
Adjustments for income subjected to lower income tax rates	(3,388,561)	(1,886,448)	(2,529,591)
Tax effects of:			
Unrecognized deferred tax assets	13,149,302	25,681,568	6,158,101
Non-deductible interests and other expenses	3,476,242	3,167,302	4,123,000
Non-taxable income	(1,284,890)	(1,073,270)	(170,047)
Tax exempt income	(505,684)	(477,160)	(84,320)
Tax expense	15,584,151	1,741,134	4,222,308

The net deferred tax assets presented under Other Resources account as of December 31 relate to the following (see Note 14):

<i>(Amounts in PHP)</i>	2024	2023
Deferred tax assets:		
Lease liability	26,095,936	20,771,660
Allowance for impairment	26,288,340	22,869,961
Fair value losses on financial assets at FVOCI	2,136,957	5,296,856
Defined benefit post-employment Obligation	2,716,663	2,716,663
	57,237,896	51,655,140
Deferred tax liabilities – Right-of-use assets	(24,216,371)	(19,671,295)
Net deferred tax assets	33,021,525	31,983,845

Deferred tax expense (income) charged to profit or loss and other comprehensive income for the years ended December 31 are as follows:

<i>(Amounts in PHP)</i>	Profit or Loss			Other Comprehensive Income		
	2024	2023	2022	2024	2023	2022
Lease liability	(5,324,276)	(8,293,084)	(8,152,089)	-	-	-
Right-of-use assets	4,545,077	8,290,483	6,416,737	-	-	-
Allowance for impairment	(3,418,379)	(9,295,698)	(5,548,117)	-	-	-
Fair value gains (losses) on financial assets at FVOCI	-	-	-	3,159,899	(280,038)	(6,093,492)
Net deferred tax expense (income)	(4,197,578)	(9,298,299)	(7,283,469)	3,159,899	(280,038)	(6,093,492)

The Bank is subject to the MCIT, which is computed at 2% in 2024 and 1.5% in 2023 and 1% in 2022 of gross income, as defined under the tax regulations, or RCIT, whichever is higher. For the years ended December 31, 2024, 2023 and 2022, the Bank is liable for MCIT of P5.0 million, P3.2 million and P2.1 million, respectively, since it is in taxable loss position in those years.

Based on the financial and operating forecasts of the Bank, management believes that it may not be able to generate taxable income in the near future, enough to utilize in full the benefits of certain temporary differences, MCIT and net operating loss carry over (NOLCO) after it has applied the remaining and available MCIT and NOLCO incurred in prior years.

Accordingly, the Bank has not recognized the corresponding deferred tax assets as of December 31, 2024 and 2023 as follows:

<i>(Amounts in PHP)</i>	2024		2023	
	Tax Base	Tax Effect	Tax Base	Tax Effect
NOLCO	249,695,929	62,423,982	208,210,966	52,052,741
MCIT	10,235,273	10,235,273	6,710,598	6,710,598
	259,931,202	72,659,255	214,921,564	58,763,339

The details of the Bank's MCIT and the period until which they can be applied against RCIT are as follows:

(Amounts in PHP)

Year Incurred	Amount	Expired	Balance	Year of Expiry
2024	5,002,464	-	5,002,464	2027
2023	3,173,282	-	3,173,282	2026
2022	2,059,527	-	2,059,527	2025
2021	1,477,789	(1,477,789)	-	2024
	11,713,062	(1,477,789)	10,235,273	

The NOLCO incurred by the Bank can be claimed as deductions from future taxable profits within three to five years after the tax loss was incurred. Specifically, the NOLCO incurred in 2021 and 2020 can be claimed as deduction within five years after the year it was incurred, pursuant to Section 4 (bbb) of R.A. No. 11494, *Bayanihan to Recover as One Act* (otherwise known as Bayanihan II) and as implemented through Revenue Regulations (RR) No. 25-2020. The breakdown of NOLCO is shown below.

Year Incurred	Original Amount	Expired	Remaining Balance	Year of Expiry
2024	41,484,963	-	41,484,963	2027
2023	70,844,296	-	70,844,296	2026
2022	83,763,003	-	83,763,003	2025
2021	45,030,505	-	45,030,505	2026
2020*	8,573,162	-	8,573,162	2025
	249,695,929	-	249,695,929	

*Based on the provision of CREATE Law. The NOLCO in 2020 for financial reporting is P6,937,169.

The Bank claimed itemized deductions in all years presented.

21. TRUST OPERATIONS

Investments amounting to P911.7 million and P844 million held by the Bank as of September 30, 2025 and December 31, 2024, respectively, in fiduciary or agency capacity (for a fee) for its customers are not included in the statements of financial position since these are not resources of the Bank (see Note 24.2).

In compliance with the requirements of the General Banking Act relative to the Bank's trust functions:

- (a) Investment in government securities of P10.0 million deposited with BSP as security for the Bank's faithful compliance with its fiduciary obligations (see Note 10); and,
- (b) A certain percentage of the Bank's trust income is transferred to surplus reserve. This yearly transfer is required until the surplus reserve for trust function is equivalent to 20% of the Bank's regulatory capital. As of December 31, 2024, 2023 and 2022, the reserve for trust operations amounted to P7.3 million, P6.6 million and P5.9 million, respectively, and is shown as part of Surplus Reserves in the statements of changes in equity.

Income from trust operations, net of the related expenses amounted to P6.9 million, P6.6 million and P6.7 million for the years ended December 31, 2024, 2023 and 2022, respectively, and are shown as part of Miscellaneous Income in the statements of profit or loss (see Note 18.1).

22. RELATED PARTY TRANSACTIONS

In the ordinary course of business, the Bank enters into varying transactions with its related parties, certain directors, officers, stockholders, and related interests (DOSRI), and with its funded retirement plan.

The summary of the Bank's transactions and the related outstanding balances with DOSRI and other related parties as of and for the years ended December 31, 2024 and 2023 are as follows:

<i>(Amounts in thousands of PHP)</i>						
Related Party Category	Notes	Amounts of Transactions			Outstanding Balance	
		2024	2023	2022	2024	2023
Stockholders:	22.2					
Deposit liabilities		(12,707)	(2,028)	(17,091)	6,843	19,509
Interest expense		41	5,798	102	-	-
Related Parties Under Common Ownership:						
Loans and receivables	22.1	14,549	99,132	21,008	116,003	119,082
Interest income	22.1	-	2,373	53	-	-
Deposit liabilities	22.2	190,548	19,513	61,638	1,988,841	1,631,820
Interest expense	22.2	4,514	376	4,495	-	-
Lease transactions:						
Right-of-use assets	22.4	(1,661)	32,368	(5,255)	53,125	158,430
Lease transactions	22.4	674,617	9,388	(4,204)	57,662	56,988
Interest expense	22.4	3,920	2,496	3,240	-	-
Security deposits	22.4	6,818	152	96	15,802	3,756
Rent expense	22.4	2,500	3,551	1,475	-	-
Rent income	22.4	691	673	908	-	-
Insurance expense	22.5	4,143	7,429	5,937	-	-
Advertising and publicity	22.6	81	59	18	-	-
Security Services	22.7	22,595	18,432	10,068	-	-
Officers and Employees:						
Loans and receivables	22.1	1,436	323	535	2,389	2,632
Deposit liabilities	22.2	12,411	1,530	5,095	20,999	9,457
Interest expense	22.2	13	682	36	-	-
Key Management Personnel –						
Compensation	22.8	16,185	16,404	16,218	-	-

All of the Bank's loans and receivables from related parties have been reviewed for indications of impairment. Based on management's assessment, no impairment losses are required to be recognized on these financial assets at the end of each reporting period.

22.1 Loans to Related Parties/DOSRI

Under existing policies of the Bank, these loans are made equally with the same terms as loans granted to other individuals and businesses of comparable risks. The General Banking Act and BSP regulations limit the amount of the loans granted by a bank to a single borrower to 25% of equity. The amount of individual loans to DOSRI, of which 70% must be secured, should not exceed the amount of the unencumbered deposit and book value of the investment in the Bank. Generally, aggregate loans to DOSRI should not exceed the total equity or 15% of the total loan portfolio (net of loans secured by hold-out on deposits) of the Bank, whichever is lower.

DOSRI loans bear annual interest rates of 10.94% in 2025 and 2024. Existing loans are secured, aside from employee salary loans, and are payable within one to five years.

In 2024, total loan releases and collections amounted to P12.0 million and P5.2 million, respectively, while in 2023, total loan releases and collections amounted to P4.7 million and P91.7 million, respectively.

22.2 Deposit Liabilities to Related Parties/DOSRI

As of December 31, 2024 and 2023, deposit liabilities to related parties amounts to P2.02 billion and P1.6 billion, respectively. The related interest expense incurred by the Bank from these deposits amounted to P0.04 million in 2024, P0.4 million in 2023 and P4.5 million in 2022.

These deposit liabilities are subject to the same terms and conditions as other third-party depositor, bearing annual interest rates ranging from 0.35% to 4.40% in 2024 and 2023 and 0.13% to 6.00% in 2022.

22.3 Transactions with the Retirement Plan

The Bank's retirement fund for its defined benefit post-employment plan maintained for qualified employees, is administered and managed by the Bank's Trust Department under a trust agreement. The carrying amount and the composition of the plan assets as of December 31, 2024 and 2023 is disclosed in Note 19.2.

The total deposits of the retirement fund to the Bank amounted to P12.0 million, P12.7 million and P10.7 million in 2024, 2023 and 2022, respectively.

Equity securities of the retirement fund consist of investments in corporations listed in the PSE, which includes P1.0 million and P2.4 million investments in the shares of stock of the Bank as of December 31, 2024 and 2023, respectively, while debt securities are composed of investments in corporate bonds and government securities.

The retirement fund neither provides any guarantee or surety for any obligation of the Bank nor its investments in the Bank's shares of stock covered by any restriction and liens.

The contributions made by the Bank to the retirement plan amounted to P3.7 million and P7.5 million in 2024 and 2023, respectively (see Note 19.2).

22.4 Lease Transactions

The Bank, as a lessee, has lease agreements with related parties under common ownership. In relation to these lease agreements, the Bank made certain security deposits totaling P3.8 million as of December 31, 2024 and 2023, and are presented as part of the Other Resources account in the statements of financial position (see Note 14). Rent expense arising from these leases are presented as part of Occupancy in the statements of profit or loss.

Under PFRS 16, the Bank, as a lessee, recognized right-of-use assets related to lease of space from related parties amounting to P53.2 million and P17.9 million as of December 31, 2024 and 2023, respectively, which is presented as part of Bank Premises, Furniture, Fixtures and Equipment (see Note 12). Total interest expense on lease liability amounting to P3.7 million, P2.2 million and P3.2 million in 2024, 2023 and 2022, respectively, is included as part of Others under Interest expense in the statements of profit or loss. Outstanding balance arising from these transactions' amounts to P57.7 million and P21.8 million as of December 31, 2024 and 2023, respectively, and is included as part of Lease liabilities under Other Liabilities (see Note 16).

The expenses relating to short-term leases amounted to P5.3 million, P2.0 million and P0.9 million as of December 31, 2024, 2023, and 2022, respectively, as part of Occupancy under Other Operating Expenses account in the statements of profit or loss.

The Bank also has lease agreements for the lease of its investment properties to certain related parties under common ownership. Rent income recognized on these leases are presented as Rental income under Miscellaneous Income account in the statements of profit or loss (see Notes 13, 18.1 and 24.1).

Lease agreements with related parties are either subject to fixed rental rate or 5% to 10% escalation rates. These are generally settled through cash payments with no interest charged on the outstanding balance, if any, at the end of each reporting period.

22.5 Advertising and Publicity

The Bank has an existing agreement with a related party under common ownership to provide comprehensive health care for its employees. The related expense incurred by the Bank under this agreement is presented as part of Salaries and Employee Benefit Expense in the statements of profit or loss. No related outstanding liability as of December 31, 2024 and 2023.

22.6 Security Services

The Bank has an existing agreement with a related party under common ownership to provide security services to the Bank's head office and its branches. The related expense incurred by the Bank under this agreement is presented as part of Security, Janitorial and Messengerial Services in the statements of profit or loss. No related outstanding liability as of December 31, 2024 and 2023.

22.7 Key Management Personnel Compensation

The compensation provided to key management personnel is broken down as follows:

<i>(Amounts in PHP)</i>	<u>2024</u>	<u>2023</u>	<u>2022</u>
Short-term employee benefits	11,599,700	11,687,083	11,690,000
Post-employment benefits	4,585,186	4,716,859	4,527,744
	<u>16,184,886</u>	<u>16,403,942</u>	<u>16,217,744</u>

23. EARNINGS (LOSSES) PER SHARE

Earnings (losses) per share is computed as follows:

<i>(Amounts in PHP)</i>	2025	2024
Net income (loss)	151,005,344	7,119,916
Divided by the weighted average number of outstanding common shares	<u>164,850,000</u>	<u>161,800,000</u>
	<u>0.92</u>	<u>0.04</u>

The Bank has no potentially dilutive shares (i.e., options, warrants, convertible instruments, contingently issuable shares if the conditions are satisfied, etc.); hence, no information on diluted loss per share is presented as it is the same with the basic loss per share.

24. COMMITMENTS AND CONTINGENCIES

24.1 Operating Lease Commitments – Bank as a Lessor

The Bank was a lessor under non-cancellable operating lease agreements for the lease of certain investment properties until 2023. These leases had terms of five to ten years, with renewal options, and included an annual escalation rate of 5% to 10%.

As of December 31, 2024, the future minimum lease payment is nil (P7.66 million as of December 31, 2023), as the Bank is no longer a lessor under these agreements.

The total rent income on investment properties amounted to P2.7 million, P2.2 million and P0.8 million in 2024, 2023 and 2022, respectively, and is presented as Rental income under Miscellaneous in the statements of profit or loss (see Notes 13, 18.1 and 22.4).

24.2 Others

In the normal course of the Bank's operations, there are other outstanding commitments and contingent liabilities such as guarantees and commitments to extend credit, which are not reflected in the financial statements. Management believes that as of September 30, 2025 and December 31, 2024, losses, if any, which may arise from these commitments and contingencies will not have a material effect on the Bank's financial statements.

25. NOTES TO STATEMENTS OF CASH FLOWS

The following information supplement those presented in the statements of cash flows for the periods presented with respect to the Bank's non-cash investing and financing activities:

<i>(Amounts in PHP)</i>	<u>Notes</u>	<u>2024</u>	<u>2023</u>	<u>2022</u>
Unrealized fair value gain (loss)				
on FVOCI securities	10	3,928,760	(660,121)	(17,257,162)
Additions to right-of-use assets and lease liabilities	12, 16	49,786,641	63,205,841	20,990,463

26. SUPPLEMENTARY INFORMATION REQUIRED BY THE BSP

Presented below are the supplementary information required by the BSP under Section 174 (Appendix 55) of the BSP MORB to be disclosed as part of the notes to financial statements based on BSP Circular No. 1074, *Amendments to Regulations on Financial Audit of Banks*.

(a) *Selected Financial Performance Indicators*

The following are some indicators of the Bank's financial performance.

	2025	2024	2023
Return on average capital			
<u>Net profit (loss)</u>			
Average total capital accounts	11.63%	0.08%	-8.21%
Return on average resources			
<u>Net profit (loss)</u>			
Average total resources	2.10%	0.02%	-1.78%
Net interest margin			
<u>Net interest income</u>			
Average interest earning resources	4.17%	5.27%	5.25%

(b) *Capital Instruments Issued*

As of September 30, 2025 and December 31, 2024, the Bank has capital instruments considered in the computation of the Bank's regulatory and qualifying capital in accordance with Circular 781, *Basel III Implementing Guidelines on Minimum Capital Requirements*, which may include, instruments recorded as part of equity or a financial liability qualifying as Tier 2. As of September 30, 2025 and December 31, 2024, the Bank's equity amounts to P1,358 million and P1,151 million. In 2025 and 2024, the Bank has complied the revised capitalization requirement of P1.0 billion as mandated by the BSP Circular No. 854.

(c) *Significant Credit Exposures for Loans*

The Bank's concentration of credit as to industry for its loans and receivables, gross of allowance for ECL, follows:

(Amounts in thousands of PHP)	2025		2024	
	Amount	Percentage	Amount	Percentage
Financial intermediaries	-	0.00%	-	0.00%
Other community, social and personal activities	293,089	6.67%	315,528	7.96%
Consumption	2,498,569	56.85%	2,204,518	55.59%
Real estate, renting and other related activities	755,225	17.18%	667,011	16.82%
Wholesale and retail trade	180,704	4.11%	192,280	4.85%
Agriculture, fishing and Rural	14,380	0.33%	36,756	0.93%
Manufacturing (various industries)	193,300	4.40%	11,895	0.30%
Others (Other receivables)	459,665	10.46%	537,878	13.56%
	4,394,931	100.00%	3,965,866	100.00%

The BSP considers that loan concentration exists when the total loan exposure to a particular industry exceeds 30% of the total loan portfolio plus the outstanding interbank loans receivable or 10% of Tier 1 capital.

As of September 30, 2025 and December 31, 2024, 10% of Tier 1 capital amounted to P103 million and P102 million, respectively, and the table below shows the two industry groups exceeding this level.

	2025	2024
Consumption	2,498,569	2,204,518
Real estate, renting and other related activities	755,225	667,011
Other community, social and personal activities	293,089	315,528
Wholesale and retail trade	180,704	192,280

(d) *Credit Status of Loans*

The breakdown of loans and receivables (gross of unearned interests, discounts and other charges) as to status is shown below.

	2025		Total Loan Portfolio
	Performing	Non-Performing	
Gross Carrying Amount			
Corporate	556,275	46,202	602,477
CTS	58,494	86,822	145,316
Individual	263,469	96,459	359,928
Housing	226,650	15,702	242,352
Auto	90,688	22,812	113,500
Salary	2,060,686	122,038	2,182,724
Others	671,641	76,993	748,634
	3,927,902	467,029	4,394,931
Allowance for ECL	(34,719)	(66,032)	(100,751)
Net Carrying Amount	3,893,183	400,997	4,294,180

(Amounts in thousands of PHP)

	2024		
	Performing	Non-performing	Total Loan Portfolio
Gross carrying amount:			
Corporate	310,409	149,723	460,132
CTS	67,411	87,482	154,893
Individual	147,107	81,177	228,284
Housing	218,335	2,224	220,559
Auto loan	130,854	30,542	161,396
Salary	1,807,659	85,462	1,893,121
Others	830,798	16,683	847,481
	<u>3,512,573</u>	<u>453,293</u>	<u>3,965,866</u>
Allowance for ECL	<u>(52,497)</u>	<u>(52,656)</u>	<u>(105,153)</u>
Net carrying amount	<u>3,460,076</u>	<u>400,637</u>	<u>3,860,713</u>

As of September 30, 2025 and December 31, 2024, the nonperforming loans (NPLs) not fully covered by allowance for credit losses follow:

	2025	2024
Gross NPLs	467,029	430,171
NPLs fully covered by allowance for impairment	<u>(66,032)</u>	<u>(2,479)</u>
	<u>400,997</u>	<u>427,692</u>

(e) *Analysis of Loan Portfolio as to Type of Security*

The breakdown of total receivables from customers as to secured and unsecured and the type of security for secured accounts is presented below.

	2025	2024
Real Estate	1,055,212,658	801,016,876
Chattel Mortgage	260,119,345	319,327,663
Hold Out Deposits	8,933,279	9,061,121
Jewelries	205,968,200	190,536,085
Others	<u>222,309,051</u>	<u>230,642,066</u>
	1,752,542,534	1,550,583,812
Unsecured	<u>2,182,724,021</u>	<u>1,877,404,206</u>
	<u>3,935,266,554</u>	<u>3,427,988,018</u>

(f) *Information on Related Party Loans*

In the ordinary course of business, the Bank has loan transactions with other affiliates and with certain DOSRI. Under existing policies of the Bank, these loans are made substantially on the same terms as loans to other individuals and businesses of comparable risks.

Under the current BSP regulations, the amount of individual loans to a DOSRI, 70% of which must be secured, should not exceed the amount of the encumbered deposit and book value of the investment in the Bank and/or any of its lending and nonbank financial subsidiaries. In the aggregate, loans to DOSRIs, generally, should not exceed the total equity or 15% of the total loan portfolio of the Bank. However, non-risk loans are excluded in both individual and aggregate ceiling computation.

The following table shows the information relating to the loans, other credit accommodations and guarantees granted to DOSRI as of December 31 in accordance with BSP reporting guidelines:

	DOSRI Loans		Related Party Loans (inclusive of DOSRI Loans)	
	2025	2024	2025	2024
Total outstanding loans	2,925	4,061	5,585	7,183
% of loans to total loan portfolio	0.07%	0.10%	0.13%	0.18%
% of unsecured loans to total DOSRI/related party loans	0%	0%	48%	76.86%
% of past due loans to total DOSRI/related party loans	0%	0%	0%	0%
% of non-performing loans to total DOSRI/related party loans	0%	0%	0%	0%

Secured DOSRI loans are collateralized by hold-out on deposits and are payable within three months to five years.

(g) *Secured Liabilities and Assets Pledged as Security*

As at September 30, 2025 and December 31, 2024, the Bank has no secured liabilities and assets pledged as security.

(h) *Contingencies and Commitments Arising from Off-balance Sheet Items*

The summary of the Bank's commitments and contingent accounts arising from transactions not given recognition in the statements of financial position, expressed at their equivalent peso contractual amounts as of September 30, 2025 and December 31, 2024 are as follows:

	Note	2025	2024
Trust department accounts	21	911,707,843	844,037,175
Commitments			0
Others		1,538,685	1,469,179
		<u>913,246,529</u>	<u>845,506,354</u>

27. SUPPLEMENTARY INFORMATION REQUIRED BY THE BUREAU OF INTERNAL REVENUE (BIR)

The following supplementary information on taxes, duties and license fees paid or accrued during the taxable year which is required by the BIR under RR No. 15-2010 to be disclosed as part of the notes to financial statements. This supplementary information is not a required disclosure under PFRS Accounting Standards.

(a) Gross Receipts Tax (GRT)

In lieu of value-added taxes, the Bank is subject to the GRT imposed on all banks and non-bank financial intermediaries pursuant to Sections 121 of the amended Tax Code.

The Bank reported a total Gross Receipts Tax (GRT) of P14,161,294 as of September 2025. This amount pertains to the first, second and third quarter and was filed and paid in April, July and October 2025, respectively.

(b) Documentary Stamp Tax (DST)

The Bank is enrolled under the Electronic DST System. In general, the Bank's DST transactions arise from the execution of debt instruments, security documents, and bills of exchange.

For the period ended September 30, 2025, DST affixed amounted to P22,104,697 representing documentary stamps imposed mainly on debt instruments documents issued during the year, of which P10,372,278 were charged to the Bank's clients, hence, not reported as part of taxes and licenses as of the period ended September 30, 2025.

(c) Customs Duties and Tariff Taxes

The Bank has not paid or accrued any customs duties and tariff fees as it has no importation for the quarter ended September 30, 2025.

(d) Excise Tax

The Bank did not have any transaction for the period ended September 30, 2025 which is subject to excise tax.

(e) Withholding Taxes

The details of total withholding taxes for the quarter ended September 30, 2025 are shown below.

(Amounts in PHP)

Withholding Tax

Final 13,715,461

Expanded 4,280,582

Compensation and employee benefits 5,053,020

23,049,063

(f) *Taxes and Licenses*

The details of taxes and licenses follow:

GRT	14,161,294
DST	<u>11,732,420</u>
	<u><u>25,893,713</u></u>

(g) *Deficiency Tax Assessments and Tax Cases*

As of September 30, 2025, the Bank does not have any final deficiency tax assessments with the BIR nor does it have tax cases outstanding or pending in courts or bodies outside of the BIR in any of the open taxable years.

CITYSTATE SAVINGS BANK, INC.
AGING FOR ACCOUNTS RECEIVABLES
As of September 30, 2025

Accountee/Branch	Below 30 days	31 to 90 days	91 to 120 days	121 to 180 days	181 to 360 days	361 days or more	Total
Head Office	6,041,344.22	9,159.67	398,035.53	3,876,558.81	746,080.46	2,279,861.35	13,351,040.04
CHINO	0.00	49,039.23	0.00	0.00	26,880.13	1,025,945.01	1,101,864.37
BINONDO	0.00	1,196,921.95	0.00	0.00	0.00	0.00	1,196,921.95
PANADEROS	0.00	61,553.20	0.00	0.00	0.00	0.00	61,553.20
PACO	0.00	2,626,229.16	46,510.00	0.00	100.00	0.00	2,672,839.16
MABINI	0.00	594,028.64	0.00	0.00	0.00	0.00	594,028.64
BACLARAN	0.00	207,632.87	0.00	0.00	0.00	0.00	207,632.87
PASAY	0.00	171,211.74	0.00	0.00	0.00	0.00	171,211.74
SHAW	0.00	62,210.77	0.00	0.00	0.00	0.00	62,210.77
CUBAO	0.00	2,010,272.22	0.00	0.00	0.00	0.00	2,010,272.22
MUNTINLUPA	0.00	4,513,346.73	0.00	0.00	0.00	0.00	4,513,346.73
CALOOCAN	0.00	0.00	0.00	0.00	3,093.27	5,800.00	8,893.27
STA LUCIA	0.00	669,118.92	0.00	0.00	0.00	0.00	669,118.92
BLUMENTRITT	0.00	1,049,508.04	0.00	0.00	0.00	34,323.54	1,083,831.58
GREENHILLS	0.00	211,528.73	0.00	0.00	0.00	0.00	211,528.73
LAS PIÑAS	0.00	659,131.51	0.00	0.00	0.00	0.00	659,131.51
PEREA	31,800.00	185,606.74	0.00	0.00	0.00	68,100.00	285,506.74
ANTIPOLO	0.00	665,735.50	0.00	0.00	0.00	0.00	665,735.50
KATIPUNAN	0.00	0.00	0.00	0.00	0.00	0.00	0.00
TAGUIG	0.00	0.00	0.00	0.00	0.00	0.00	0.00
URDANETA	0.00	734,362.47	0.00	0.00	0.00	800.00	735,162.47
BALIUAG	0.00	3,306,882.37	0.00	0.00	0.00	0.00	3,306,882.37
MEYCAUAYAN	0.00	943,199.08	0.00	0.00	10,138.00	20,450.00	973,787.08
PLARIDEL	0.00	2,381,030.90	0.00	0.00	0.00	0.00	2,381,030.90
SAN FERNANDO	0.00	232,899.29	0.00	0.00	0.00	0.00	232,899.29
BATANGAS	0.00	2,460,126.38	0.00	0.00	0.00	0.00	2,460,126.38
PALAWAN	0.00	3,558,309.84	0.00	0.00	0.00	155,925.25	3,714,235.09
STA. ROSA	0.00	0.00	0.00	0.00	0.00	0.00	0.00
NAGA	0.00	0.00	0.00	0.00	0.00	0.00	0.00
CEBU	0.00	0.00	0.00	0.00	35,680.05	6,024.90	41,704.95
TOTAL	6,073,144.22	28,559,045.95	444,545.53	3,876,558.81	821,971.91	3,597,230.05	43,372,496.47